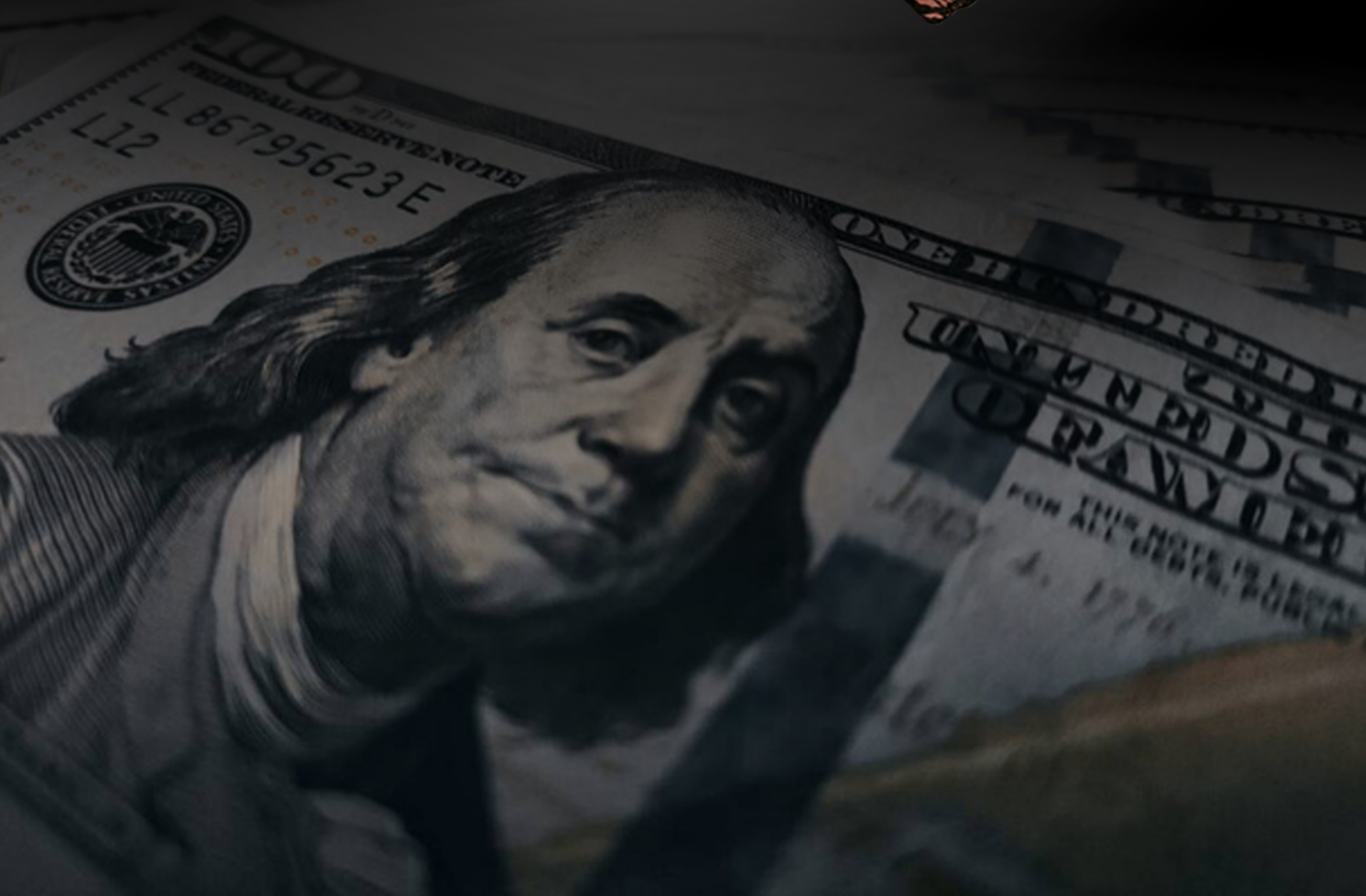
SMART MONEY
concept

by Trader's Notes Team



THE EBOOK "SMART MONEY concept "

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10. 3 Techniques for Risk Management in Trading

Prepared by the user TikTok
@traders_notes

Order Block Trading Strategy with Examples

In this article, I will discuss the **Order Block Trading Strategy** with Examples. Order Block Trading Strategy is a method that involves identifying and trading off significant price levels on a price chart. Traders using this method look for areas where large buying or selling activity has occurred in the past, potentially acting as areas of support or resistance in the future.

Order blocks can be found in any timeframe, from minutes to weeks, and can be used in any market, including stocks, futures, forex, and cryptocurrencies. Order block trading can be combined with other technical analysis methods, such as trend lines, moving averages, and oscillators, to confirm trades or to identify a potential trade setup.

Here are the general steps involved in using the order block trading method:

1. Identify a price chart showing clear areas of buying or selling activity, typically **a consecutive candle**.
2. Locate the most significant areas of buying or selling activity, often called **order blocks**.
3. Determine whether the price will likely **respect or break through** the order block. This can be done by looking at the price action around the block.
4. If the price is likely **to respect the block**, consider entering a long or short trade near the block, with a stop loss order placed just below or above the block, respectively.

Below is an example of a Nifty 50

I took this chart during the day. Here, I used a VWAP indicator along with the order block. Price reach confluence of order block and VWAP ZONE

NOW CHECK THE BELOW CHART. PRICE TURNED GREEN TO RED THAT DAY AND STARTED FALLING FROM THE TESTED ORDER BLOCK ZONE

Core Concept of Smart Money Trading Method

This concept is divided into 3 parts

SMART MONEY CONCEPT

1. Supply and demand
2. order block

SMART MONEY MARKET STRUCTURE

1. SD FLIP
2. CHoCH
3. BOS

SMART MONEY ENTRY TECHNIQUE

1. Liquidity hunting
2. Inducement

Order Block Trading Strategy System

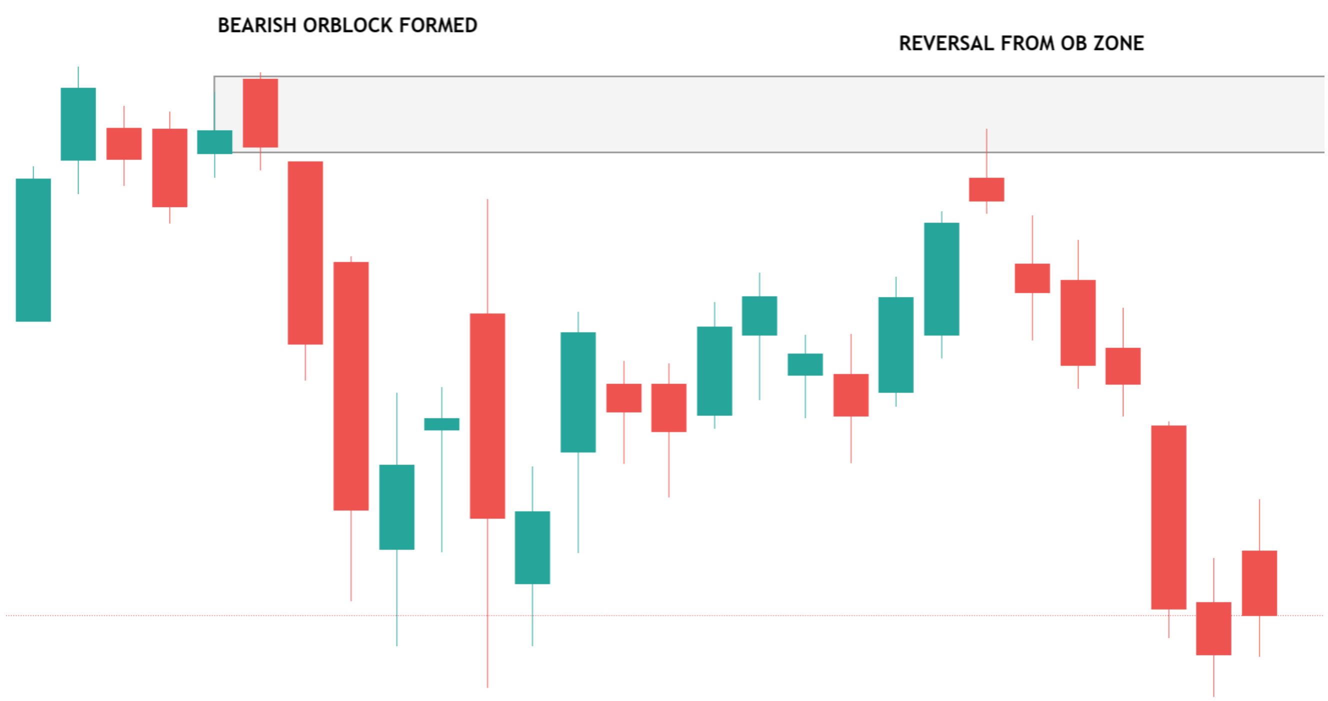
What is an Order Block in Trading?

Order Blocks are footprints left by the market when an impulsive move occurs. Order Block (OB) is the last opposite candle before the strong move that creates an imbalance in the market. Price will likely return to those zones before it triggers another impulse move to continue his trend.

What is order block?

Order Blocks(OB) are footprints left by the market when an impulsive move occurs. Order Block (OB) is the last candle before the strong move that creates an imbalance in the market

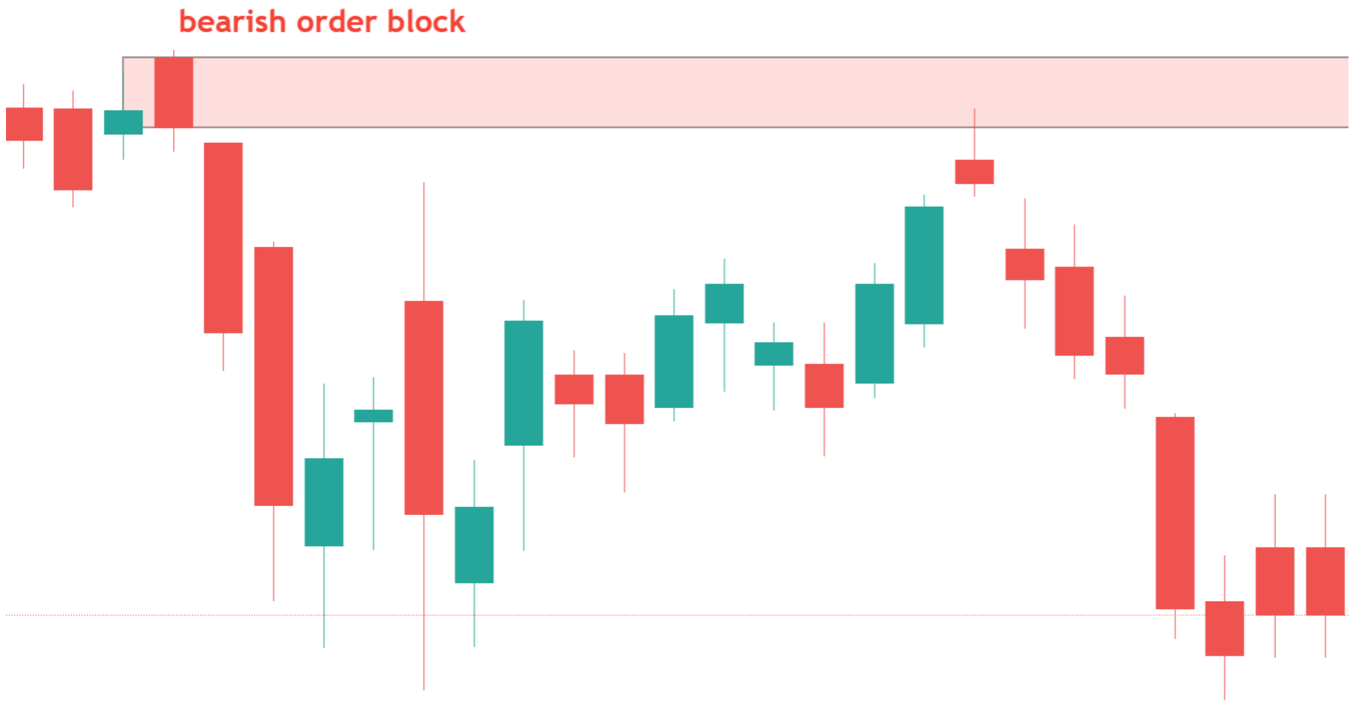
BULLISH ORDERBLOCK



Why Order Block Zone in Our Chart?

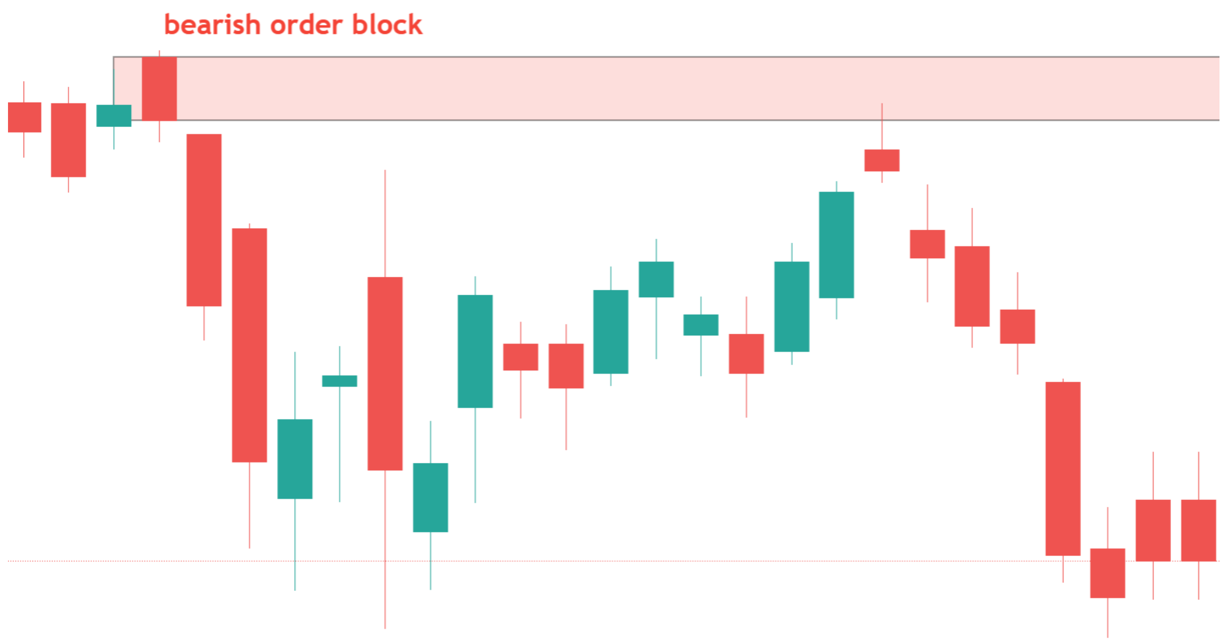
- The market continued to decline after the bearish order block zone formed, which is proof that smart money was placing sell transactions when it formed (opposite of the bullish order block zone)
- Aggressive people want to buy or sell right away. To put it another way, you place a MARKET ORDER to buy or sell anything right now at the best price currently offered.

- Your post will not be filled simultaneously because it is so large. The position will be split as the price rises quickly, but it will fill quickly, and you can enter the entire position. The price is aggressively driven up or down by aggressive market participants using their market orders.
- So, the **order block zone** can only be seen once the price speeds away from the zone. It indicates that there was smart money buying or selling interest at the origin of that move.



Why Does the Market Return to Untested Order Block Zones?

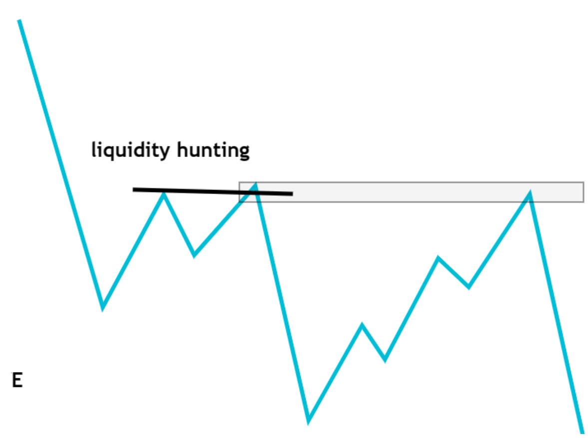
1. The smart money position will not be filled simultaneously because it is large.
2. When the order block zone was created, the smart money could not execute all its trades. If they enter the market quickly, the price moves with them. Doing this will force them to buy higher and sell lower. By keeping order blocks on the books, they find a solution to this problem.
3. The smart money leaves pending orders at the order block zones so that when the market returns to the order block zone, the initial trades they were unable to complete are executed. The market moves back in the direction in which the order block zone was created. This allows the smart money to get their remaining trades placed.
4. Due to a Pending Block order.

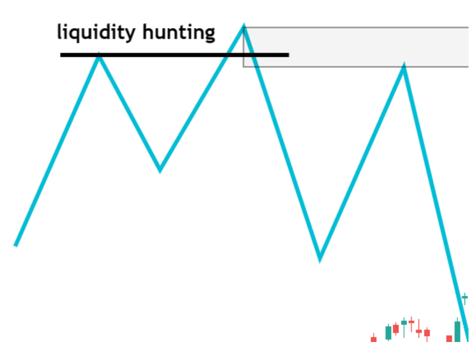


Criteria For Valid Order Block Zone Trading

- A valid demand/supply zone is where prices rapidly move away with wide candles (imbalance) and beaks of structure or character changes. So, three important factors to study to find a valid zone
- Liquidity hunting at order block zone. IN THE FORM OF Stop Hunt Candle / Fake out/candle trap OR PSY
- Imbalances move or sharp move in a short time SRC/AR CANDLE MUST (MOVE AFTRE ORDERBLOCK).
- beaks of structure/ changes of character (form 1 of 3 market structure)
- untested order block zone FOR entry

Liquidity hunting at order block zone. IN THE FORM OF Stop Hunt Candle / Fake out/candle trap. I will cover this concept in more detail later.

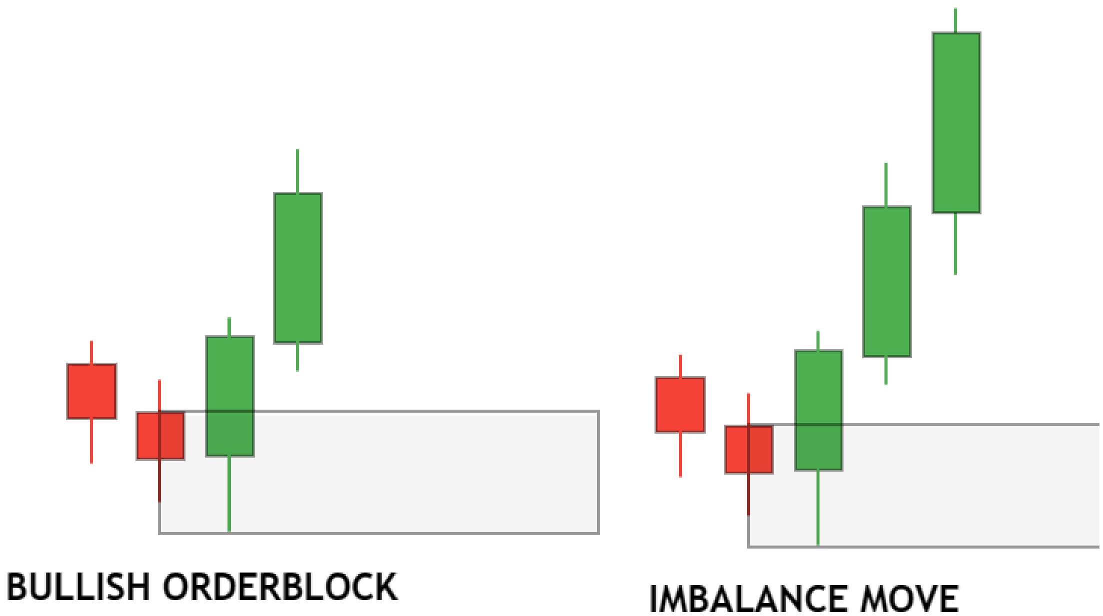




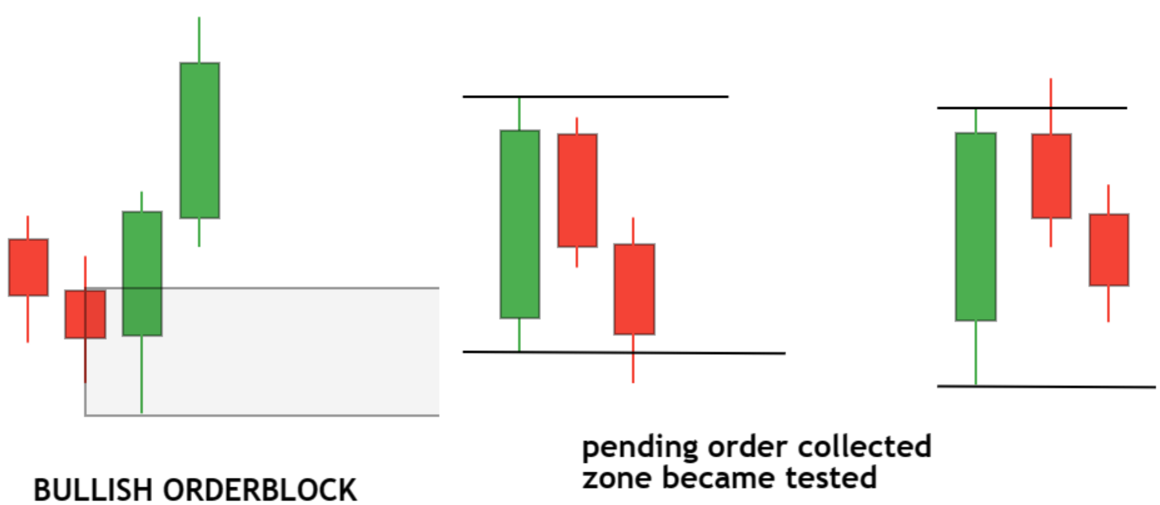
Imbalance moves after the order block zone.

An imbalance is a significant difference between the number of buy orders and sale orders for a particular security or asset. This can occur when there is a large amount of buying or selling pressure in the market, which can cause the security price to move rapidly in one direction.

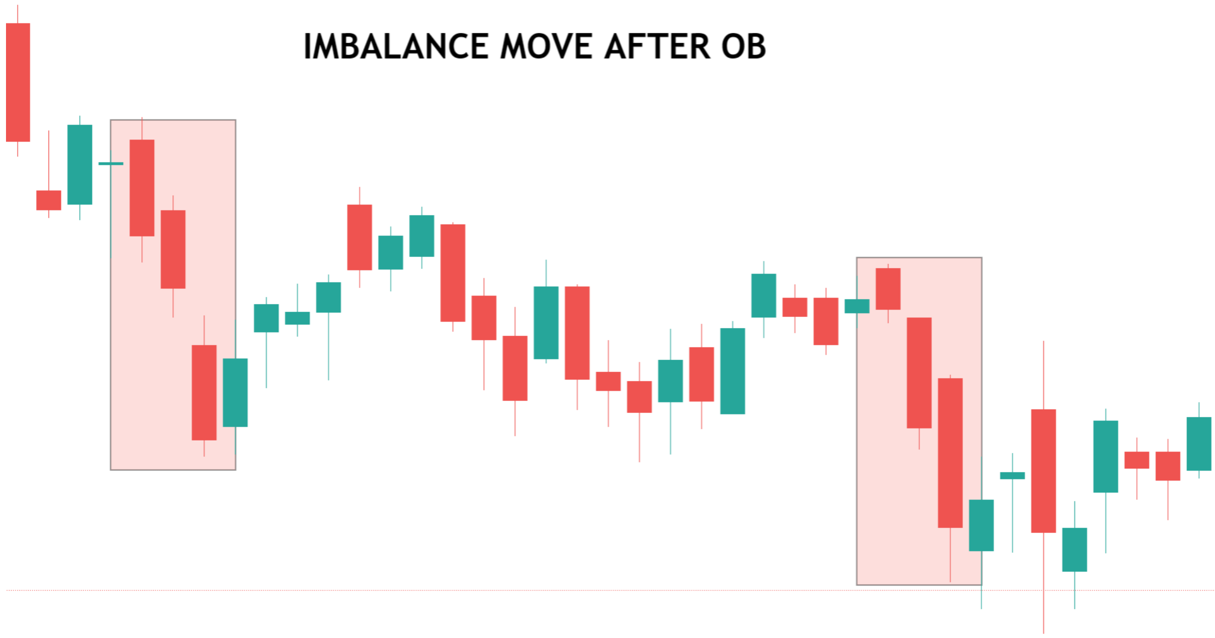
1. Momentum should increase. suggest an imbalance in price
2. Order block zone should not test the next 3 candles, and also, in a bullish order block, the previous candle low should not breach in the next 3 candle



The above example shows price imbalance with 3 consecutive candles making a higher high and higher low. Now check the below example of price in balance. Here, after 2 candle prices form a balanced structure.



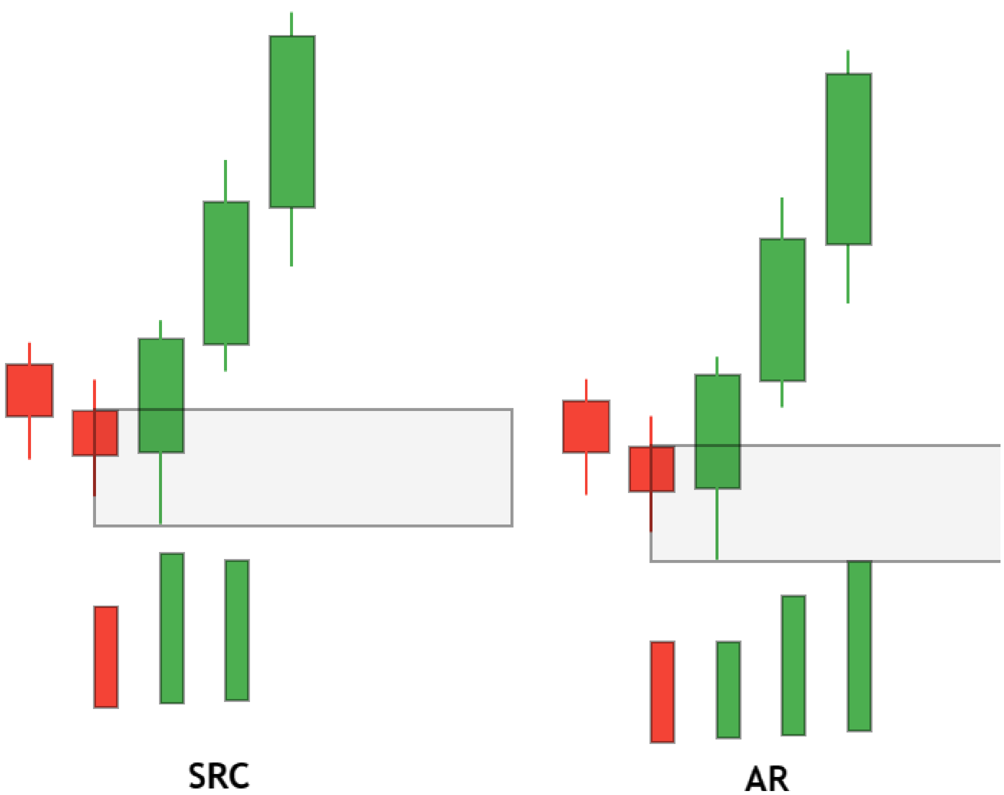
BELOW IS AN EXAMPLE OF THE NIFTY 50 CHART



Volume in Order Block Zone Trading Strategy

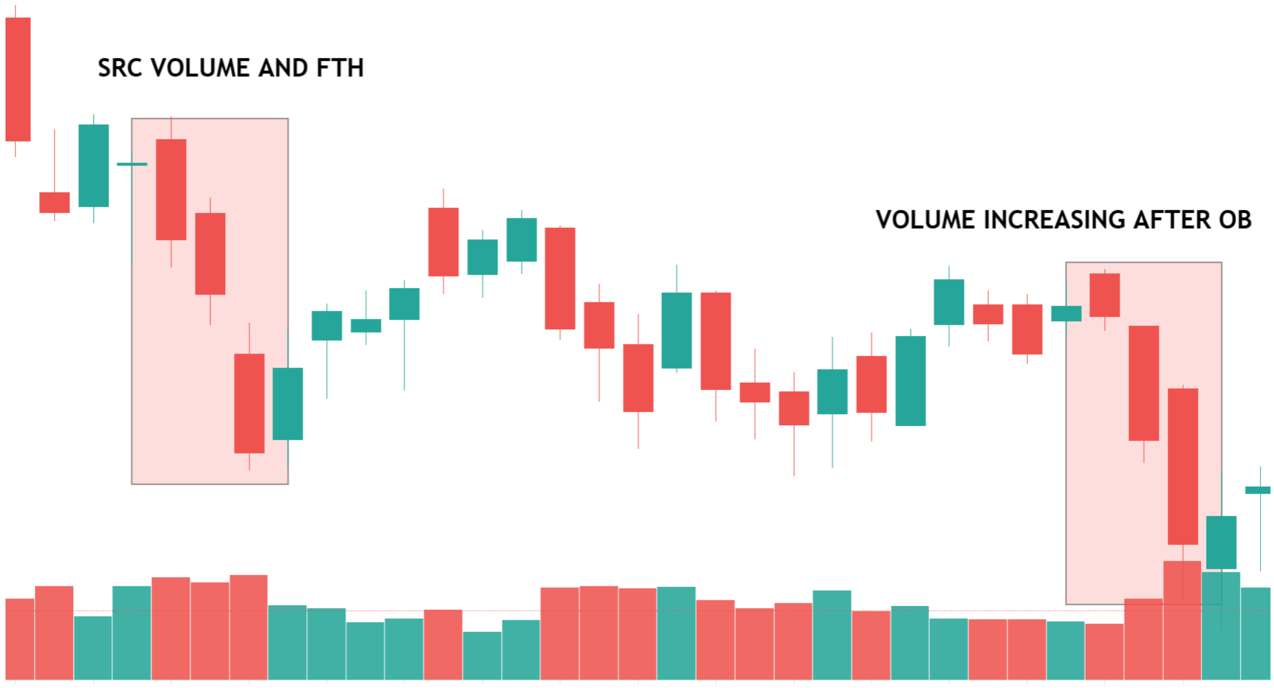
A higher volume at a particular level could indicate stronger support or resistance.

1. Either high-volume block candle and follow-through
2. Or follow-through volume increasing after block candle formed

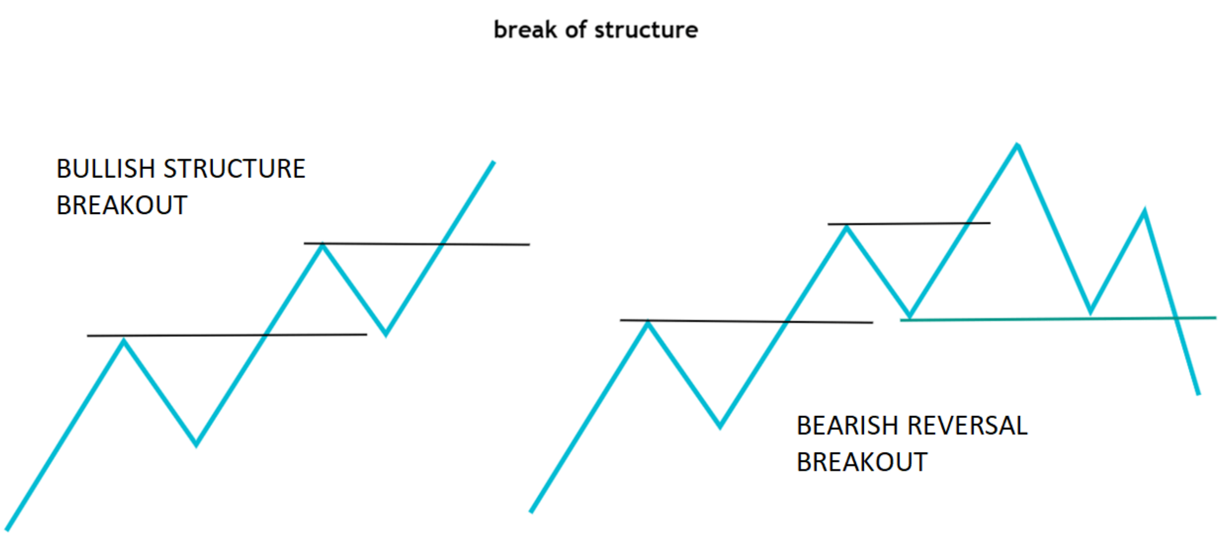


In the first example, the high volume order block candle wands in 2nd example low volume order block, but the volume increases. Both cases are valid to order block.

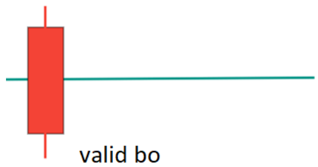
BELOW IS THE CHART OF THE SAME NIFTY50 WITH THE VOLUME



Order Block move should Break the Market Structure

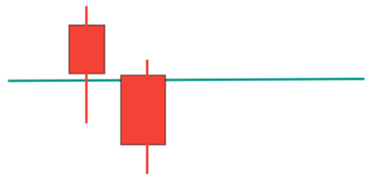


BEFORE going forward, understand valid breakout vs invalid breakout



valid bo

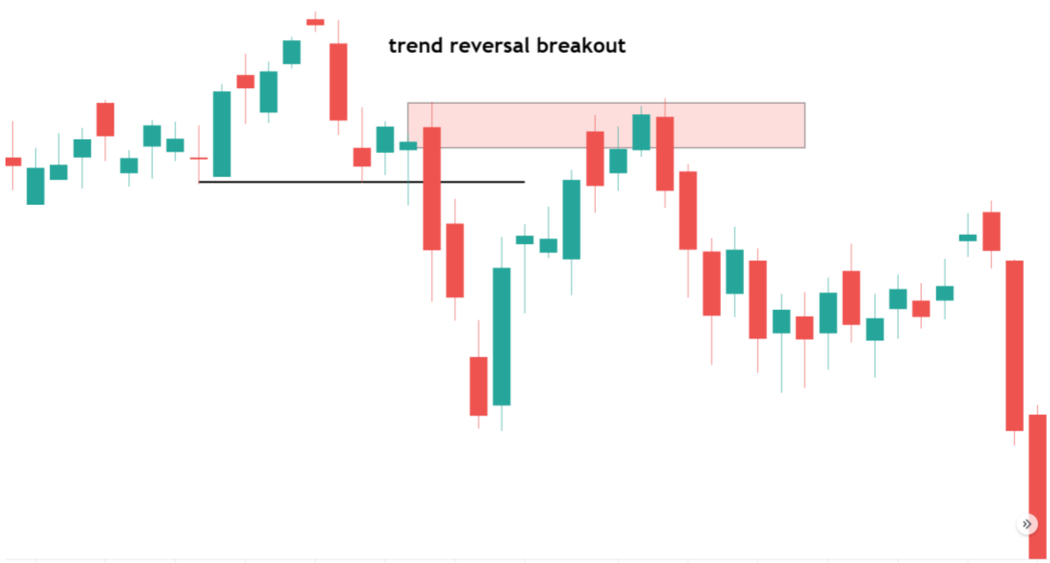
close below support



valid breakout
very next candle close
below support plus below
previoud candle low

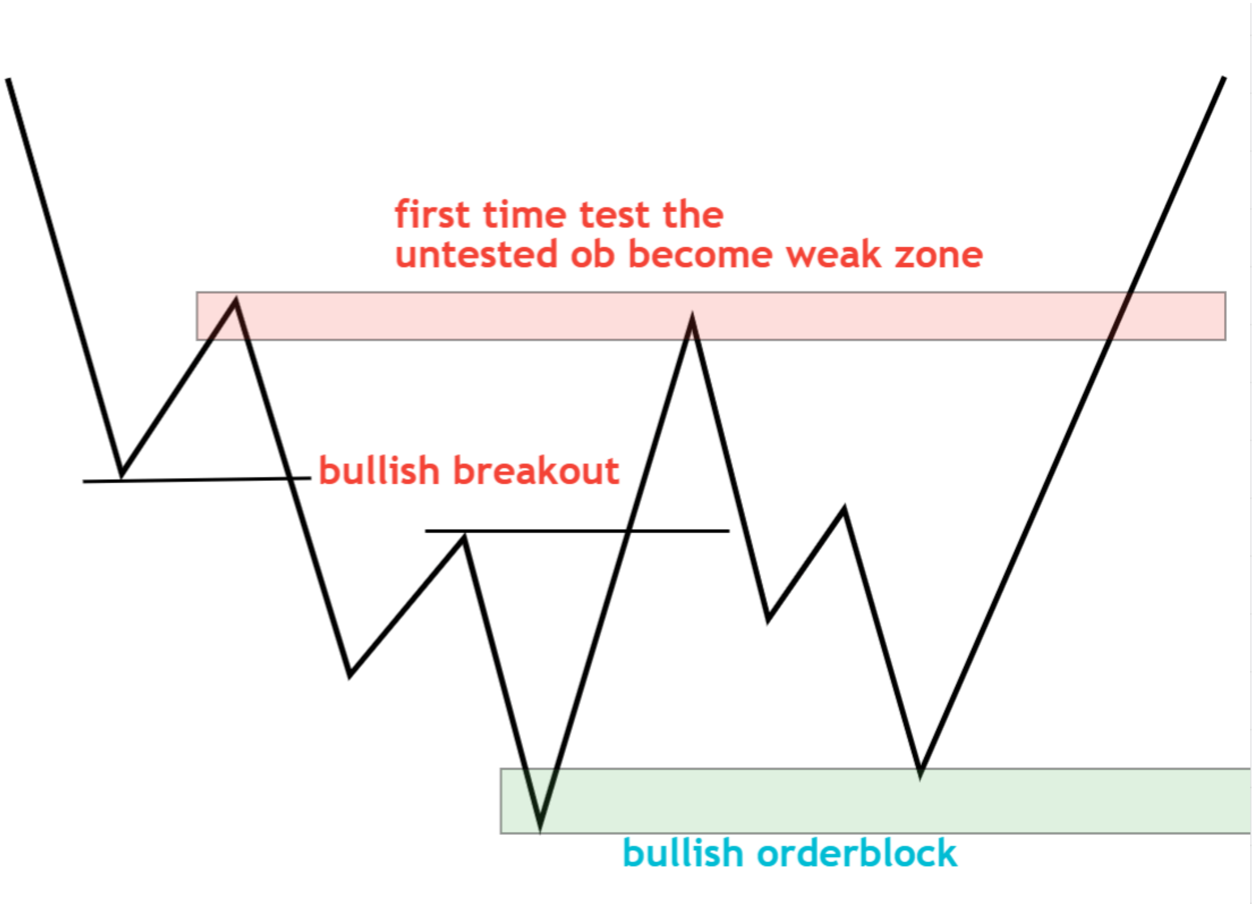
invalid breakout

valid bearish trend continous breakout
after orderblock



Untested order block for entry

Prefer only untested OB zone



Smart Money Market Structure Trading Strategy

In this article, I will discuss the **Smart Money Market Structure Trading Strategy,** i.e., the Core Concept of the Smart Money Trading Method with Examples. This concept is divided into 3 parts. They are as follows:

SMART MONEY CONCEPT

1. Supply and Demand
2. Order Block

SMART MONEY MARKET STRUCTURE

1. SD FLIP
2. CHoCH
3. BOS

SMART MONEY ENTRY TECHNIQUE

1. Liquidity Hunting
2. Inducement

The "Smart Money" concept in trading refers to the actions and strategies employed by well-informed, professional investors, such as institutional investors or market insiders. These participants are presumed to understand the market better and have access to information that average investors don't. Trading strategies based on the "Smart Money" market structure aim to align with the actions of these informed players.

Smart Money Market Structure Trading using Order Block

The map will help you understand and predict the next movement and make you understand where you are, whether you are in correction or Continuation. Now, we will discuss the market structure. Market Structure generally decides who is in control because we want to take entry into the controlling side. The smart money method is the backbone of market structure and liquidity.

When a large trader or institution takes a large position in a particular asset or market, its actions can significantly impact the supply and demand dynamics, leading to changes in price and market direction. For example, suppose a large institutional investor decides to buy many shares in a particular company. In that case, this can increase share demand, driving the price. Similarly, if a large trader takes a short position in a particular market, this can decrease demand and drive the price down. Same as we analyze trends.

1. **Uptrend Demand in Control**
2. **Downtrend Supply in Control**

3 Things we look at before Entering are:

Step 1: Identify the Trend of the Market

The first step in creating a trading strategy based on order block is identifying the market trend you want to trade. Look at the overall market structure (Higher Highs and Higher Lows or Lower Highs and Lower Lows.

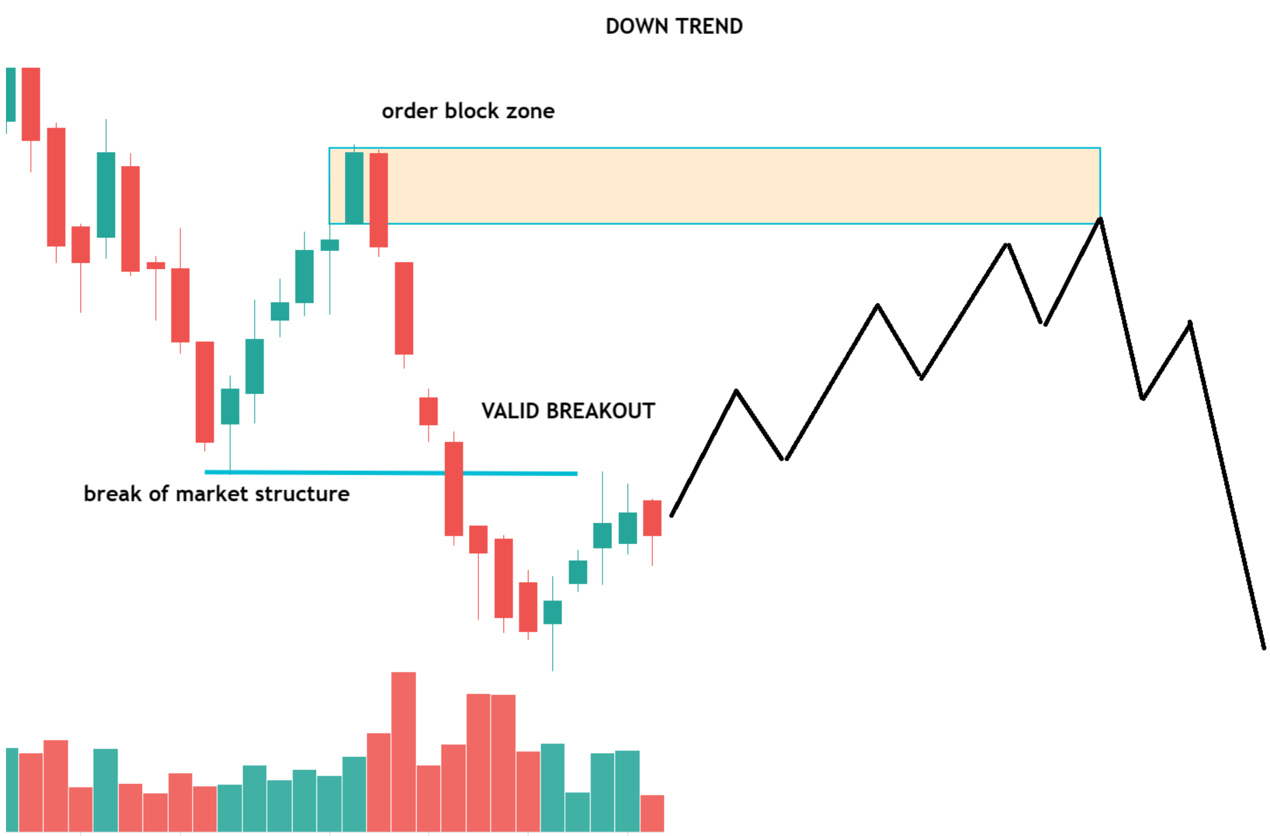
Bearish or Bullish). Market structure gives us bias for trading opportunities. In the bull market, we always look to buy

Step 2: Identify Key order block Zones

Once you have identified the market trend, the next step is identifying key bullish or bearish order block zones. These zones are areas with a significant imbalance between supply and demand. Look for bullish or bearish order blocks according to the higher timeframe trend. So, if the higher timeframe trend is a downtrend, you would look for a bearish order block; if you are in a bullish market, you would find a bullish order block.

Step 3: Entry and Trade Management

Look at the lower time frames and look for the lower time frame confirmations.



As you can see, the market is downtrend, making a lower low and lower high. Valid bearish order blocked formed. Wait for any bearish sentry at the OB zone. OW check below the updated chart.

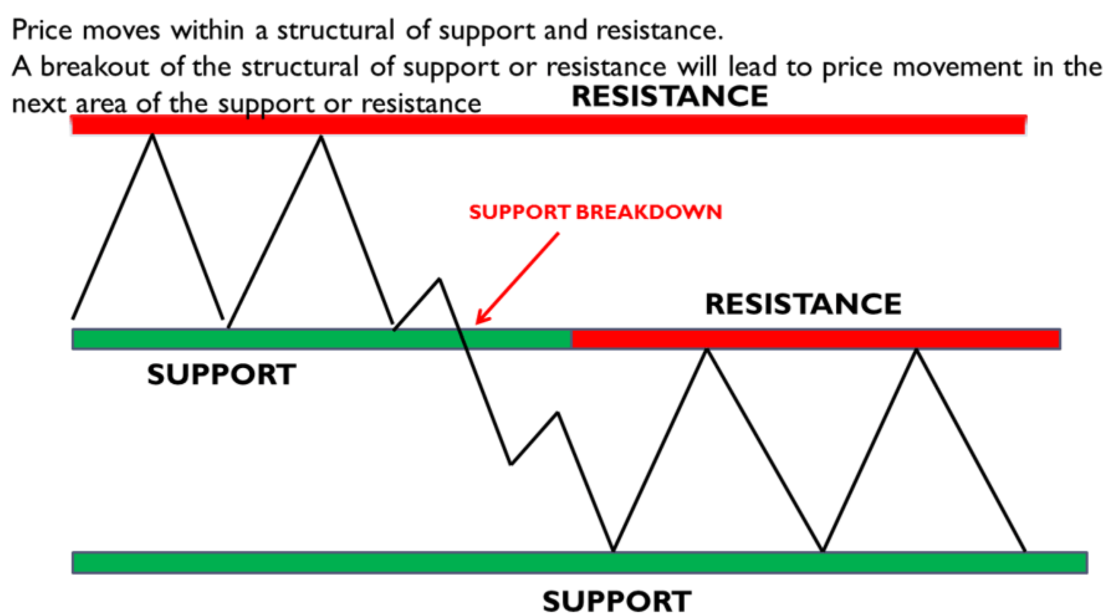
Summary till now

1. Market Structure: who is in control
2. Order Block (location of entry)

Before starting, first clear some basic components of trends or market structure.

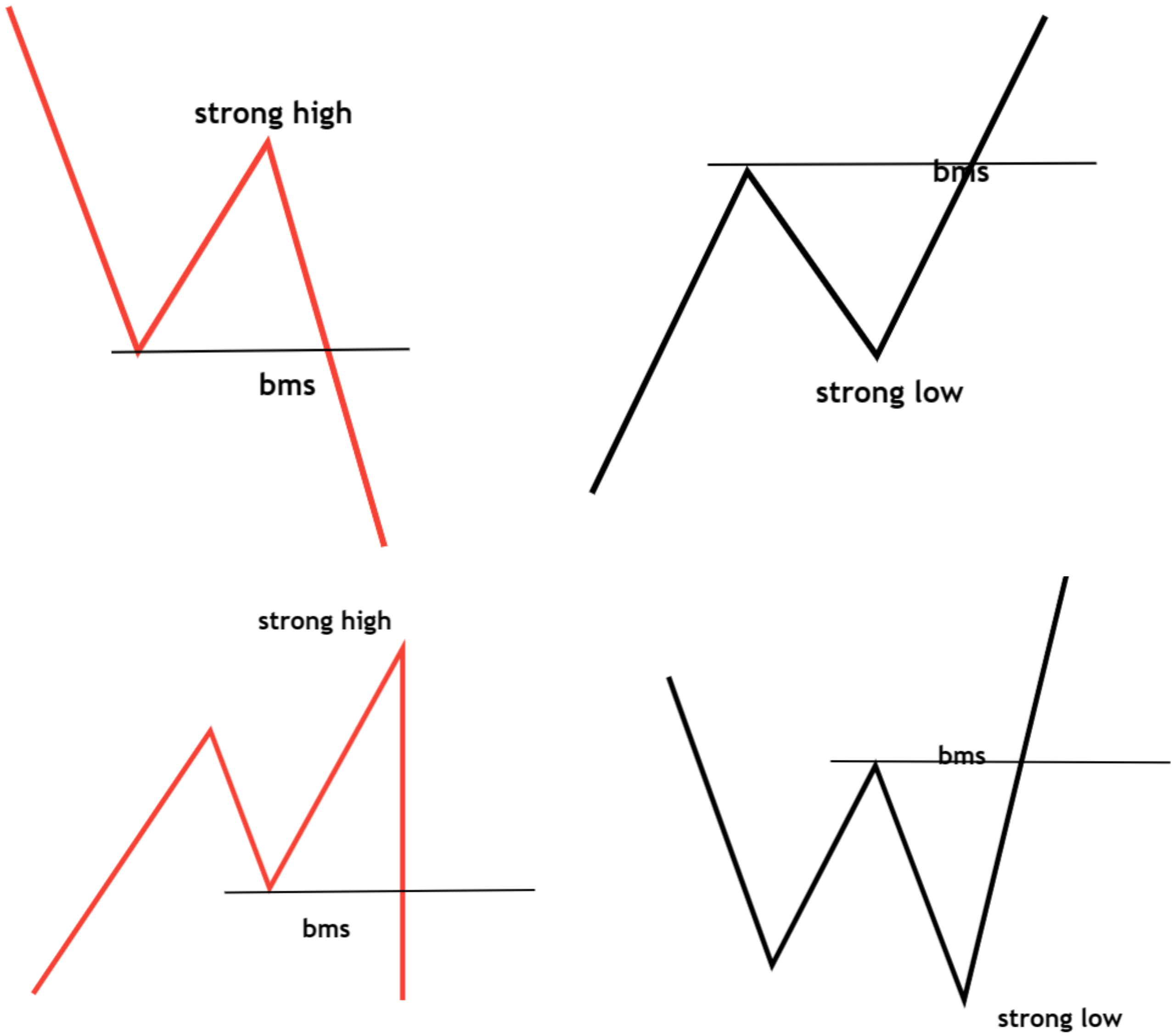
Principles of Smart Money Market Structure in Order Block Trading

Price moves within a structural of support and resistance. A breakout of the structural of support or resistance will lead to price movement in the next area of the support or resistance.



Strong Low (SL)

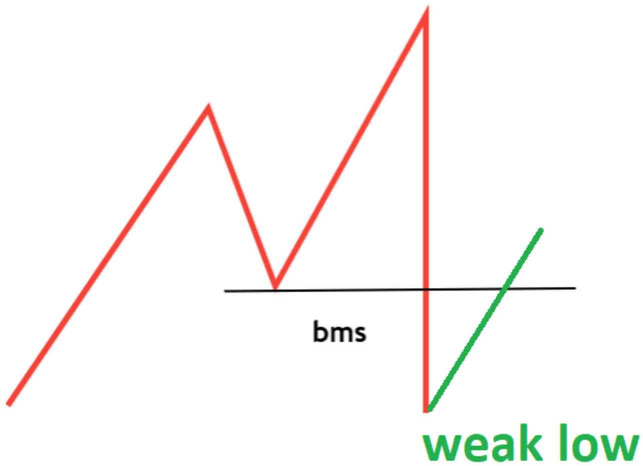
The market structure was high when the price broke, and the low point became a strong low. A Strong Low is The Low that causes Manipulation and Break Structure (resistance).

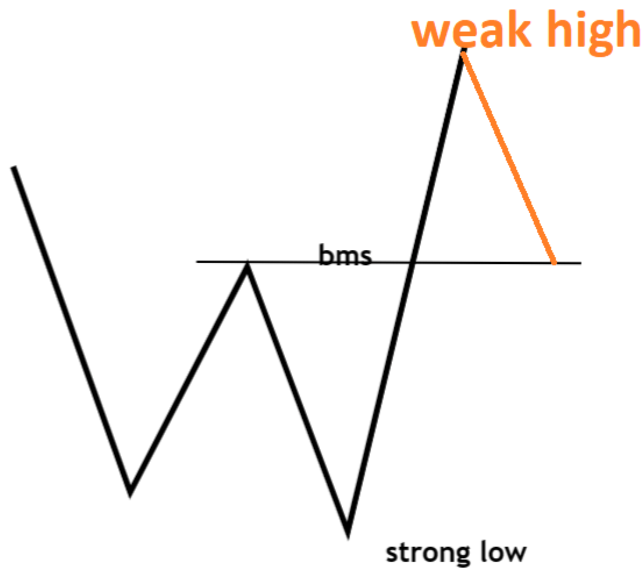


Weak High or Low

Fresh high in an uptrend and fresh low in a downtrend. Weak Low/High is the Low that fails To Break Structure (WEAK HIGH OR LOW PRODUCED ALWAYS FROM A strong High or Low).

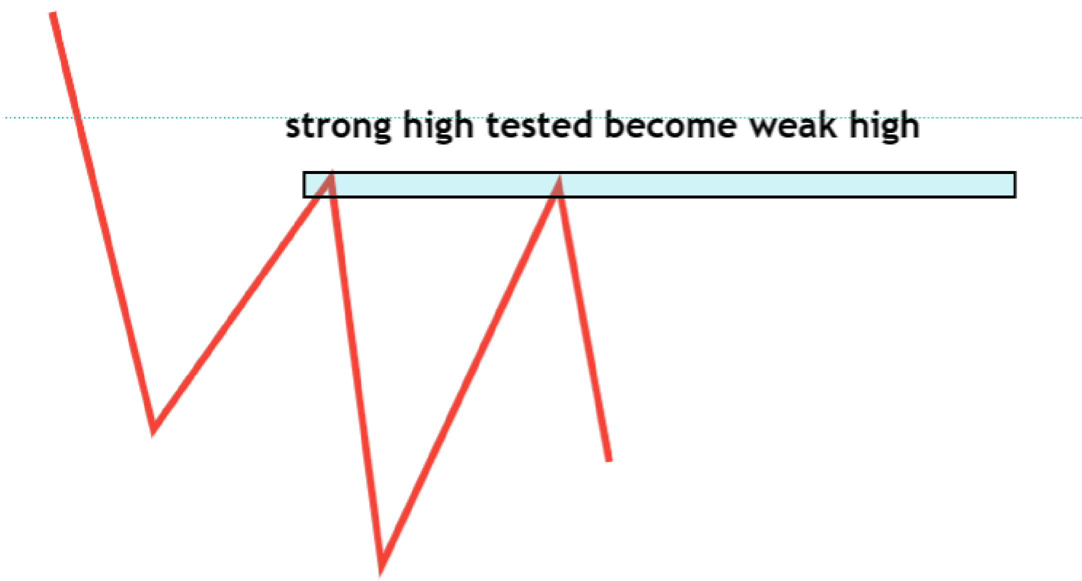
- For every strong LOW, there is a weak High
- For every strong High, there is a weak Low





When Does Supply/Demand Break?

Supply and Demand levels eventually break after a zone is tested many times or during a strong move. Due to the remaining orders being triggered and gradually removed or an overwhelming number of orders in the opposite direction breaking the level.



Different Types of Smart Money Market Structures in Order Block Trading Method

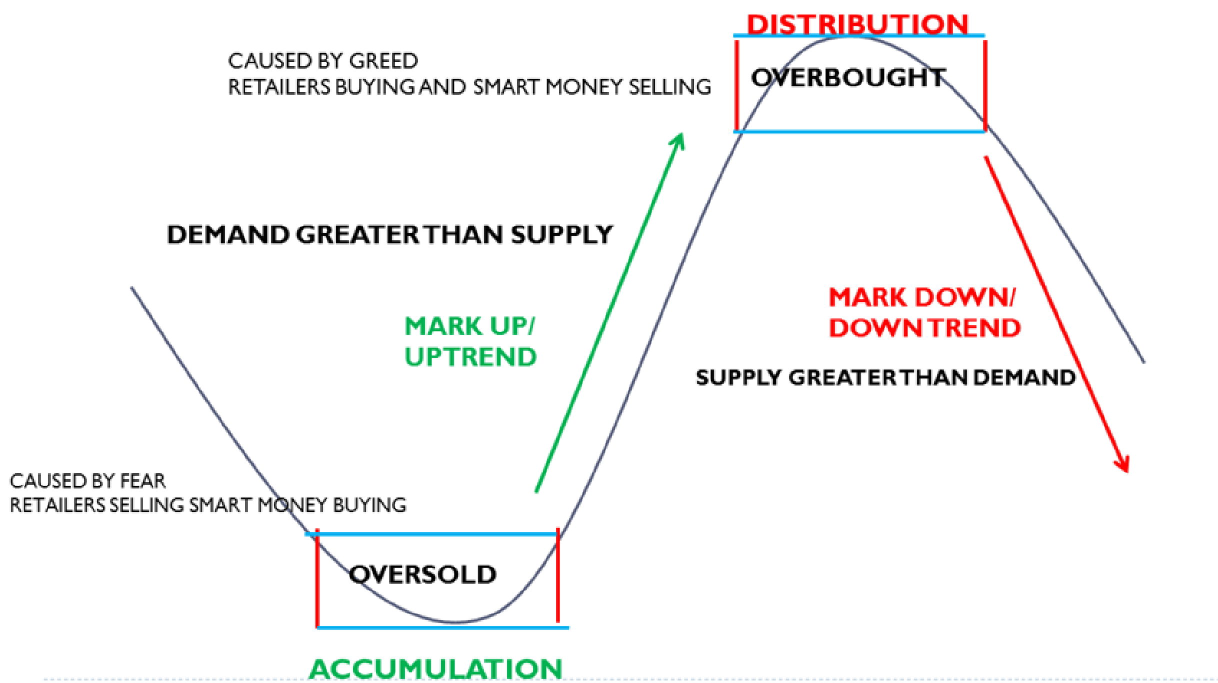
Phases of Market Structure

The price goes through 4 Phases

1. ACCUMULATION
2. UPTREND

3. DISTRIBUTION

4. DOWNTREND



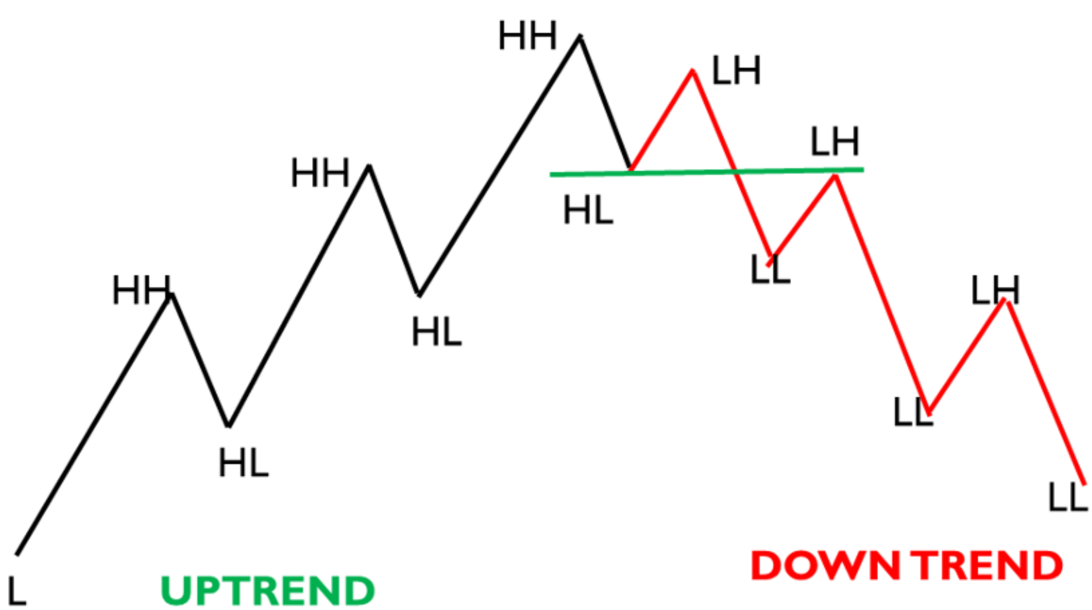
Based on the Phase 3 entry structure

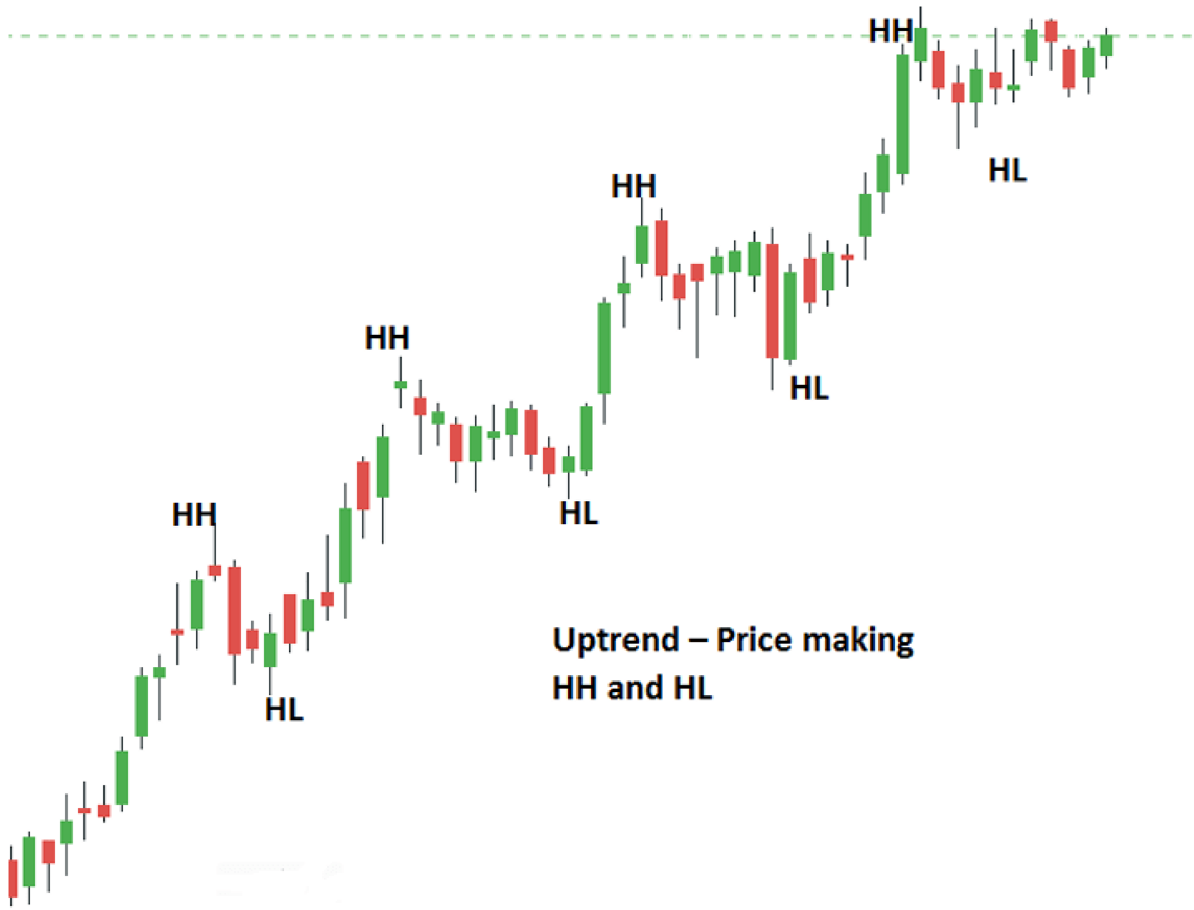
1. Break of market structure in uptrend or downtrend

2. Supply-demand flip or change of character in a trend reversal

Uptrend and Down Trend

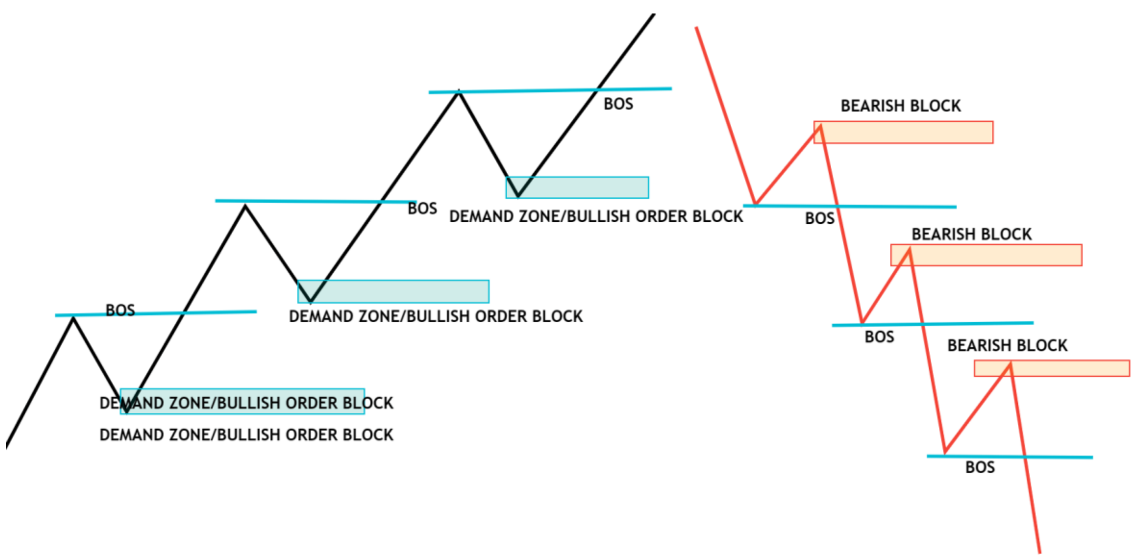
Trend gives us bias for trading opportunities. In the bull market, we always look to buy dips.





Break of Market Structure

On any time frame, once we see a break and close of a candle beyond the structure (swing high in an uptrend and swing low in a downtrend), this is called a break of structure; very simply, we have broken the old structure and created a new structure. Break of the structure formed in a trend continuation.



Here are the basic steps for implementing the Continuous Order Block Entry Method

Step 1: Identify the Market Structure and wait for the break of the market structure

The first step is to identify the market structure by analyzing the highs and lows of the price. The first step in creating a trading strategy based on order block is identifying the market you want to trade. Look at the overall market structure (Higher Highs and Higher Lows or Lower Highs and Lower Lows. Bearish or Bullish). Market Structure gives us bias for trading opportunities. In the bull market, we always look to buy

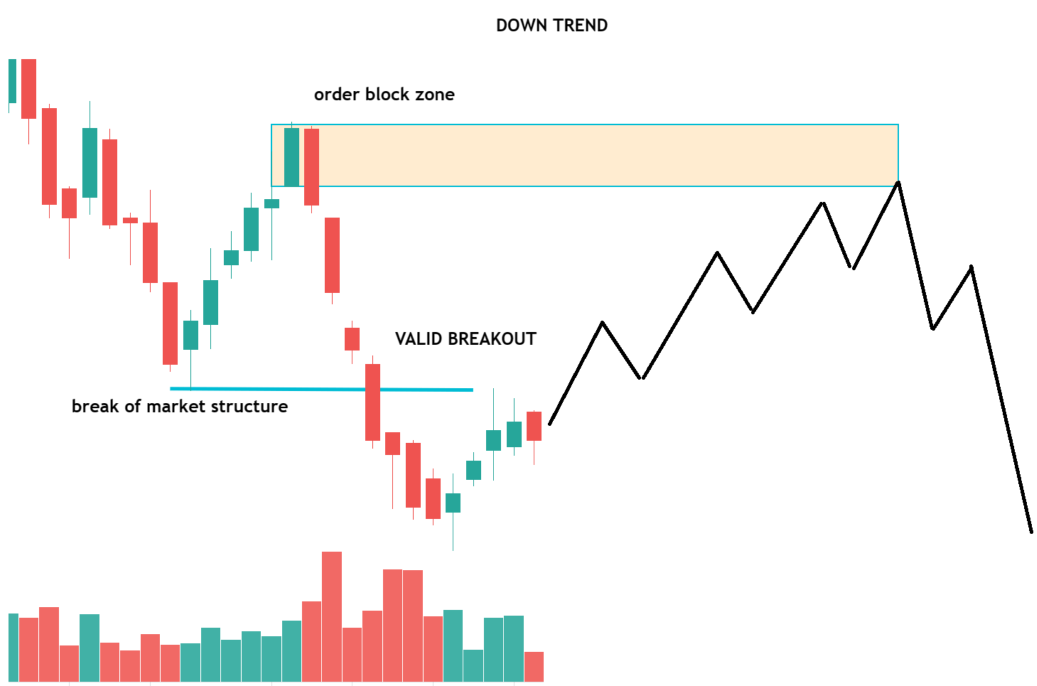
Traders should then watch for a break in the market structure. This could occur when the asset's price breaks through a key support or resistance level or when the price forms a new high or low outside of the current market structure. Confirm the Break with Volume To confirm the break of market structure. Traders should also look for an increase in trading volume. This can confirm that a shift in market sentiment is occurring and increases the likelihood of a successful trade.

Step 2: Identify Potential Order Blocks

Once the market structure has been broken, traders can look for potential order blocks. Order Blocks are footprints left by the market when an impulsive move occurs. Order Block (OB) is the last opposite candle before the strong move that creates an imbalance in the market. Once you have identified the market, the next step is identifying key bullish or bearish order block zones. These zones are areas with a significant imbalance between supply and demand. Look for a bullish or bearish order block according to the higher timeframe trend (So, if the higher timeframe trend is a downtrend, then you would look for a bearish order block, and if you are in a bullish market, you would bullish order block.

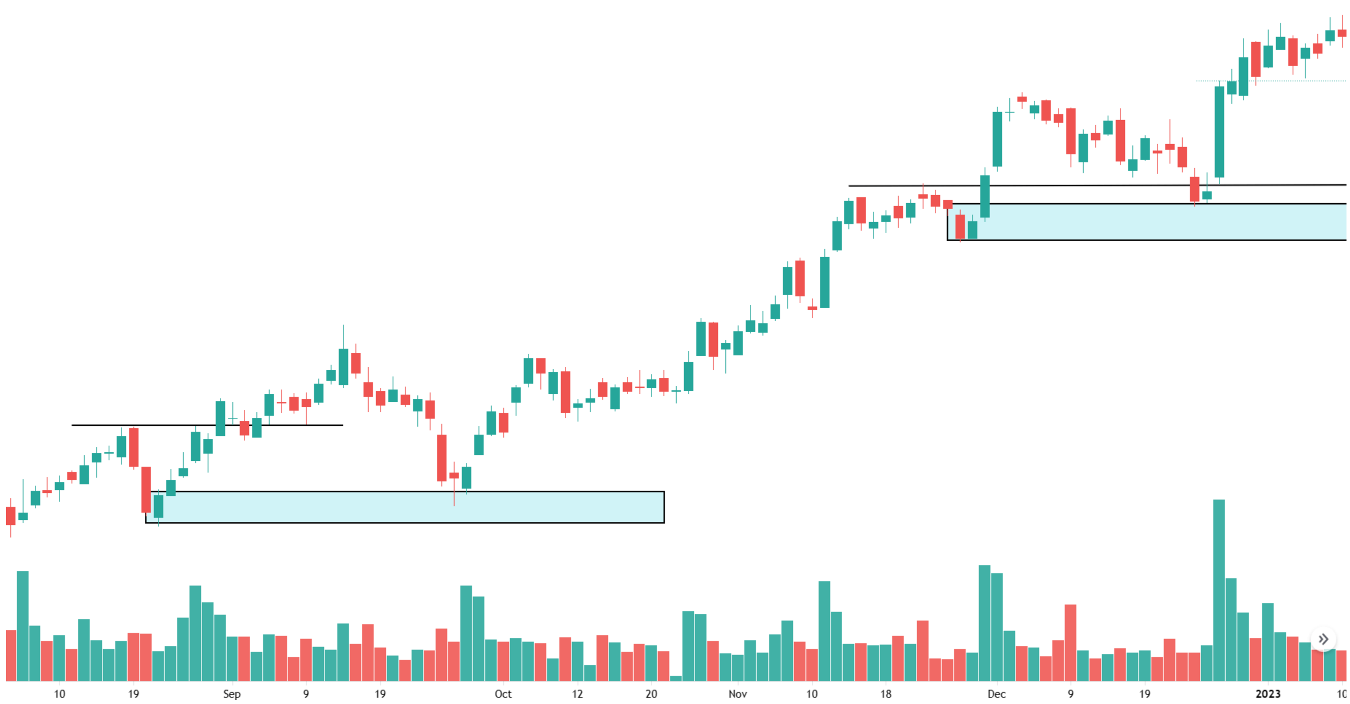
Step 3: Enter or Exit Positions

Look at the lower time frames and look for the lower time frame confirmations. One order block has been identified after the market structure break. Enter the trade: Once the order block level is confirmed, enter the trade in the direction of the order block, placing a stop-loss order at an appropriate level to limit potential losses in the event of a market reversal. Manage the trade: Once the trade is open, monitor it closely and be prepared to adjust your stop-loss order and exit the trade if necessary. For additional confirmation, we can use the confluence factor as an indicator.



As you can see, the market is downtrend, making a lower low and lower high. Valid bearish order blocked formed. Wait for any bearish sentry at the OB zone. OW check below the updated chart.

Here is another example



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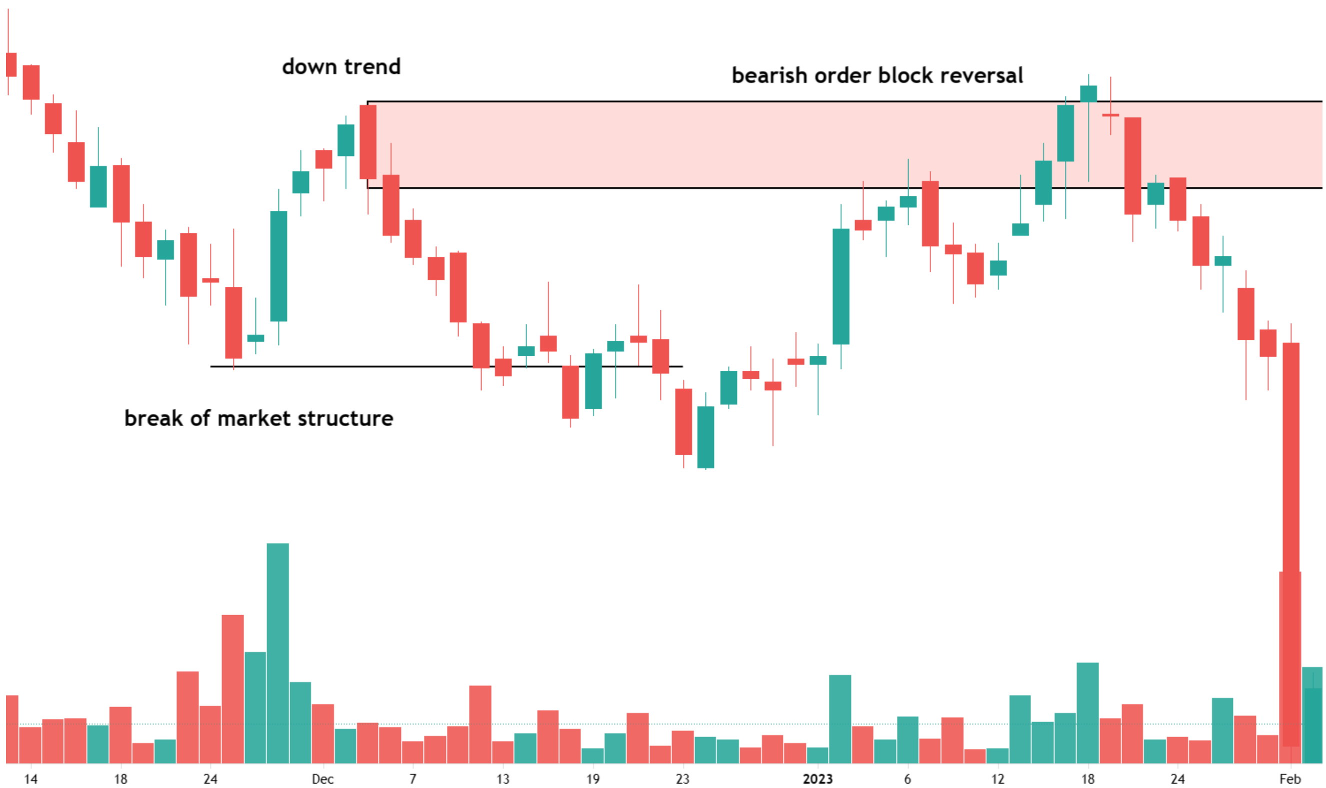
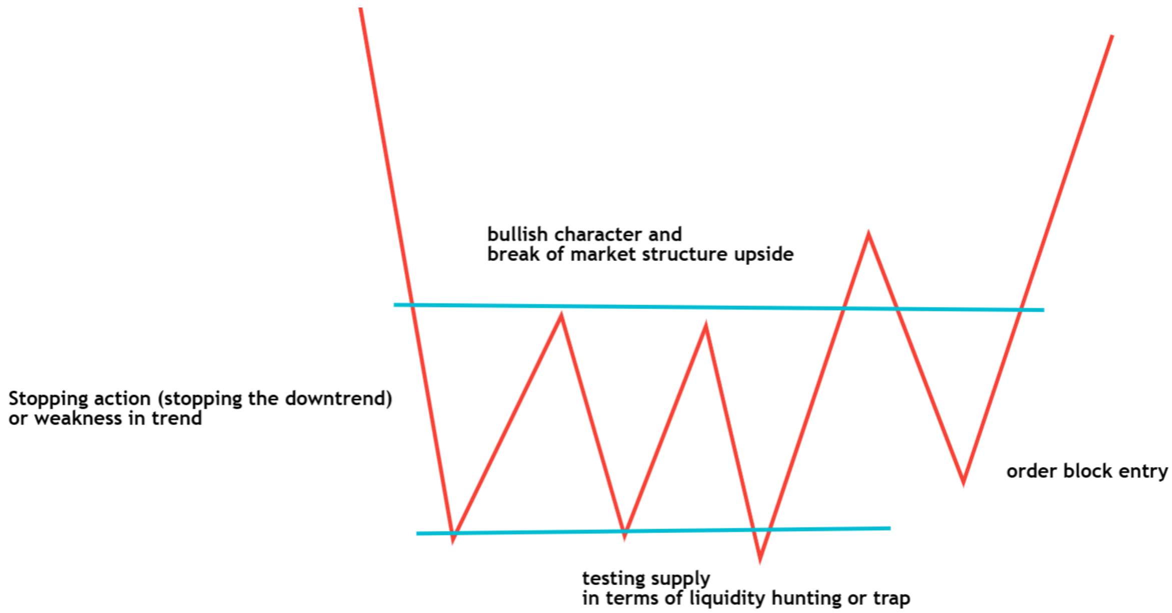


Change of Trend (Accumulation or Distribution)

It involves identifying key supply and demand zones on a price chart and waiting for a price flip or change in the trend to occur at those zones, which can signal a potential reversal. When broken, this structure can indicate a shift in market sentiment and provide opportunities for traders to enter or exit positions.

How Does Trend Change? From Bearish to Bullish

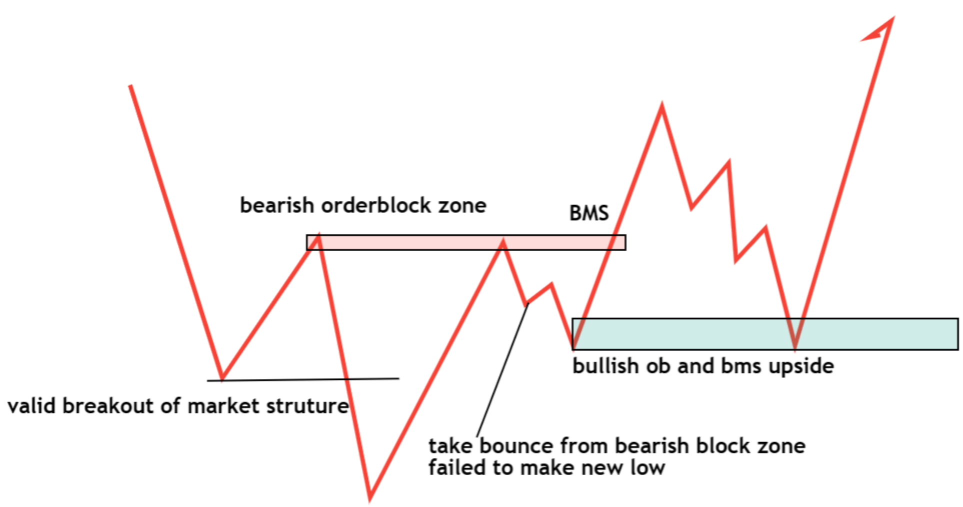
- Stopping action (stopping the downtrend) or weakness in the trend
- Change of behavior in range (strength of trend changes from bearish to bullish in terms of candle and volume)
- Testing of supply (testing supply whether present or not)
- Break of market structure (if no supply found in testing action)



Now, let's start with all reversal market structures in detail.

Supply Demand Flip

- Price created a new high (market structure bullish demand in control)
- It tested the last demand zone (OB zone), but the price took a technical bounce from the demand zone instead of actual buying, but could not create a new higher high in the uptrend.
- Instead of creating a higher high in the uptrend, it broke through the last demand zone. Supply in control, leaving a supply zone behind.
- When the price retests the supply zone, we will sell.



Step 1: Identify the Market Structure (and supply and demand zone)

1. Identify supply and demand zones: The first step is to identify key supply and demand zones. Supply zones are areas with more selling pressure than buying pressure, while demand zones are areas with more buying pressure than selling pressure.
2. Wait for the price to reach a supply or demand zone: Once supply and demand zones have been identified, wait for the price to reach one of these zones.

And wait for the flip of the zone.

1. Look for a price flip: Once the price reaches a supply or demand zone, look for a price flip or change in the trend to occur. This can be a trend reversal, where an uptrend changes to a downtrend or vice versa.

Traders should then watch for a break in the market structure. This could occur when the asset's price breaks through a key support or resistance level or when the price forms a new high or low outside of the current market structure. Confirm the Break with Volume To confirm the break of market structure. Traders should also look for an increase in trading volume. This can confirm that a shift in market sentiment is occurring and increases the likelihood of a successful trade.

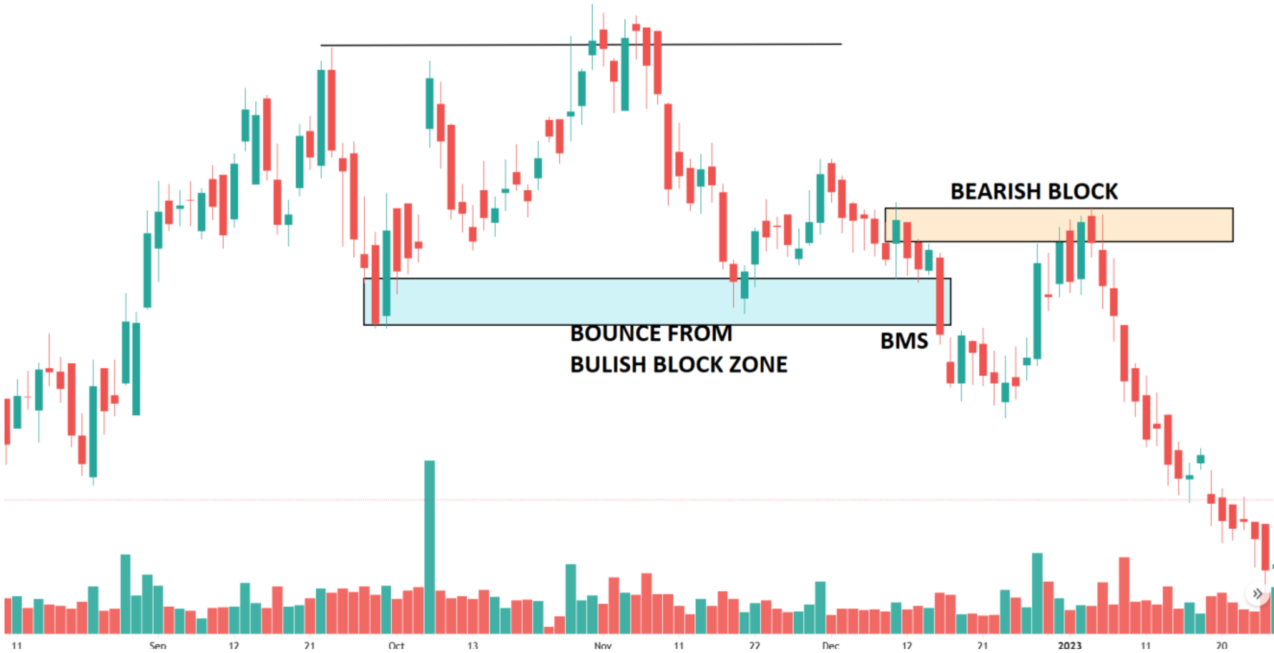
Step 2: Identify Potential Order Blocks

Confirm the order block level: Once the price flip has occurred, look for confirmation of the order block level by waiting for the price to return to the level and bounce off**.** Once the market structure has been broken, traders can look for potential order blocks. Order Blocks are footprints left by the market when an impulsive move occurs. Order Block (OB) is the last opposite candle before the strong move that creates an imbalance in the market. Once you have identified the market, the next step is identifying key bullish or bearish order block zones. These zones are areas with a significant imbalance between supply and demand. Look for bullish or bearish order blocks according to the higher timeframe trend. So, if the higher timeframe trend is a downtrend, you would look for a bearish order block; if you are in a bullish market, you would find a bullish order block.

Step 3: Enter or Exit Positions

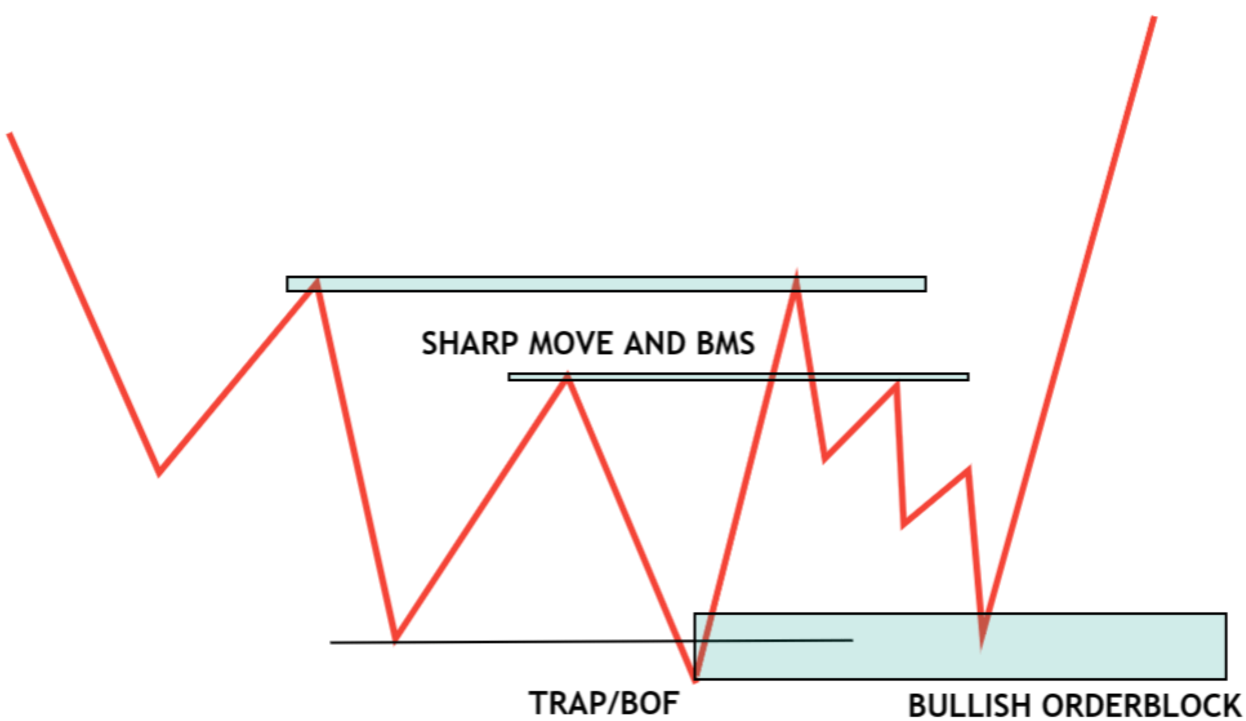
Look at the lower time frames and look for the lower time frame confirmations. One order block has been identified after the market structure break. Enter the trade: Once the order block level is confirmed, enter the trade in the direction of the order block, placing a stop-loss order at an appropriate level to limit potential losses in the event of a market reversal. Manage the trade: Once the trade is open, monitor it closely and be prepared to adjust your stop-loss order and exit the trade if necessary. For additional confirmation, we can use the confluence factor as an indicator.

1. **Enter the Trade:** Once the order block level is confirmed, enter the trade in the direction of the price flip, placing a stop-loss order at an appropriate level to limit potential losses in the event of a market reversal.
2. **Manage the Trade:** Once the trade is open, monitor it closely and be prepared to adjust your stop-loss order and exit the trade if necessary.



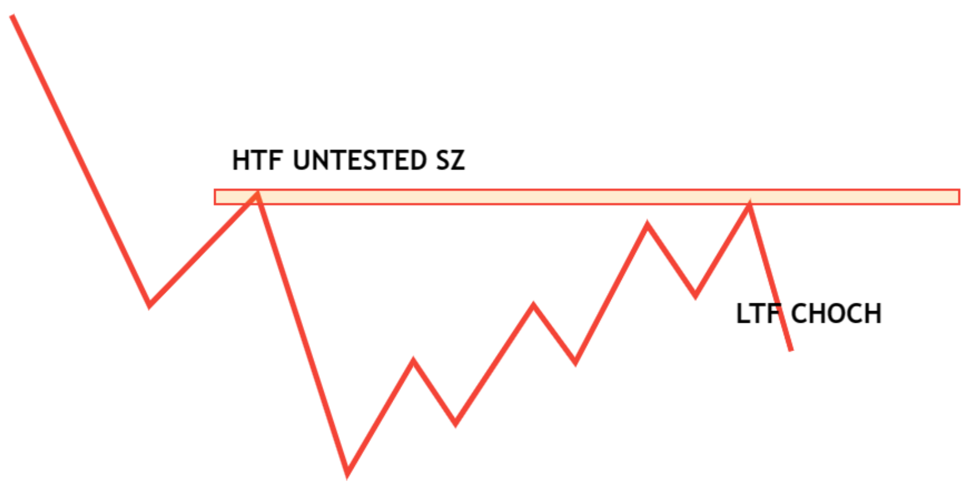
Change of Character

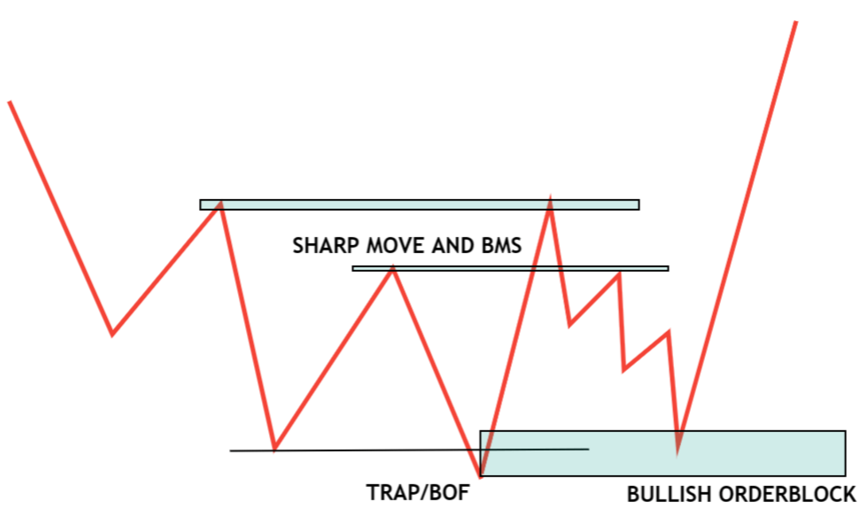
1. BOF/TRAP. They face strong supply, then the price breaks the untested lower time frame demand zone instead of bounce or reversal, and each near 2nd demand zone.
2. AR BMS (STRNG SUPPLY IN UPTREND) Supply in control, leaving a supply zone behind.
3. TEST OF OB. When the price retests the supply zone, we will sell.



This pattern forms near a higher time frame supply/demand zone. As the name suggests, it involves shifts in market sentiment and momentum by looking for changes in the price action structure on a price chart.

1. Identify untested higher time frame supply/demand zones and observe the price action around those levels. Look for signs of change in the character or behavior of the price action, such as the shift in the direction of the trend.
2. Identify potential order blocks: Order blocks are areas where large institutional traders may have placed buy or sell orders, leading to significant price movements.
3. Confirm the order block level: Once a change in character is observed, confirm the order block level by waiting for the price to return to the level and bounce off it or consolidate around it.
4. Enter the trade: Once the order block level is confirmed, enter the trade in the direction of the change in character, placing a stop-loss order at an appropriate level to limit potential losses in the event of a market reversal.
5. Manage the trade: Once the trade is open, monitor it closely and be prepared to adjust your stop-loss order and exit the trade if necessary.






BEARISH BLOCK
SHARP MOVE AND BMS
BMS
9
16
23
Dec
8
15
22
2023
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Feb
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22


BEARISH OB
SHARP MOVE
BMS
18
Nov
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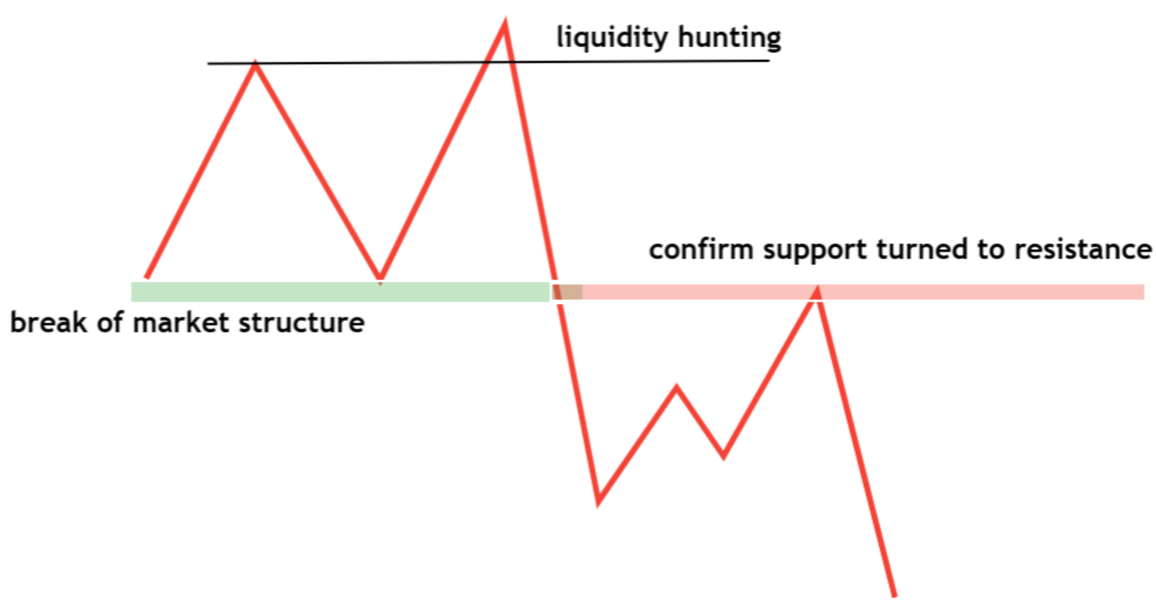
Breaker Block Trading Strategy:

In this article, I will discuss the Breaker Block Trading Strategy with Real-time Examples. In the smart money trading concept, it is called breaker block trading, and in the price action concept, it is called breakout test. The idea behind a breakout test or breaker block is that if the market can successfully retest the breakout level and continue in the same direction, it confirms the breakout's validity and suggests that the market will likely continue moving in that direction.

1. A breaker block strategy or breakout test involves looking for key support or resistance levels on a price chart that may cause a significant change in price direction when broken. When an SR/SD level is breached, it is considered a significant signal that the price may continue to move in that direction.
2. Then, please wait for the price to return to the breakout level to confirm that it has become a new support or resistance level. Once the level has been confirmed, traders can enter a trade toward the breakout.

Below is the basic idea about breaker block trading or breakout test trading strategy



Breaker Block Trading Strategy step by step

Step 1: Identify the key support or resistance levels in the range (accumulation/distribution)

Step 2: Watch for a price breakout above or below these levels, signaling a potential trend reversal or continuation.

Step 3: Confirm the breakout by looking at the trading volume and candle to see if the move is supported by market activity.

Step 4: Wait for the price to return to the breakout level and confirm that it has become a new support or resistance level. Look for the price to touch or bounce off the breakout level, indicating that it is holding at a new level of support or resistance.

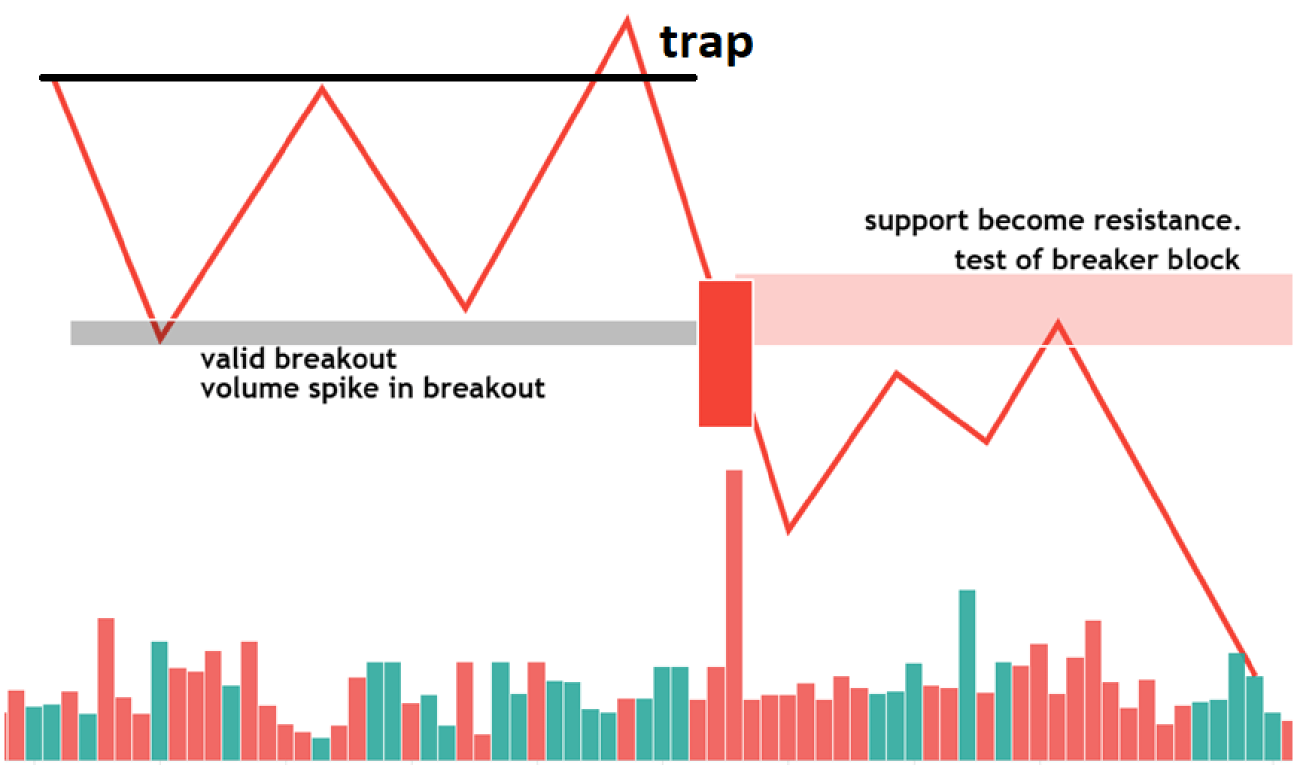
Step 5: Enter a trade toward the breakout, using stop-loss orders to manage risk. If it was a bullish breakout test or bullish breaker block, enter a long trade and place a stop-loss order below the breakout level and recent swing low.

Step 6: Monitor the trade closely and adjust stop-loss orders or exit the trade if the market moves against your position.

BREAKOUT CONDITION

- liquidity hunting and break of market structure
- Valid breakout
- HIGHEST CLEAN VOLUME OR WIDEST CANDLE (VOLUME SPIKE). The greater the volume and size of the candle, the stronger the breaker block.
- Should not break and follow through of the breakout candle

U can trade trend continuation or trend reversal. Here is the basic idea behind the valid breaker block entry method



Below is an example of a breaker-block trading strategy

Order Block Trading Strategy

The **order block strategy** identifies areas where significant buying or selling activity has occurred on a price chart. When the price returns to an order block, traders look for confirmation that the level is holding before entering a trade in the same direction as the previous buying or selling activity. 3 types of order block entries. In Order Block Trading, or **SMART MONEY MARKET STRUCTURE**

1. **SD FLIP**

2. **CHoCH**
3. **BOS**

Step 1: Look for areas on the price chart where significant buying or selling activity has occurred, creating order blocks.

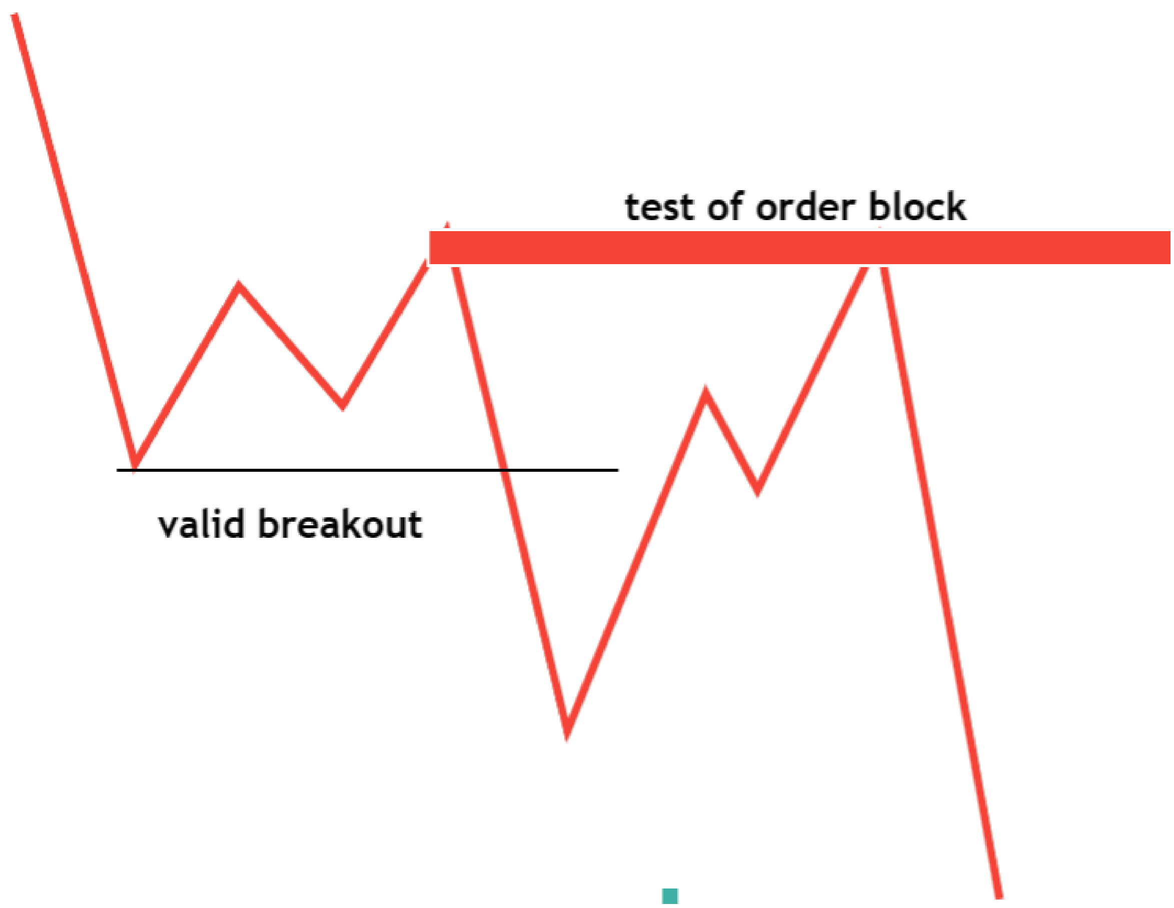
Step 2: Watch for the price to return to the order block area, which can signal a potential trading opportunity.

Step 3: Wait for confirmation that the order block is holding by looking for price action or trading volume.

Step 4: Enter a trade from the previous buying or selling activity, using stop-loss orders to manage risk.

Step 5: Monitor the trade closely and adjust stop-loss orders or exit the trade if the market moves against your position.

Break of Market Structure and Order Block Trading Strategy



DOWN TREND


order block zone
VALID BREAKOUT
break of market structure
22
Oct
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Dec
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15
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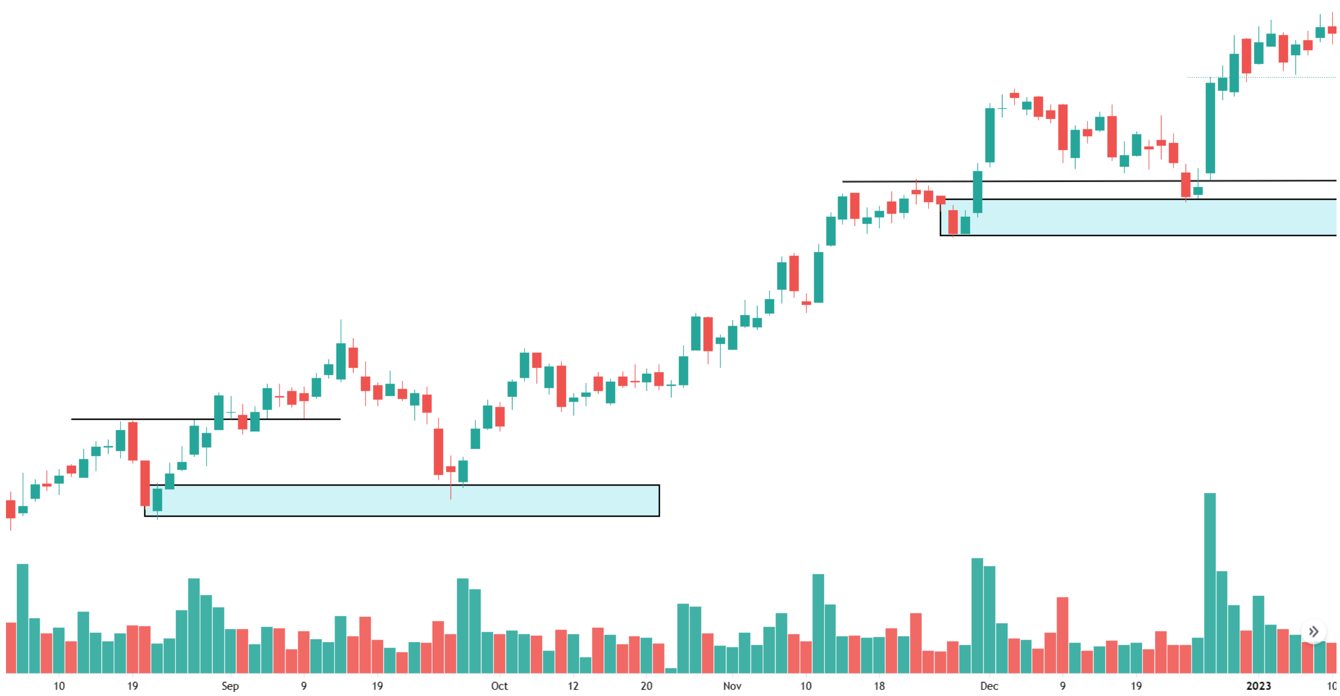
2023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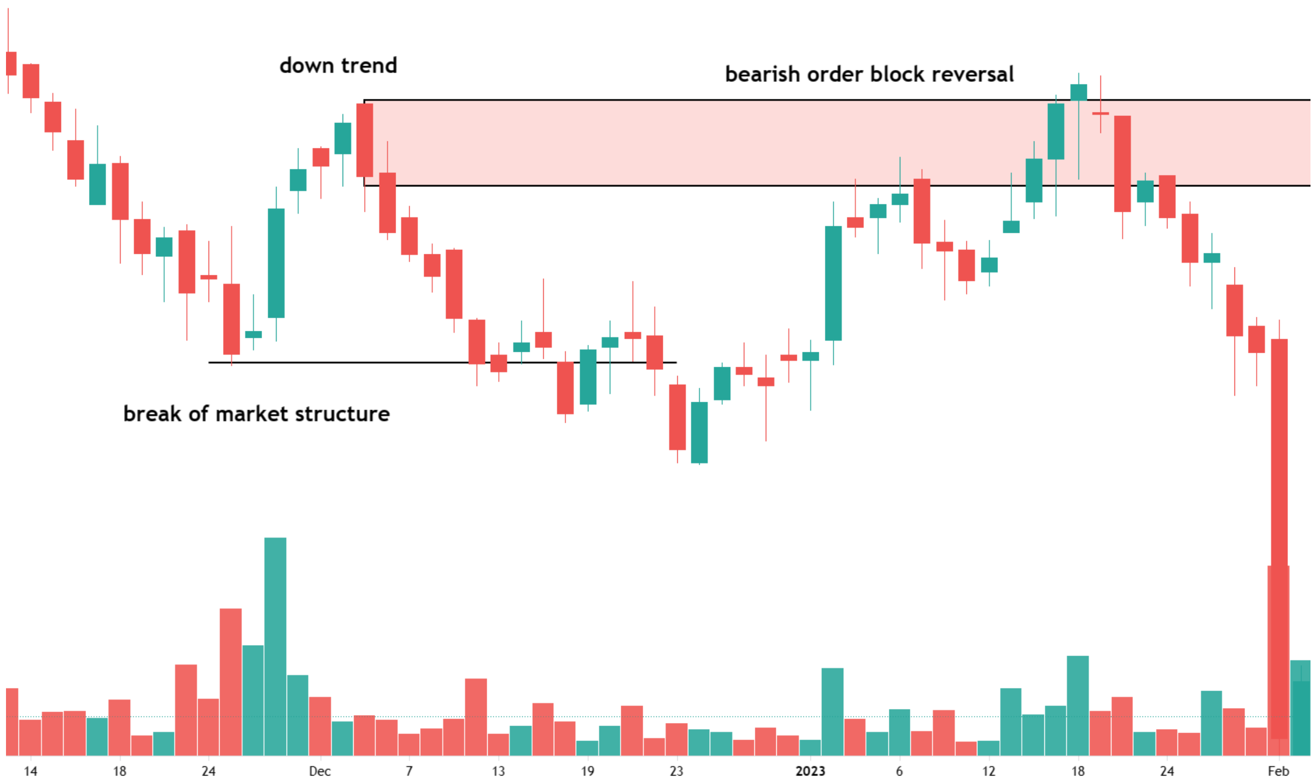
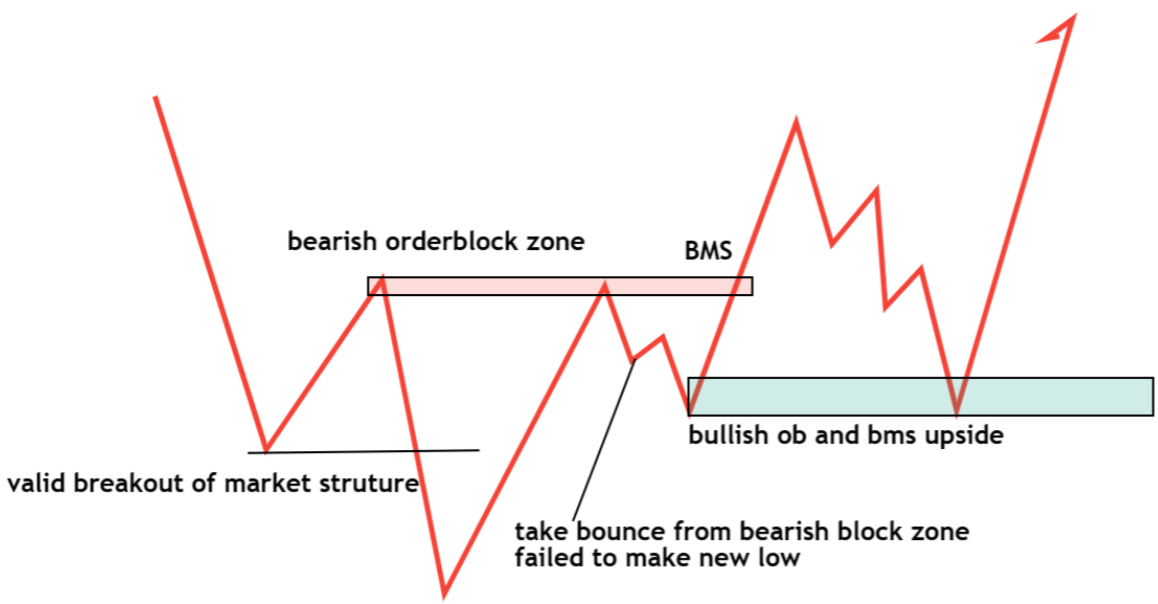
2023



Supply Demand Flip and Order block trading strategy



Change of Character and Order block trading strategy


BEARISH BLOCK
SHARP MOVE AND BMS
BMS
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Feb
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BEARISH OB
SHARP MOVE
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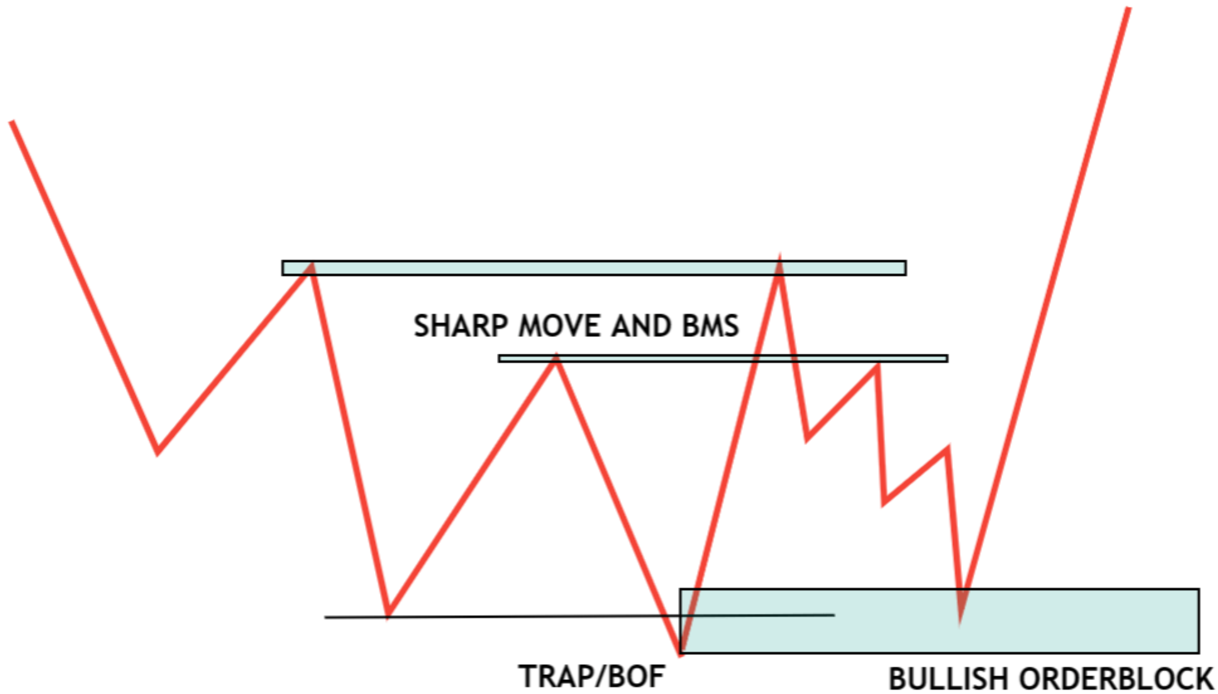


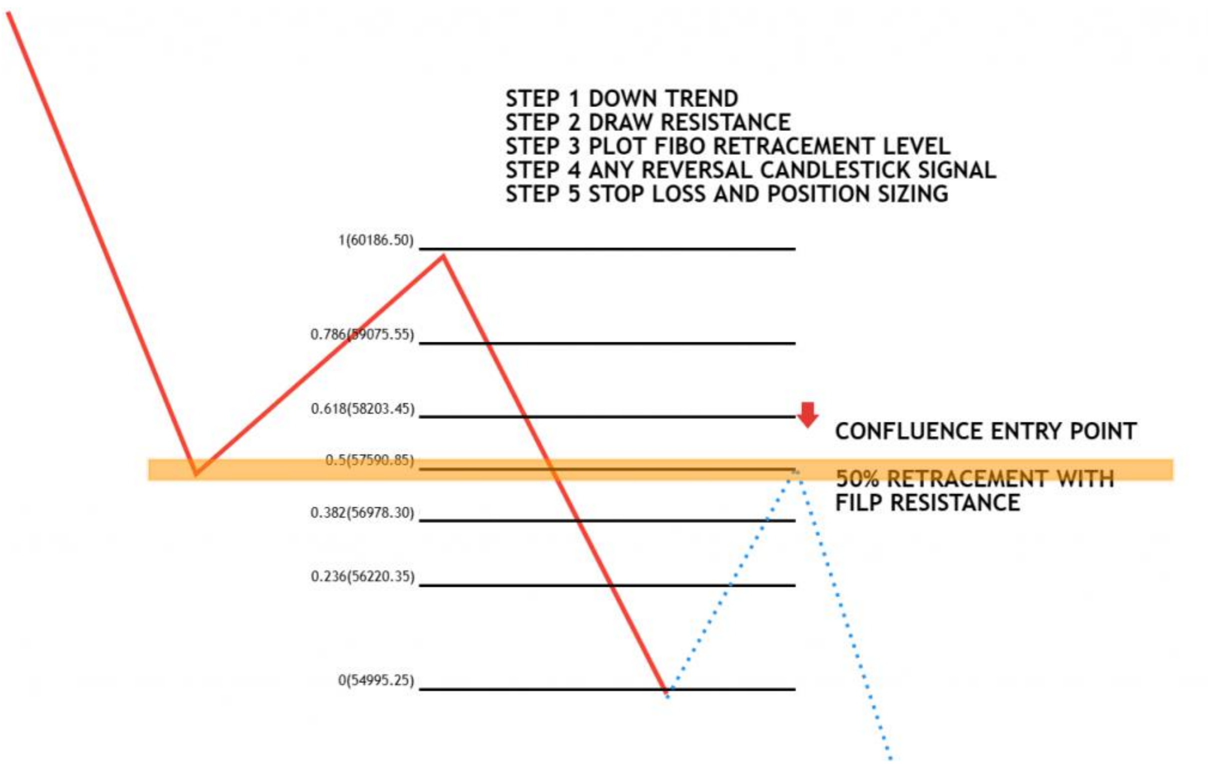
Pullback Trading Strategy:

The **pullback strategy** involves looking for temporary retracements in an instrument's price before it continues to move in its previous direction. Traders look for areas of support or resistance (using any confluence factor) where the price may retrace before continuing in its original direction**.**

Here are the basic ideas behind the pullback trading strategy

- After an impulse move formed. wait for any trend continuation **Chart Patterns** like the flag, pennant, wedge channel, etc

Below is the basic idea behind the confluence of fibo retracement +flip zone with pullback trading



Pullback Trading Strategy Step-By-Step Process

Step 1: Identify the instrument's trend by analyzing the price chart using the supply-demand zone or market structure. Wait for a valid breakout to continue or reverse the trend.

Step 2: Look for areas of support or resistance that the price may retrace before continuing in its original direction.

Step 3: Then look for temporary, weak retracements to any areas of support or resistance (using any confluence factor) where the price may retrace before continuing in its original direction. Wait for the price to pull back to the identified support or resistance level. Confluence zone (Flip zone /sd zone/fibo/trendline/ma/vwap/avwap)

- Look for continuation chart patterns like flag, pennant, wedge, channel, double top or double bottom, etc.

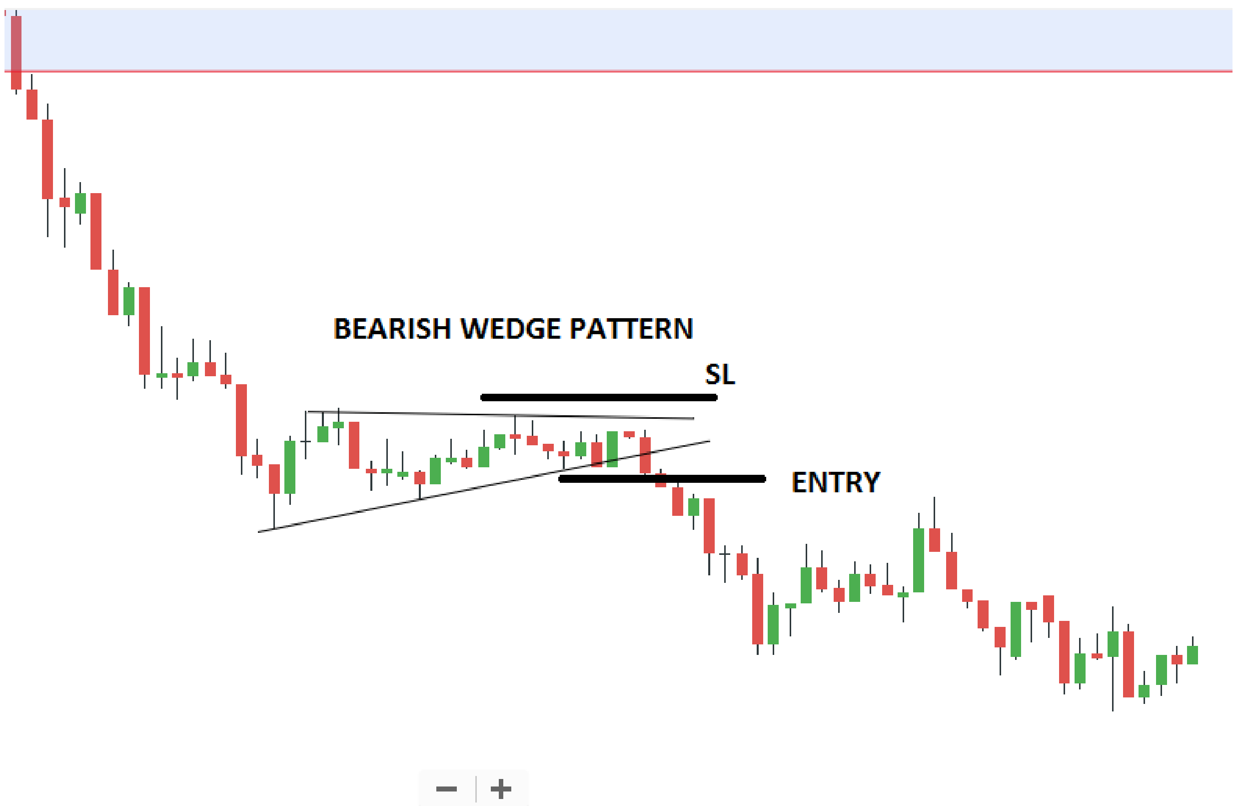
Step 4: Confirm the retracement zone by looking at price action or trading volume.

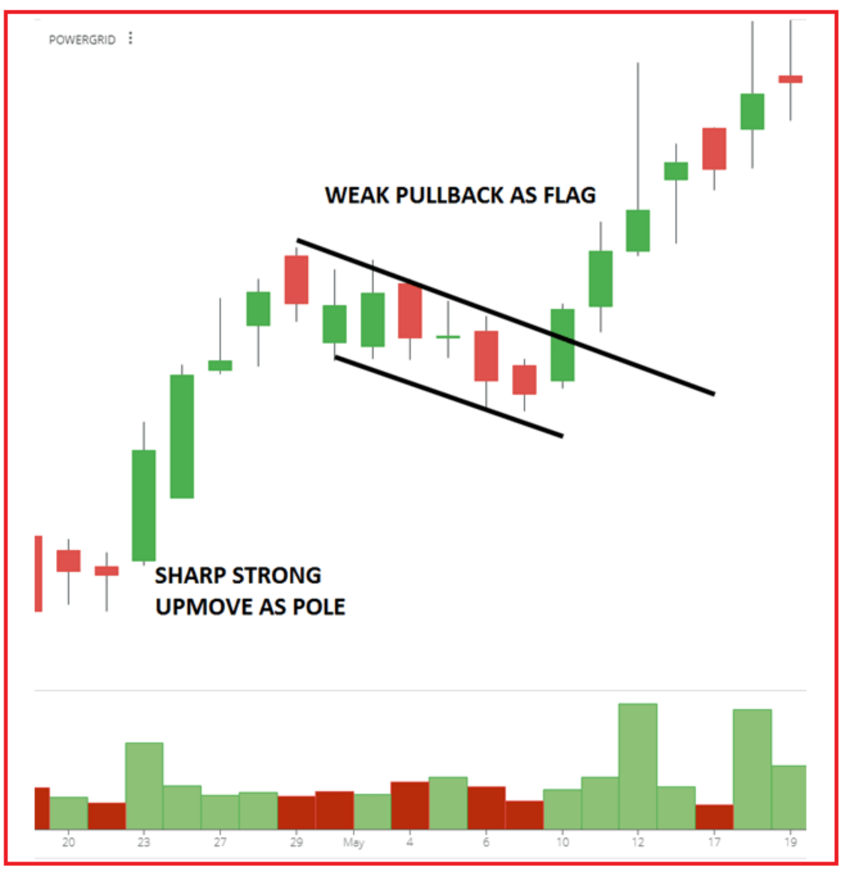
Step 5: Enter a trade in the direction of the original trend, using stop-loss orders to manage risk.

Step 6: Monitor the trade closely and adjust stop-loss orders or exit the trade if the market moves against your position.


Prices consolidate at or near highs with a defined pullback pattern like flag or pennant or tight range.
Price is in sharp up move on high relative volume(ACT AS POLE)
Buy when prices breakout above the consolidation pattern on high volume
Place stop order below bottom of consolidation pattern.


TY FEB FUT
BEARISH FLAG
ERODHA


BEARISH WEDGE PATTERN
SL
ENTRY


POWERGRID
WEAK PULLBACK AS FLAG
SHARP STRONG
UPMOVE AS POLE
20
23
27
29
May
4
6
10
12
17
19

Differences Between Breaker Block Trading, Order Block Trading, and Pullback Trading:

The key difference between these strategies is how they identify potential trading opportunities.

1. The breaker block strategy focuses on identifying significant support or resistance levels,
2. Order block strategy focuses on identifying areas where significant buying or selling activity has taken place,
3. The pullback strategy focuses on identifying temporary retracements in the price of an asset.

Each strategy has advantages and disadvantages, and traders should choose the one that best fits their trading style, risk tolerance, and goals. To implement these strategies effectively, traders should also understand technical analysis tools and market dynamics.

Liquidity Hunting or Stop Hunting in Trading

In this article, I will discuss **What is Liquidity Hunting or Stop Hunting in Trading** with Real-time Examples. Please read our previous article discussing the **Breaker Block Trading Strategy** with Examples.

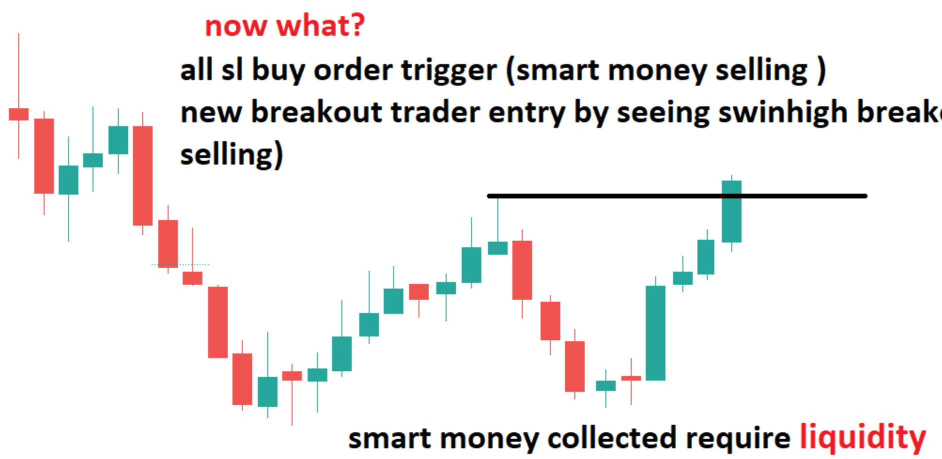
What is Liquidity Hunting or Stop Hunting in Trading?

Liquidity Hunting or Stop Hunting is when the price will move just above or below an area where retailer's stop loss orders are placed. Executing those orders and reversing.

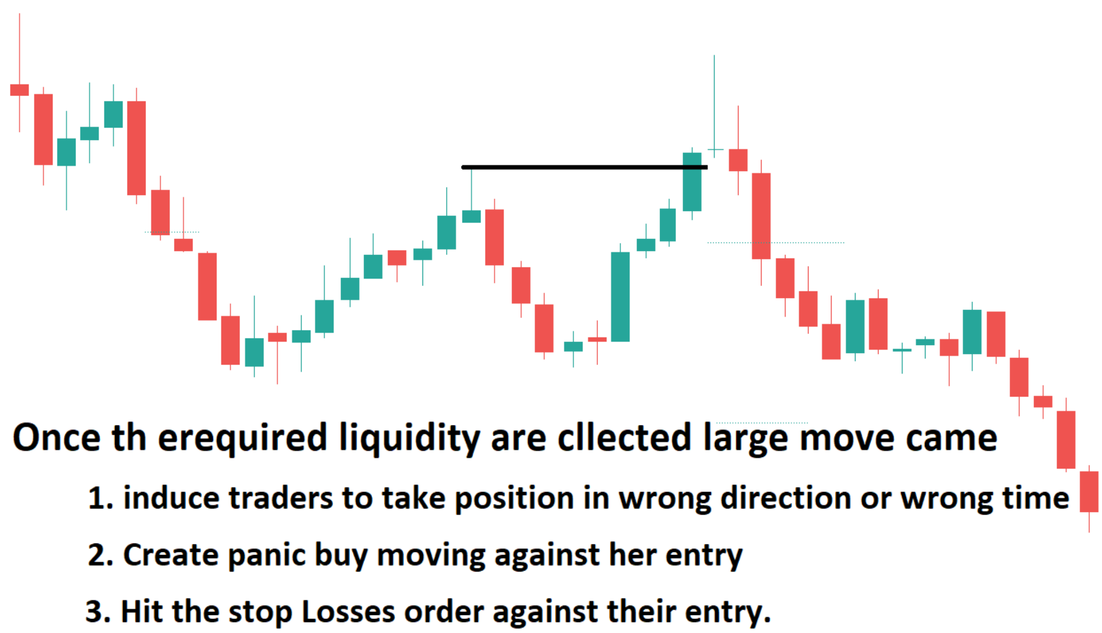
How do they do Liquidity hunting or Stop Hunting in Trading?

Let us discuss this with an example. The price is in a downtrend, and retracement is going on. You SELL by seeing bearish engulfing after retracement in a downtrend because that is the logical thing to do. The location you sold at was the correct thing to do, and if the price went down, you made money.

And then suddenly, the price moves up to the stop loss level, hits your stop loss, and takes you out of the trade. You think to yourself, “Well, maybe I just made the wrong trade.”



And then what happens if the price goes down, and after taking your stop loss? This means that all those stop orders and buy stops provided enough liquidity for the smart money to sell without incurring any slippage.



The objective of Liquidity hunting or Stop Hunting in Trading

Smart money before taking liquidity. They Build up Liquidity. Why are they doing this? They build their future Targets without any slippage and buy discounts and sell premiums.

Smart money only targets locations with higher Volumes pending, and he collects them by inducing traders to buy/sell in the wrong direction and trap them and stop them. So the main objectives of Liquidity hunting or Stop Hunting are as follows:

1. Avoid Slippage due to big orders. Stop hunts are a crucial mechanism for Institutions to be able to conduct large transactions without “slippage.”

2. Buy low(discounts), sell high (premium)

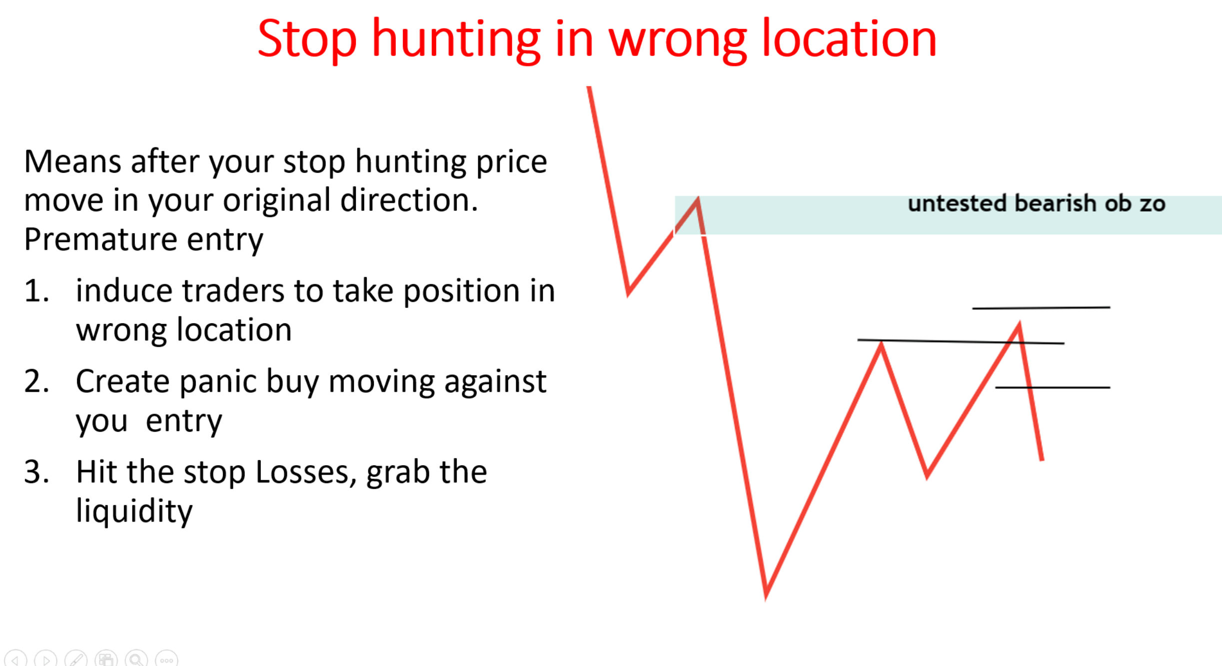
Types of Liquidity Hunting or Stop Hunting in Trading

Smart money uses two mechanisms for liquidity collection

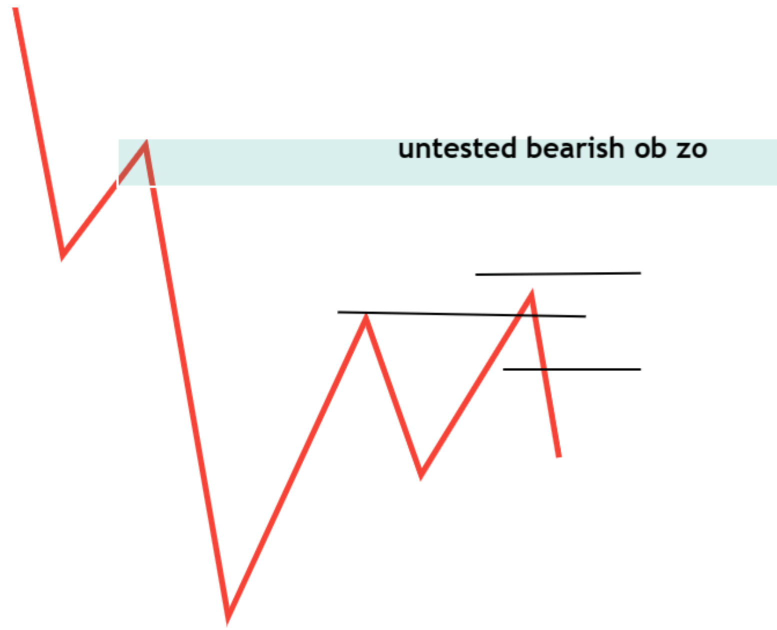
1. Inducement in the wrong direction
2. Stop hunting in the wrong location

Stop Hunting in the wrong location

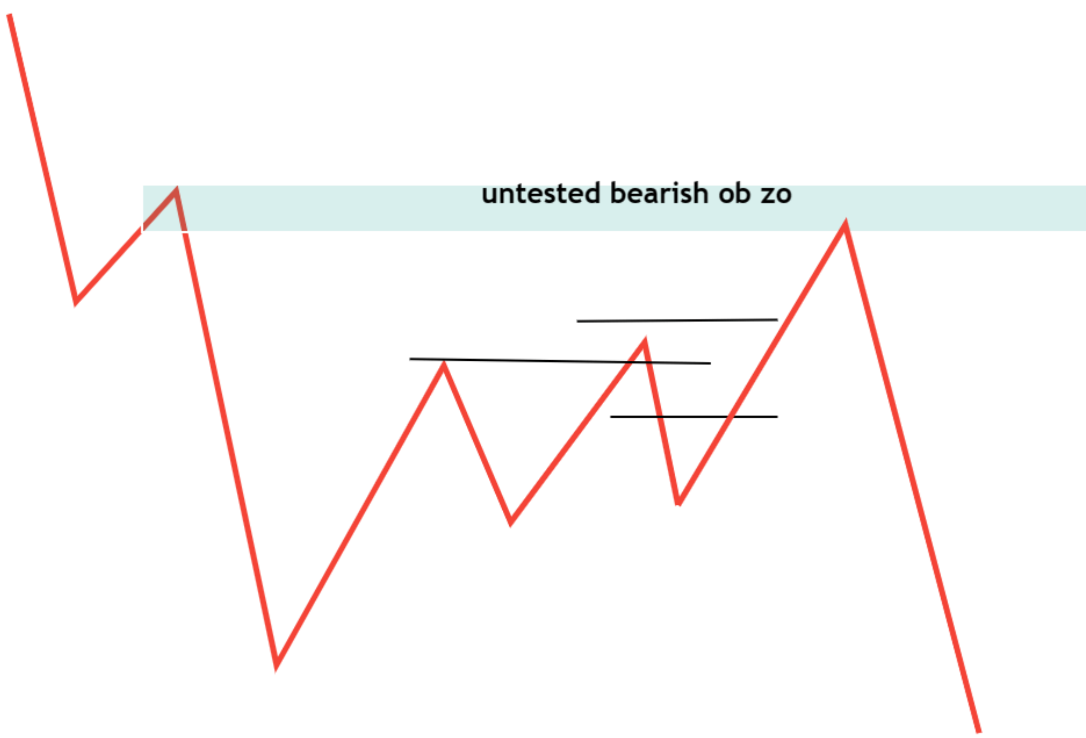
This means after your stop, the price moves in your original direction. Premature entry induces traders to take positions in the wrong location. Create panic by moving against your entry. Hit the stop Losses and grab the liquidity.



Let us give an example. The natural thing to do is to SELL when you witness a double top after a pullback in a downward trend. The location where you sold was “correct,” the price dropped, and you made some money.



Suddenly, the price rallies to your stop loss level, hits your stop loss, and takes you out of the trade. You think to yourself, “Well, maybe I just made the wrong trade.” And then the price goes down, and after taking your stop loss. This means that all those stop orders and buy stops provided enough liquidity for the smart money to sell without incurring any slippage.



Let us give an example. In the picture below, the Price took bullish momentum before reaching the demand zone. The natural thing to do is to buy the demand zone and sell at the supply zone, but the location where you sold was “incorrect.” This creates FOMO ENTRY for early buyers. You buy and put a stop loss below the demand zone.

The price falls to your stop loss level, hits your stop loss, and takes you out of the trade. You think to yourself, “Well, maybe I just made the wrong trade.” And then what happened is the price moved up after taking your stop loss. This means that all those stop orders and buy stops provided enough liquidity for the smart money to buy without incurring any extra slippage.

Inducement in the wrong direction

1. Induces traders to take positions in the wrong direction. Fomo Entry
2. Create panic by moving against her entry
3. Hit the stop Losses, grab the liquidity

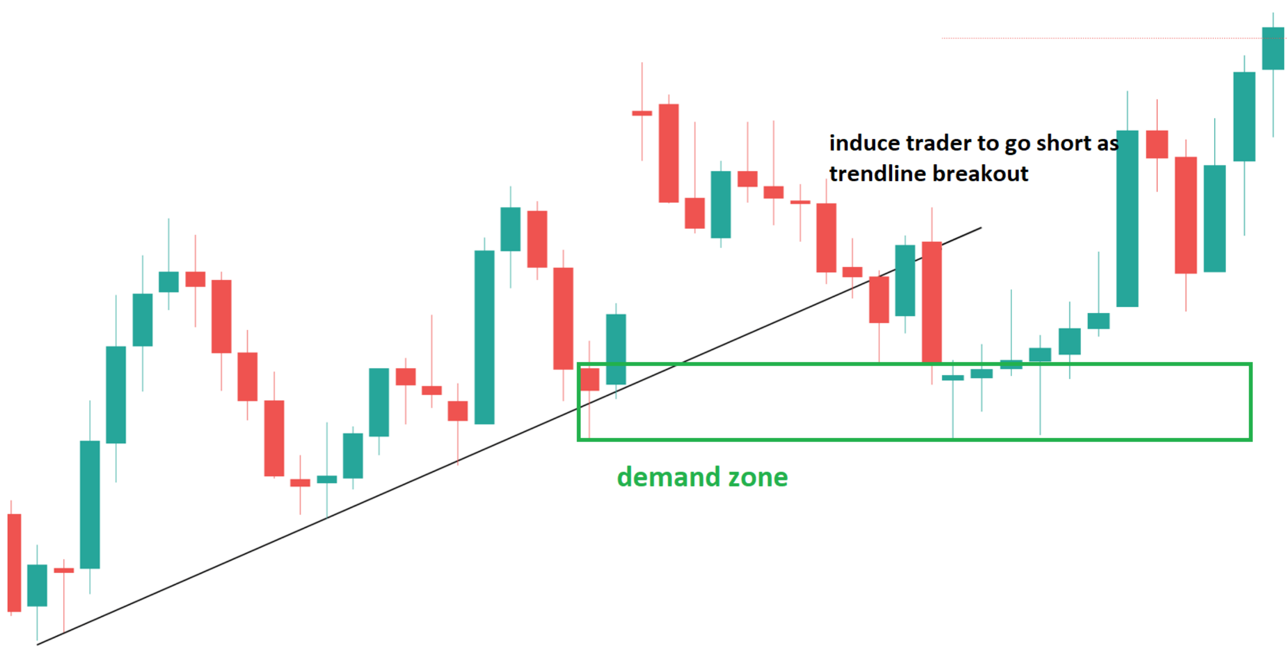
Induce traders to take positions by proving that the price will move in a certain direction. An inducement is a form of liquidity found near the Area of interest or supply-demand zones, which is basically seen as a trap for retail traders.

Inducement in wrong direction

Induce traders to take positions by providing evidence that price is going to move in a certain direction. Inducement is a form of liquidity which is found near Area of interest or supply demand zones. Which is basically seen as a trap for retail traders.

1. induce traders to take position in wrong direction. fomo entry
2. Create panic buy moving against her entry
3. Hit the stop Losses, grab the liquidity

Below is an example of an inducement



How do we know where the liquidity is in the chart?

Smart money only targets locations with higher Volumes pending, and he collects them by inducing traders to buy/sell in the wrong direction and trap them and stop them. Once you can identify where volumes are, you have identified where the smart money trades from, and you trade with them.

Liquidity-hunting locations are like

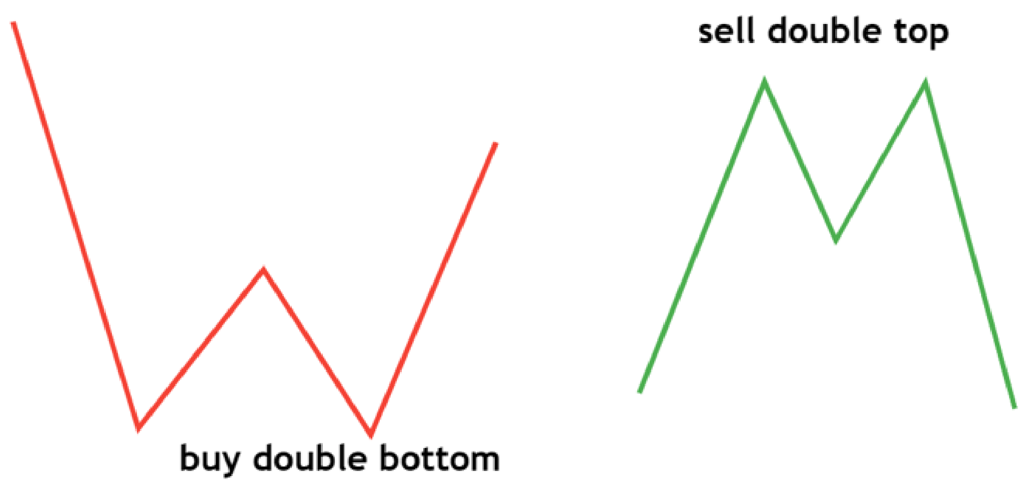
1. support and resistance, or supply demand zone or order block zone
2. the area on consolidation/accumulation
3. double top, double bottom, and
4. Trendlines. Or chart pattern
5. Previous day high low
6. Session high low (The beginning of the day)
7. At the end of the day

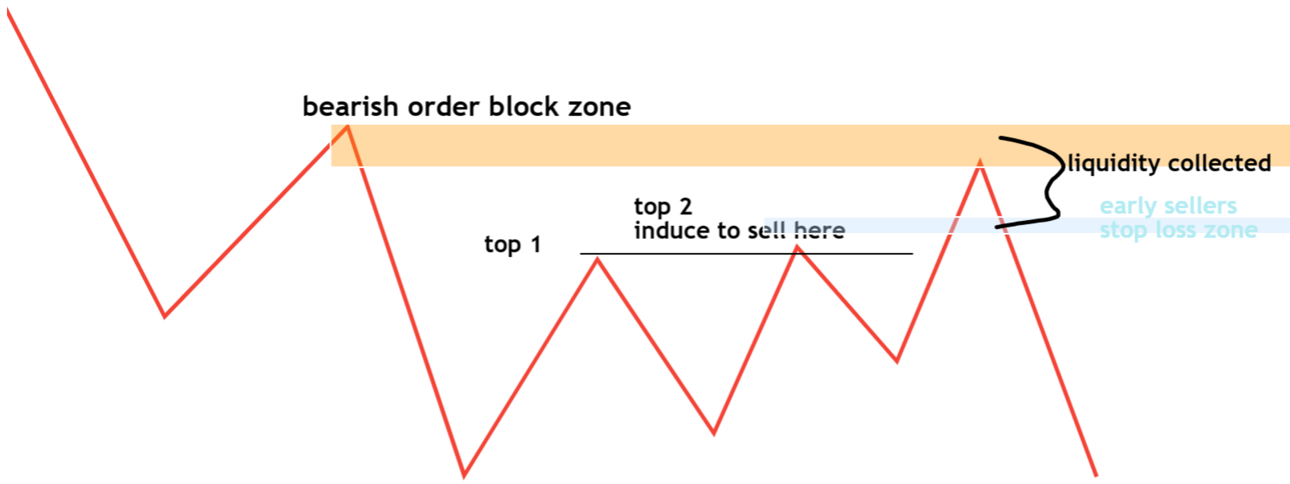
These areas are mostly generating liquidity in the markets. We expect the price to be manipulated around these locations. Range /consolidation /any support resistance zone

- Range traders who have taken short positions at the top of the range will have a stop loss above the range. Therefore, the initial breakout will hit all stop-loss buy orders.
- The breakout movement will begin to induce traders to take long positions as breakout trading.
- Induce to take long entry at the test of the flip support zone
- Once the price sustains beyond the flip zone again, new long-entry
- All of these entries become liquidity for smart money
- Once the required liquidly collected by smart money, they reverse the direction

Double Top, Double Bottom

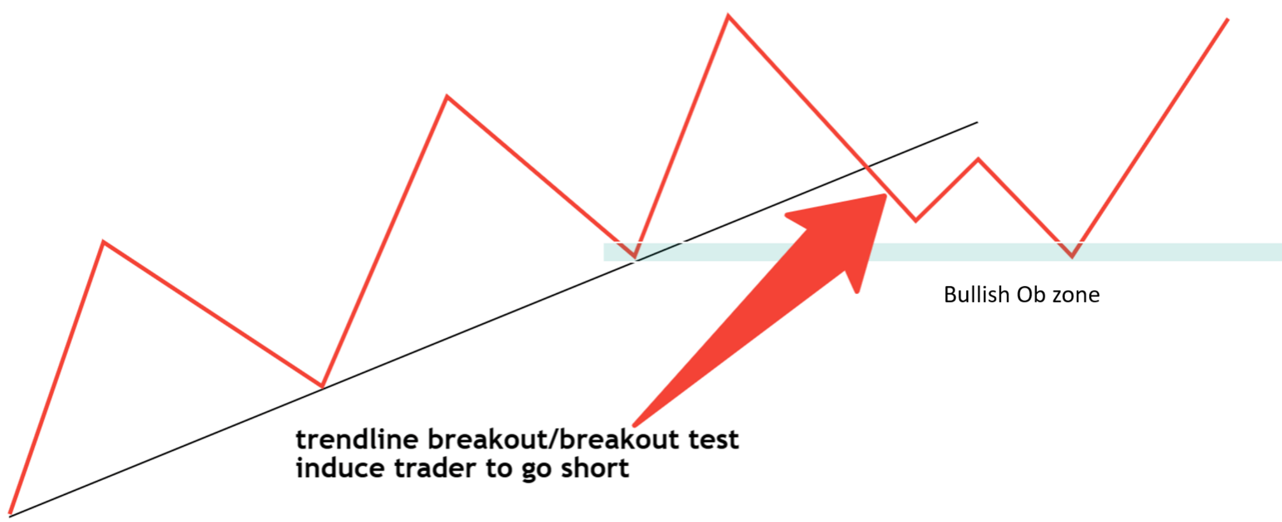
From the mindset of retailer's trader. We buy the double bottom and sell the double top. Smart money is aware of this. They can see that stop-loss orders are building up there in large numbers. The primary responsibility of institutional traders is to sell the shares they currently hold. They want to buy low and sell high without any slippage.



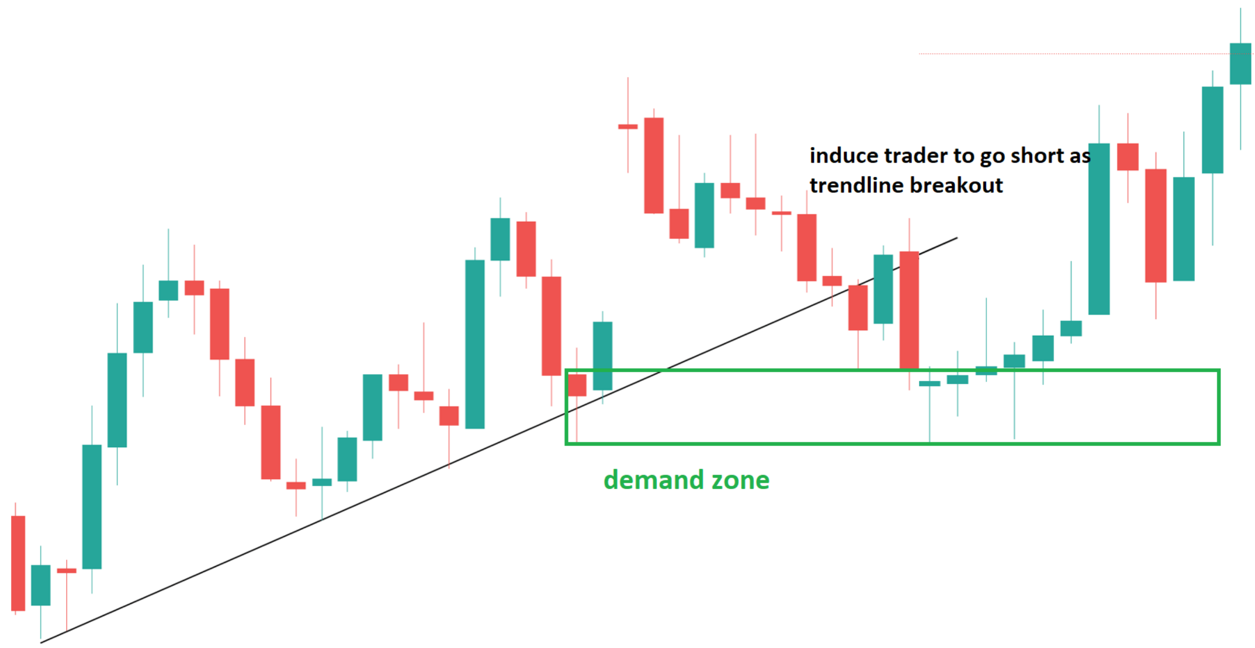


Trendline and Pattern

Trendline liquidity

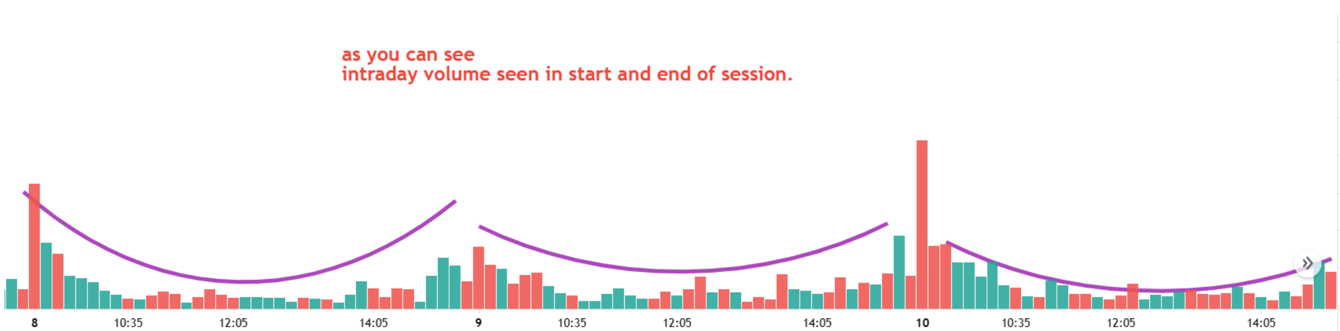


Below is the bullish order block with trendline liquidity hunting

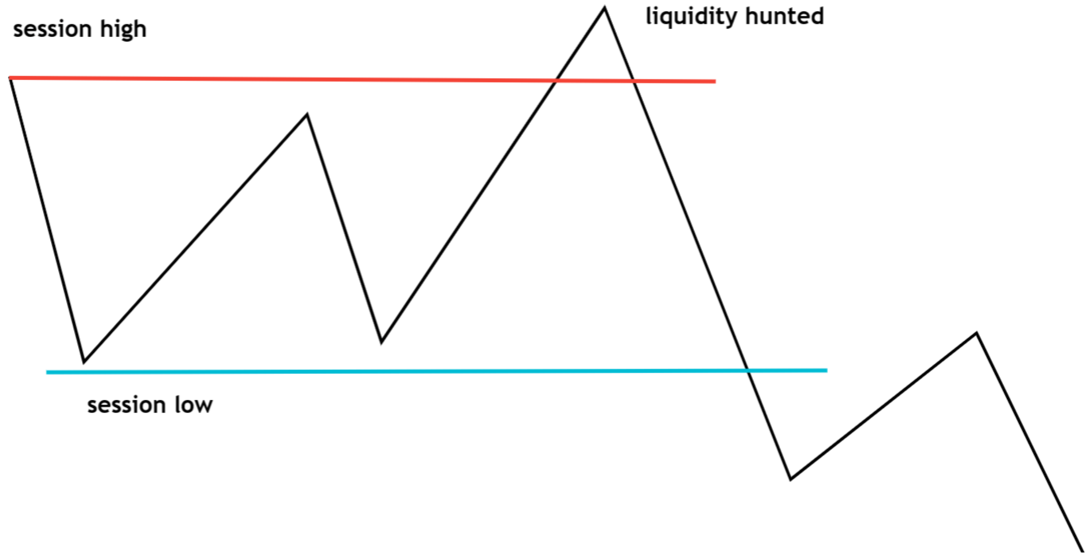


Session Liquidity in Trading

Let me see you first the volume curve of intraday trading



Session high and low act as lie liquidity because most traders stop loss orders above high or below low.


session high
liquidity hunted
session low

Sniper Order Block Entry Trading Strategy

Core Concept of Smart Money Trading System Using Order Block

Following the movements of major institutional investors or traders, who are often thought to have access to greater knowledge and resources than individual retail traders and who have the power to change the movement of the market, is referred to as "smart money." In trading

Who are they?

1. They can influence prices and direction because they actually have the power to change the market.
2. They can choose the top or bottom, or they can choose against the trend.

How can one recognize Smart Money (SM)?

By examining an order block or supply-demand region in a chart. Supply and demand (SnD) zones, or Order Blocks, are footprints the market leaves when an impulsive move occurs.

1. The Spread (i.e., range of the price bar) increasing
2. The clean Close (the point where the price closes on the current bar). And Consecutive directional candles close
3. The Volume (i.e., activity), generally volume increasing on impulse move

What is the Order Block in Trading?

Order Blocks are footprints left by smart money when an impulsive move occurs in the chart. Order Block (OB) is the last opposite candle before the strong impulse move that creates an imbalance in the market and breaks the market structure. Price will likely return to those zones before it triggers another impulse move to continue with the trend.

What is a smart money trap in Order Block?

Every order block is not a valid order block. Then how smart money trap. Smart money only targets areas where higher Volumes or liquidity are pending, and he grabs the liquidity by

1. induce traders to take positions in the wrong direction or location
2. Create panic and fear by moving against their entry
3. Hit the stop Losses and grab the liquidity

Why did they do this?

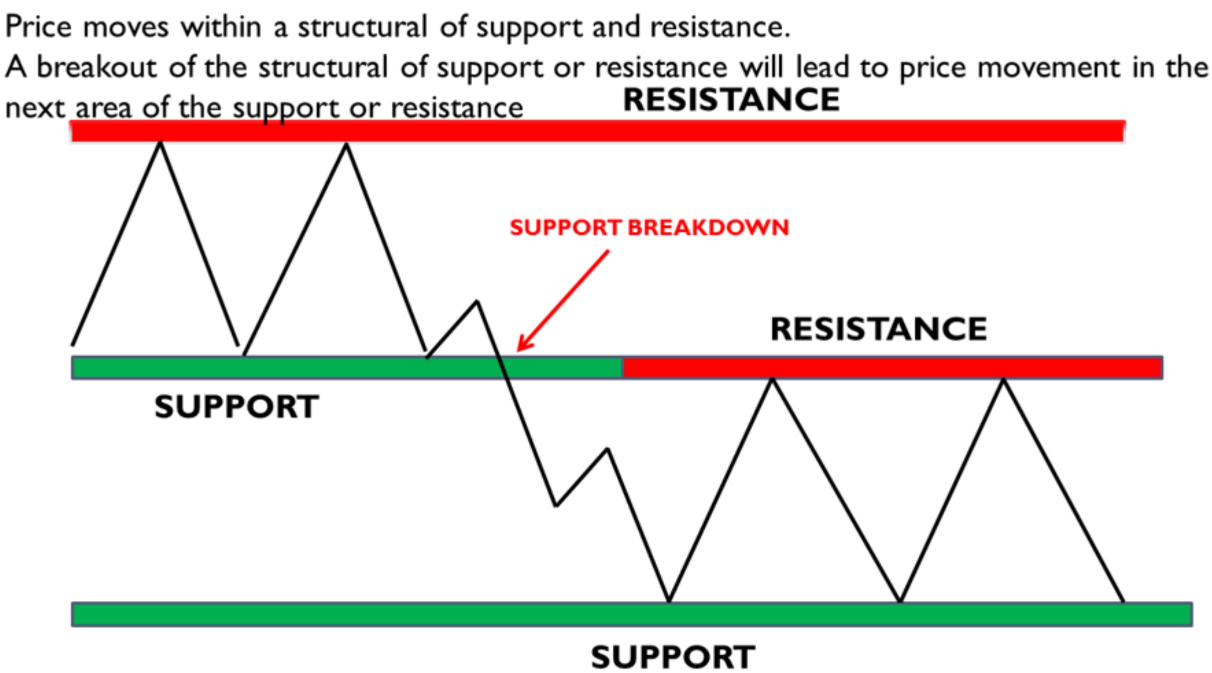
The main objectives of the smart money trap are as follows:

1. Avoid Slippage due to big orders. Stop hunts are one of the mechanisms for Institutions to be able to carry out large transactions without "slippage."
2. Buy low(discounts), sell high (premium)

Sniper Order Block Entry Trading Strategy Step-By-Step Process

Step 1: Identify market Structure (who is in control)

Principles of Smart Money Market Structure in Order Block Trading in any time frame. Price moves within the structure of the supply and demand zone. A breakout of the structure of the demand or supply zone will lead to price movement in the next area of the supply or demand zone.



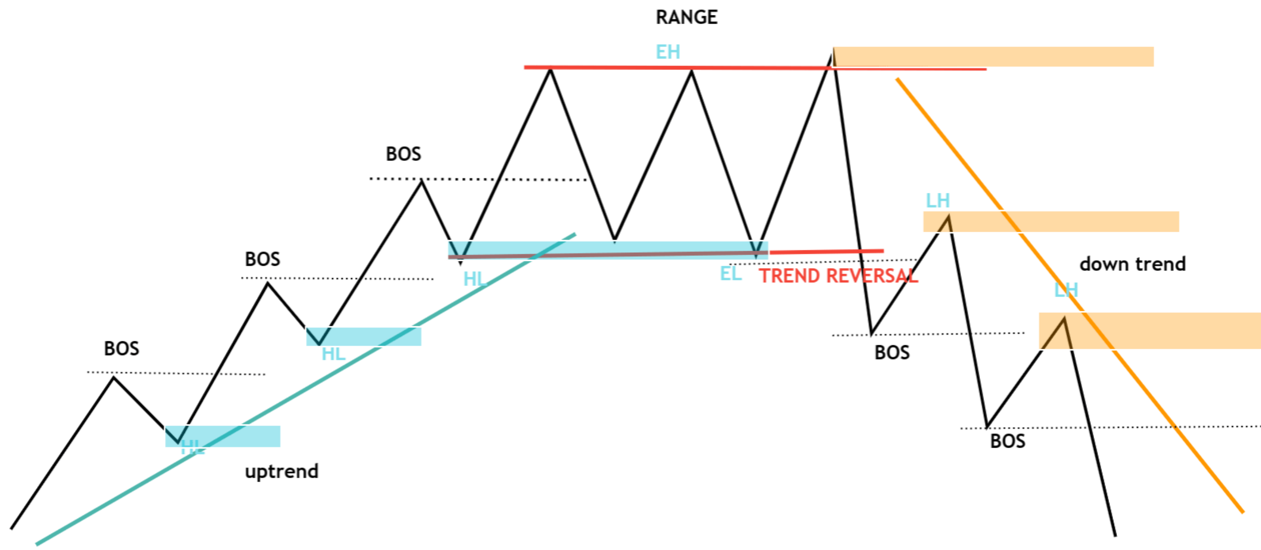
How do Wwe Identify the Market Structure in any time frame?

Analyzing a chart's price movement is one of the simplest ways to spot a trend. A downtrend is defined by a sequence of lower highs and lower lows, whereas an uptrend is defined by a sequence of higher highs and higher lows. The market structure gives us the bias for entry when the price breaks support or swings low in an uptrend, and it may indicate a trend shift to a bearish market.

The sideways market happens when the price moves between predefined support and resistance, which means 2 equal highs and lows. Price stays in a range during this point of the market and is in consolidation. This range is broken if the price breaks out from the top or bottom of the range, and This may be the beginning of a new trend, either in trend continuation or trend reversal. The higher time frame structure is for the market's direction, which means who is in control; we want to trade the controlling side of the market.

3 types of Market Structure:

1. Uptrend is also known as a Bullish Market. Will buy at discount zone or demand zone
2. A Downtrend, also known as a Bearish Market, sells at a premium or supply zone.
3. Sideways or Ranging Market. If ranging, will I scale down to a lower timeframe to find opportunities at a range high or low, and will stay out of the market in the middle of the zone?



Supply and demand zone or Order

DOWN TREND

these zones are used to determine who is control .we want to trade controlling side of the market

here supply in control
we want to sell

bock zone (any time frame)

Step2: Finding Order Block in multiple time frames

Trading professionals often use multiple time frame studies to understand the general market trend and spot possible trading opportunities.

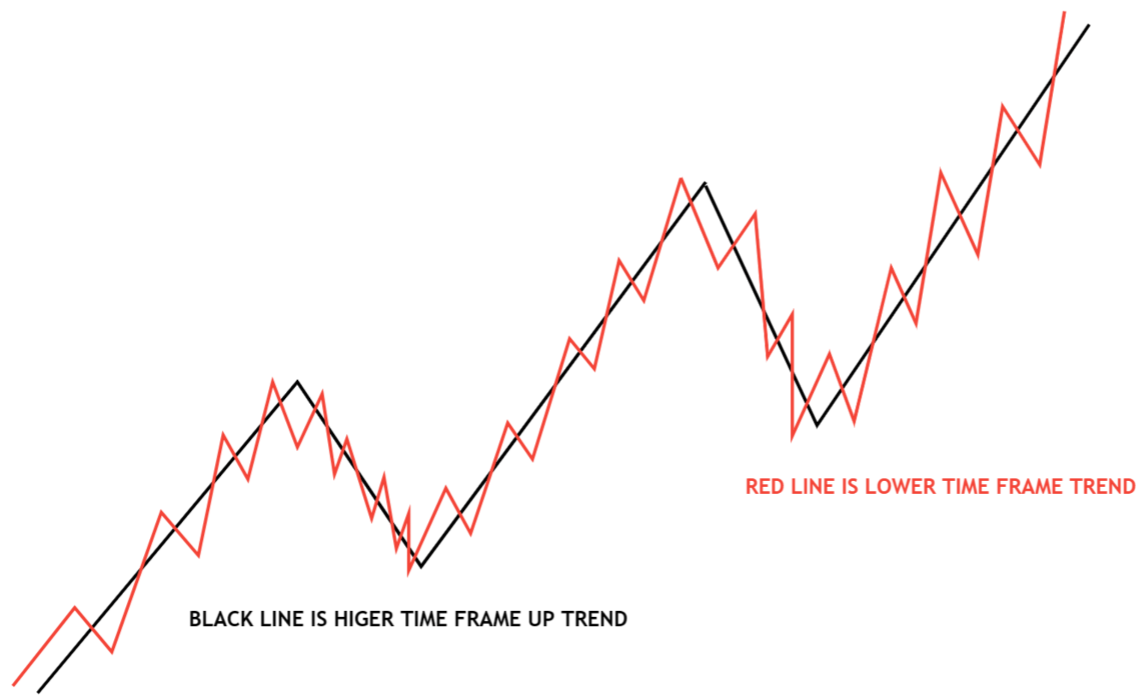
You must first decide which time frames are important for your analysis to carry out a multiple time frame order block analysis. To identify the general trend, for example, you might begin with a higher time frame, like a daily chart. Then, you might switch to a smaller time frame, like the 1-hour or 30-minute chart, to find more precise levels of support and resistance.

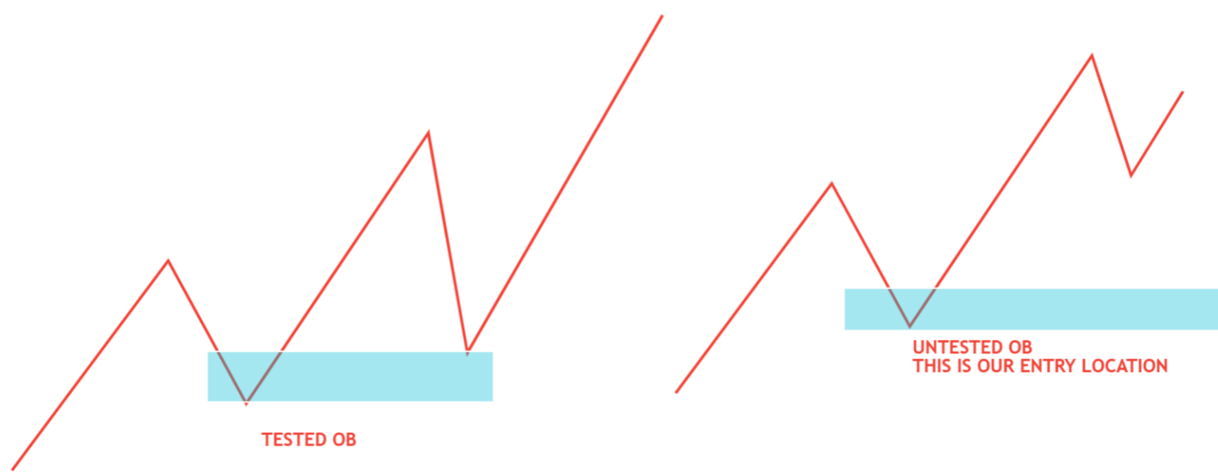
If you have identified order blocks across multiple time frames, you can utilize this knowledge to make your trading decisions. A lower time frame order block at a key level of support, for example, would indicate that the market is likely to reverse direction and move upward. On the other hand, a higher time frame order block at a significant level of resistance may indicate that the market is likely to continue moving lower.

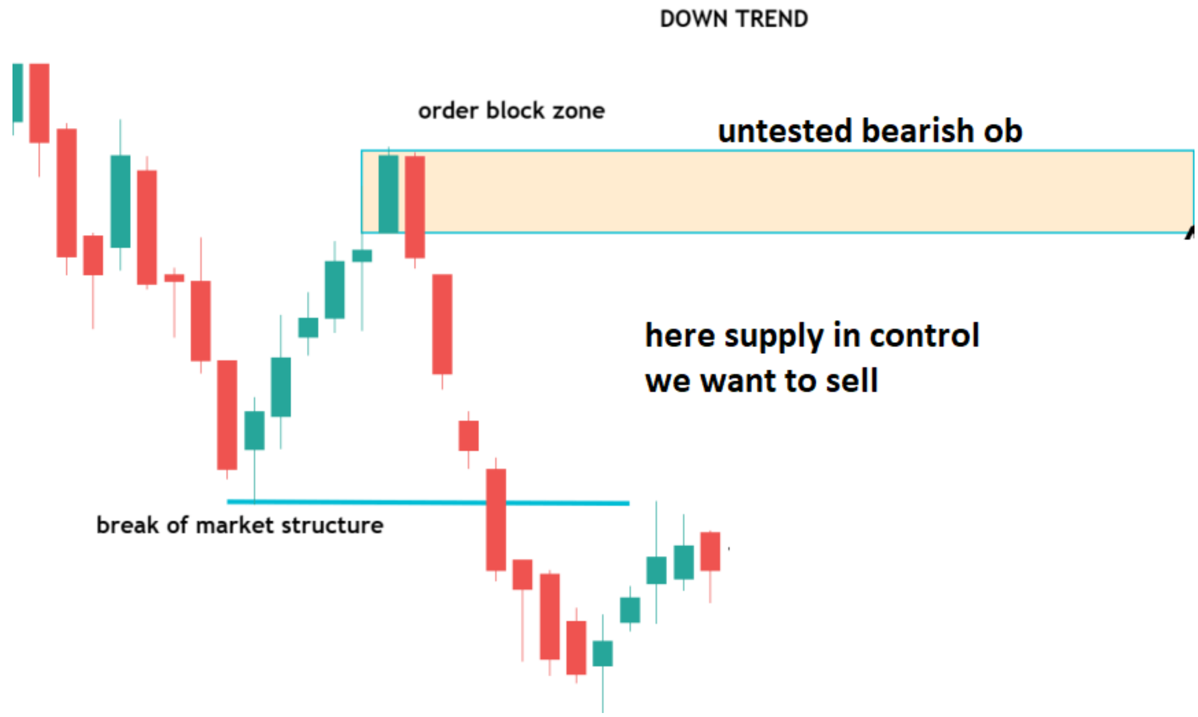
The market is fractal in nature, and depending on the market structure, we know our bias and its change from time to time. Suppose a higher time frame (HTF) IN CORRECTION is a bullish trend. Then, in a lower time frame, it's a bearish trend. depend open both time frames we have to select which entry method to apply and also whether to risk entry vs confirmation entry

1. Trend cont. entry or
2. Trend reversal from higher time frame zone
3. AGGRESSIVE vs. confirmation entry

Note: – IF TRADING ANY REVERSAL FROM a higher time frame, then confirmation entry is safe. avoid entry in the tested order block


RED LINE IS LOWER TIME FRAME TREND
BLACK LINE IS HIGER TIME FRAME UP TREND


UNTESTED OB
THIS IS OUR ENTRY LOCATION
TESTED OB



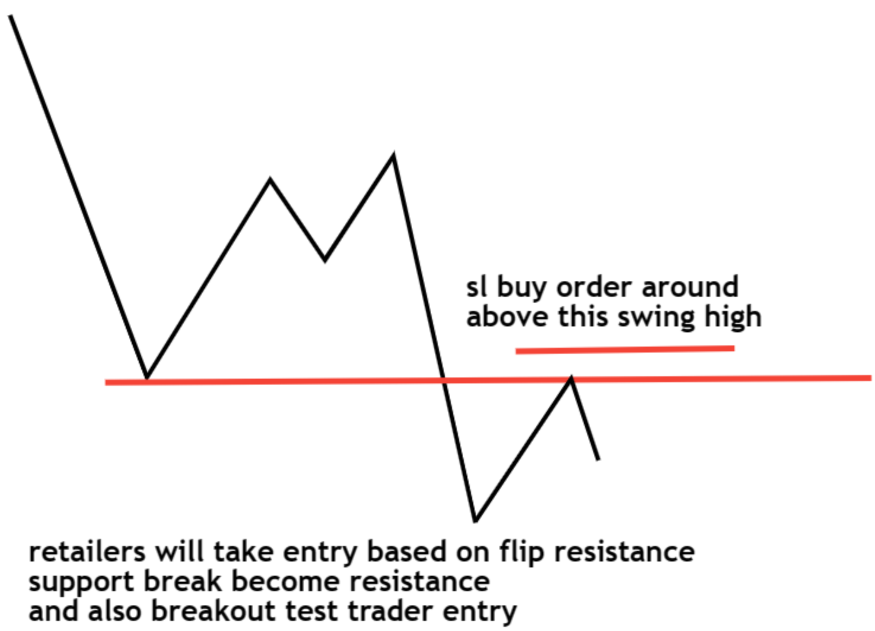
Step3: Identify smart money trap in Order Block

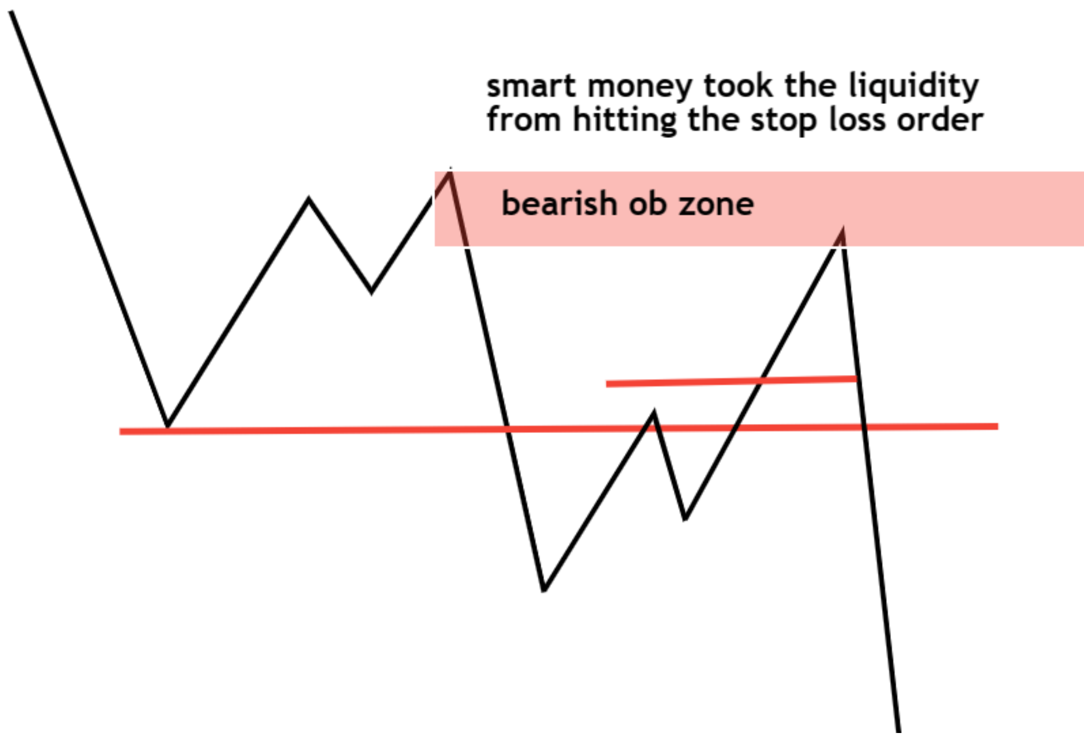
This is done by either

1. Liquidity hunting
2. Inducement

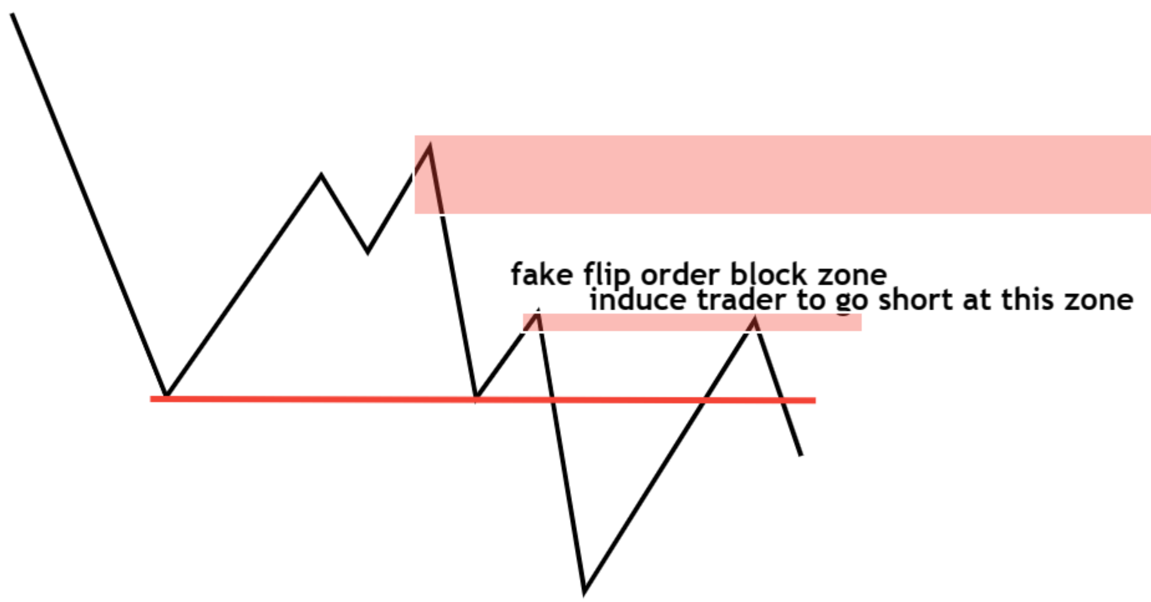
Below is an example of one type of liquidity hunting

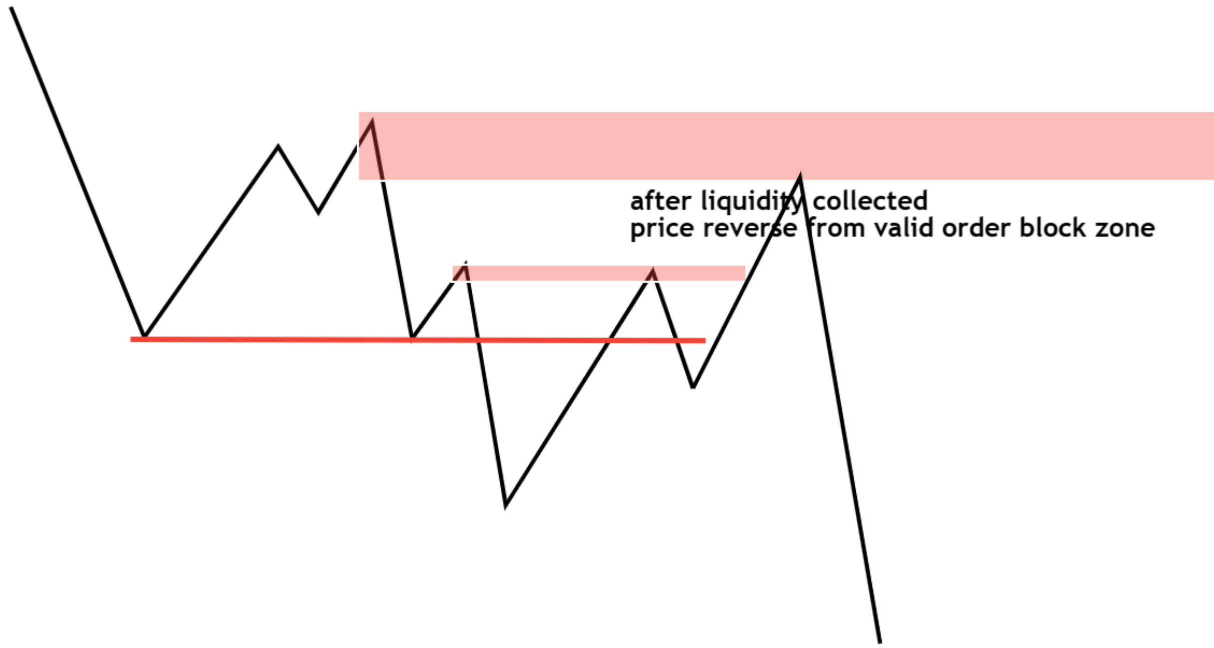
1. Liquidity hunting





Sometimes, smart money forms a fake order block to induce traders to make an entry, and then they hit their stop loss to take liquidity. Here is one example.





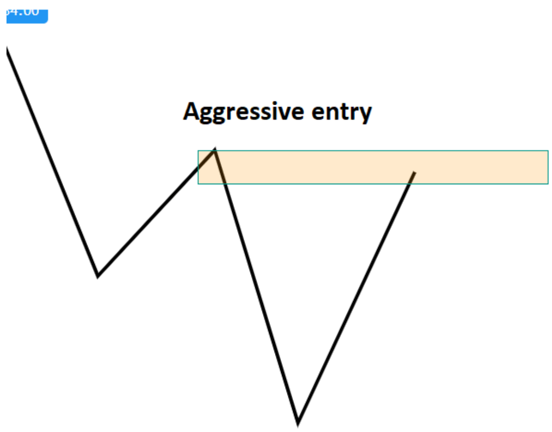
Step4: Smart Money Sniper Entry in Order Block

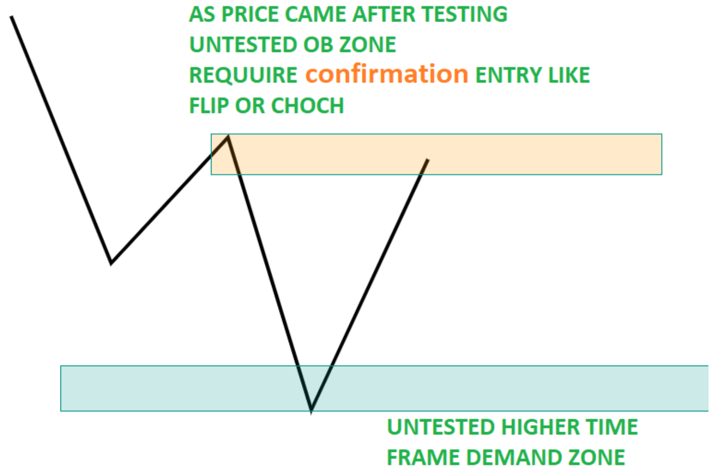
First, decide which types of trade because they depend on open trend entry technique change.

1. Trend continuous entry
2. Trend reversal entry
3. Range reversal entry

Trend Continuation	**Trend Reversal**	**Range Reversal**
Choch **Sd flip** **Aggressive entry**	**Choch** **Sd flip**	**Choch** **Sd flip**

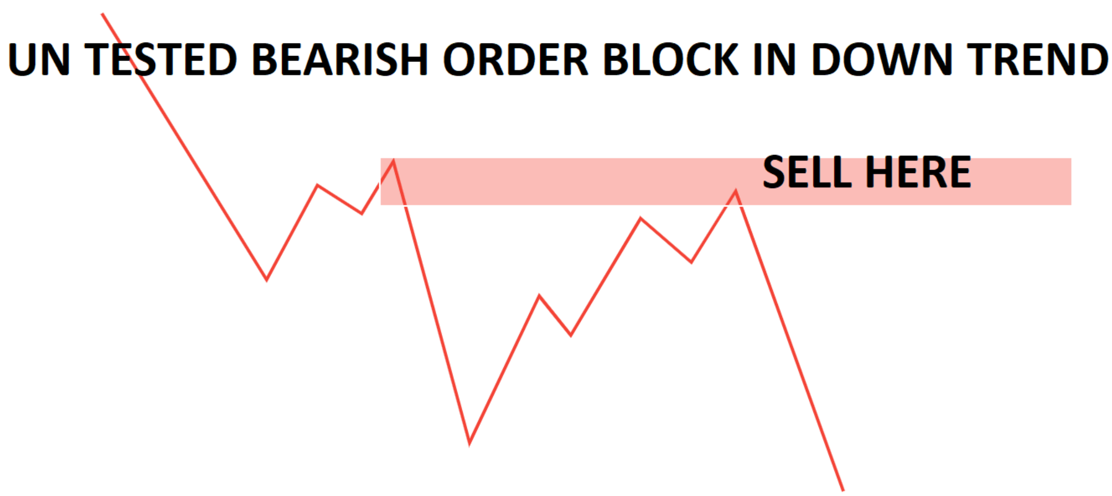
First, understand Aggressive entry vs confirmation entry



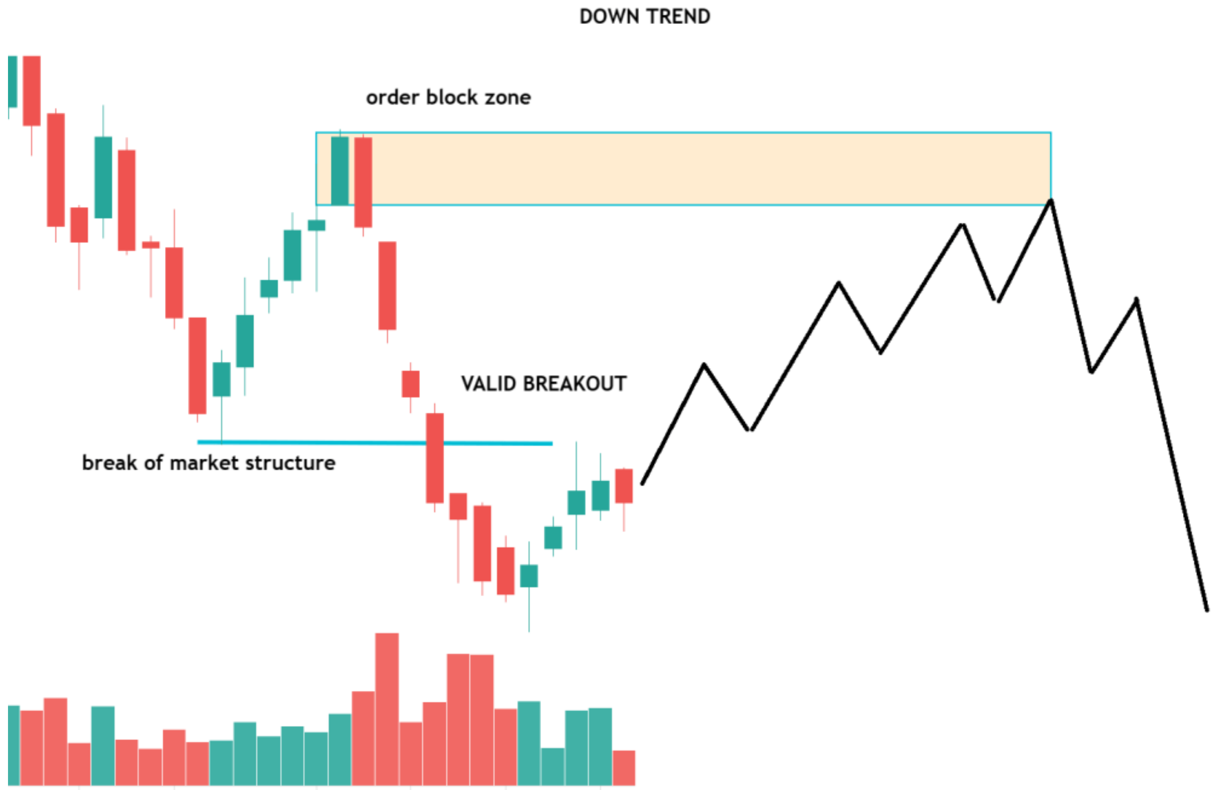


Continuous Order Block Entry Method (aggressive entry)

Note trend continuous entry. Find an untested bearish order block in a downtrend or an untested bullish order block in an uptrend



As you can see, the market is in a downtrend, making a lower low and lower high. Valid bearish order blocked formed in the downtrend. Wait for any bearish entry at the bearish order block zone.



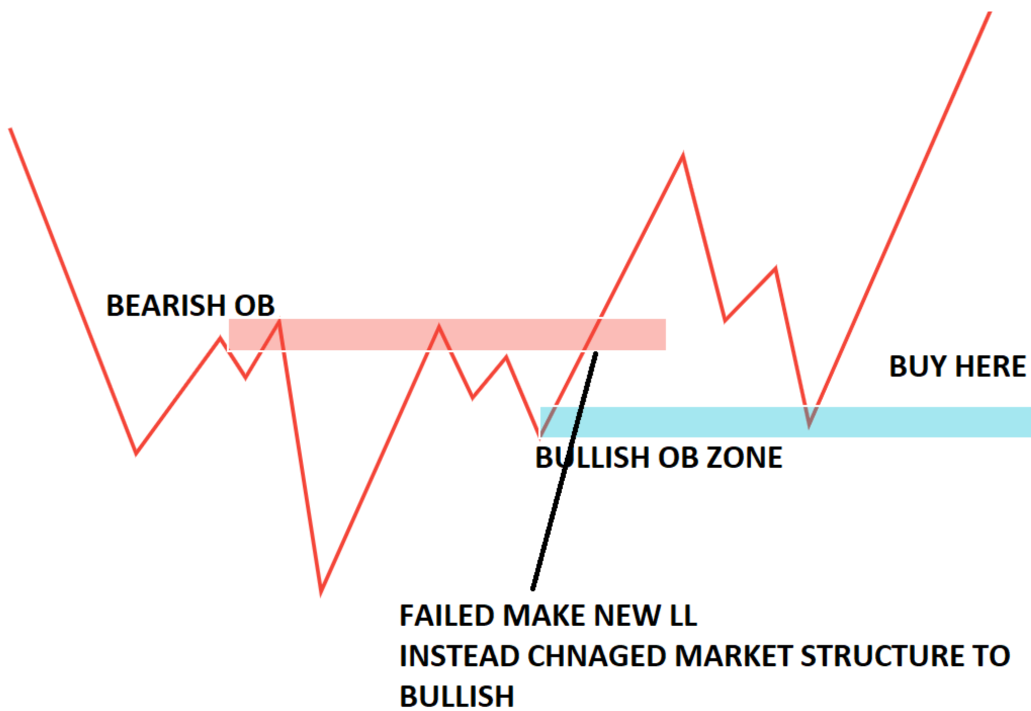
Sd/ds Flip confirmation entry model

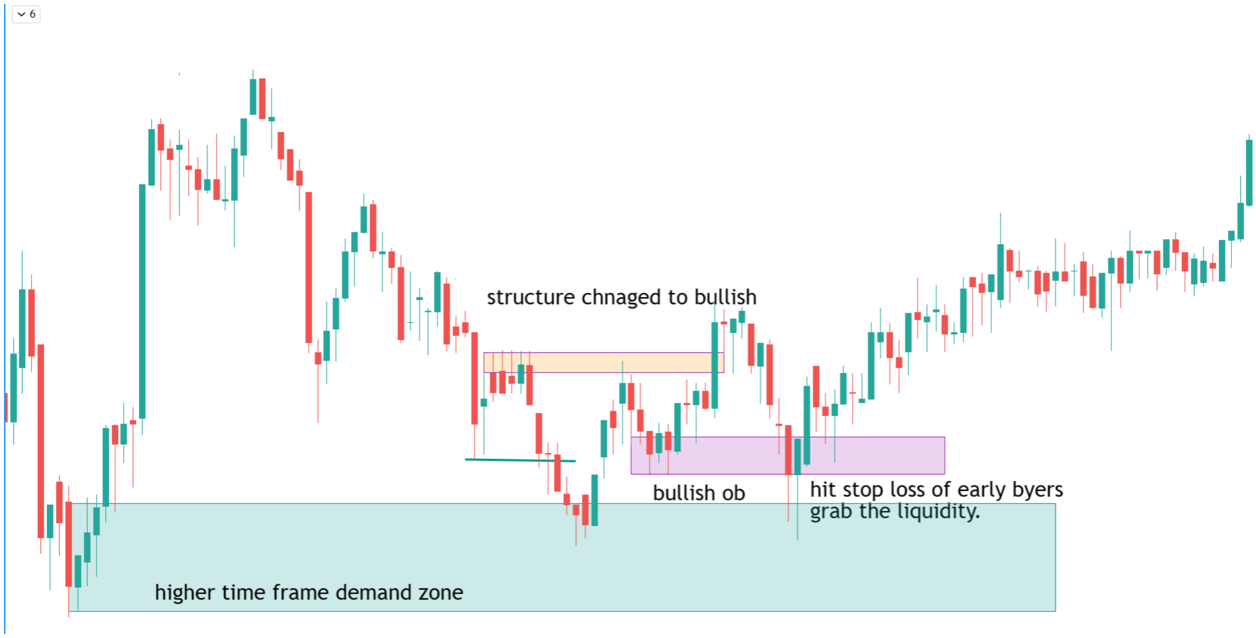
Sd flip is a reversal confirmation entry method. It involves identifying untested strong supply and demand zones on a price chart and waiting for a price flip or change in the trend to occur at this untested zone, which can signal a potential bounce or trend reversal. When this structure is broken, it can indicate a shift in market sentiment and can provide opportunities for traders to enter a current form untested supply-demand zone.

Supply Demand Flip (bullish reversal)

- Price created a new low (market structure bearish supply in control)
- It tested the last supply zone (OB zone), but the price took a technical bounce from the supply zone instead of actual selling, but could not create a new lower low in the downtrend.
- Instead of creating a new lower low in the downtrend, it broke through the last supply zone. Demand in control leaves a demand zone behind.
- When the price retests the demand zone, we will buy

CAN ENTER IN TREND CONTINUOUS OR AS WELL AS REVERSAL FORM HTF UNTESTED OB ZONE





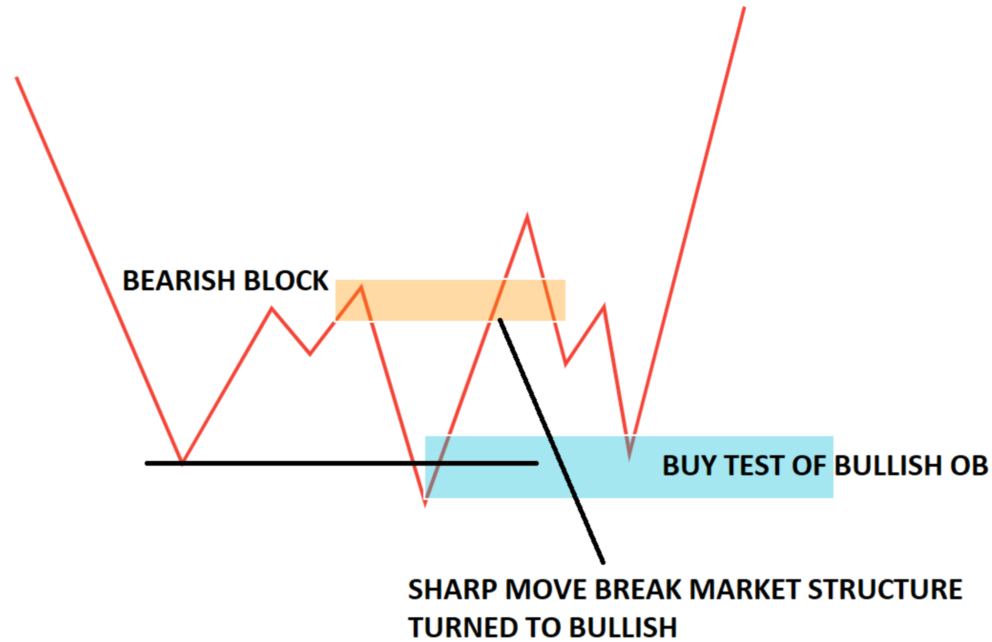
CHOCH IS A REVERSAL CONFIRMATION ENTRY MODEL.

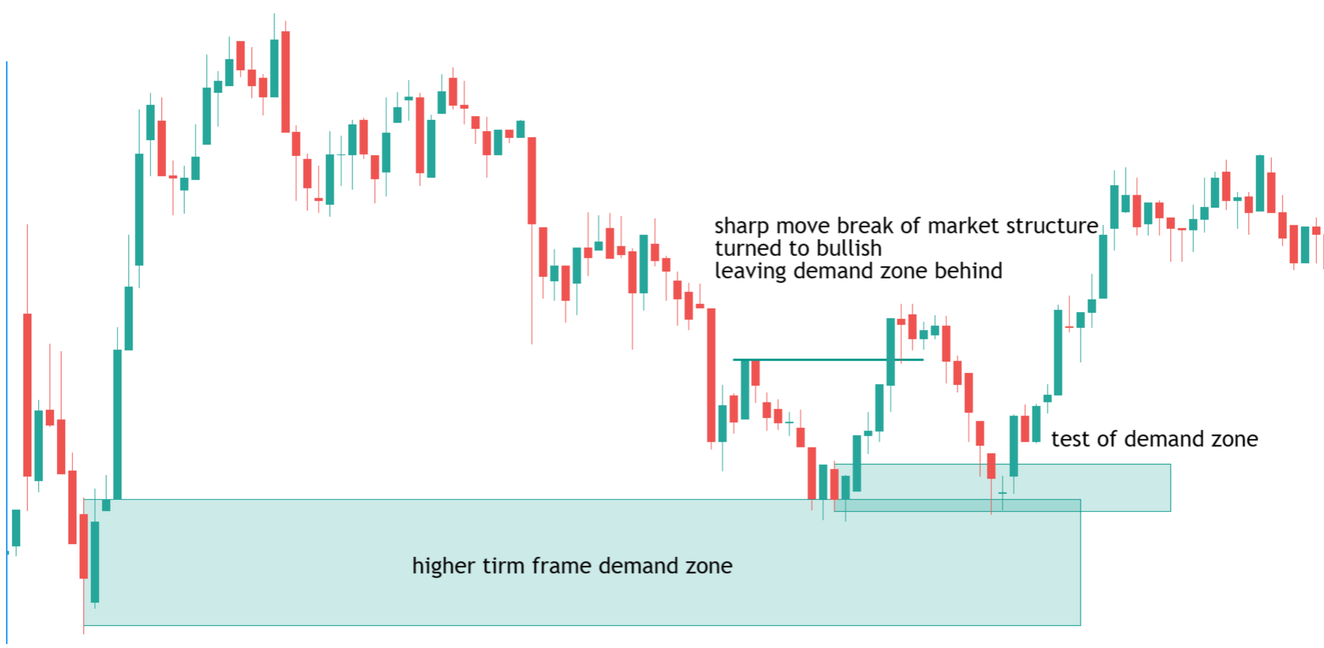
It involves identifying untested strong supply and demand zones on a price chart and waiting for a change in the trend to occur at this untested zone, which can signal a potential trend reversal. When this structure is broken, it can indicate a shift in market sentiment and can provide opportunities for traders to enter a current form untested supply-demand zone. Generally, two types of entry can take

1. WITH INDUCEMENT
2. WITHOUT INDUCEMENT

Change of Character

1. Price faces an untested higher time frame demand zone or untested demand zone for trend continuation entry. Then, the price broke the untested supply zone instead of bouncing or reversing,
2. Strong move and beak of market structure (Strong demand IN downtrend): Demand is in control, leaving a demand zone behind.
3. TEST OF OB. When the price retests the demand zone, we will buy.





Note this is the 5th part of the smart money concept. Do read our previous article.

1. **Order Block Trading Strategy**
2. **Breaker Block Trading Strategy**
3. **Liquidity Hunting or Stop Hunting in Trading**
4. **Smart Money Market Structure**

Supply and Demand Zone Trading

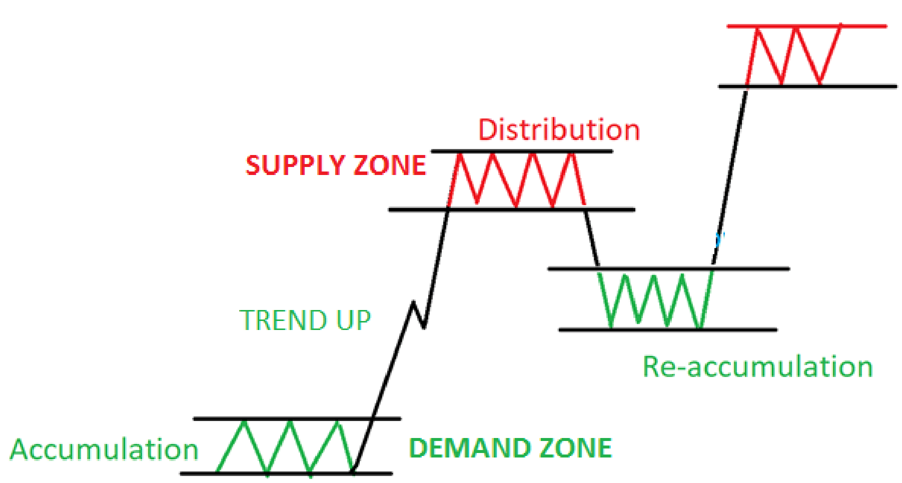
In this article, I will discuss **Supply and Demand Zone Trading** in detail. Please read our previous article discussing **How to Trade with Smart Money**. As part of this article, we are going to discuss the following pointers, which are related to Supply and Demand Zone Trading.

1. **Structure of the Market.**
2. **What is the Supply-Demand Zone in Trading?**
3. **How do you find a supply-demand zone in trading?**
4. **Different types of zone**
5. **How do we measure the strength of the zone?**
6. **When did the supply and demand zone break?**
7. **How do we trade with the supply and demand zone?**
8. **Odd enhancer for trading with supply and demand zone**

STRUCTURE OF MARKET

The price goes through the following phases

1. ACCUMULATION
2. REACCUMULATION
3. UPTREND
4. DISTRIBUTION
5. REDISTRIBUTION
6. DOWNTREND



ACCUMULATION Smart money removes the floating supply of stock by buying. This process is called accumulation.

TREND UP Smart money aggressively moves prices up

DISTRIBUTION SM will take advantage of the higher prices obtained in the rally to take profits by beginning to sell the stock back to the uninformed traders/investors

LAWS OF SUPPLY AND DEMAND Trading

All financial markets work on the universal law of Supply and Demand.

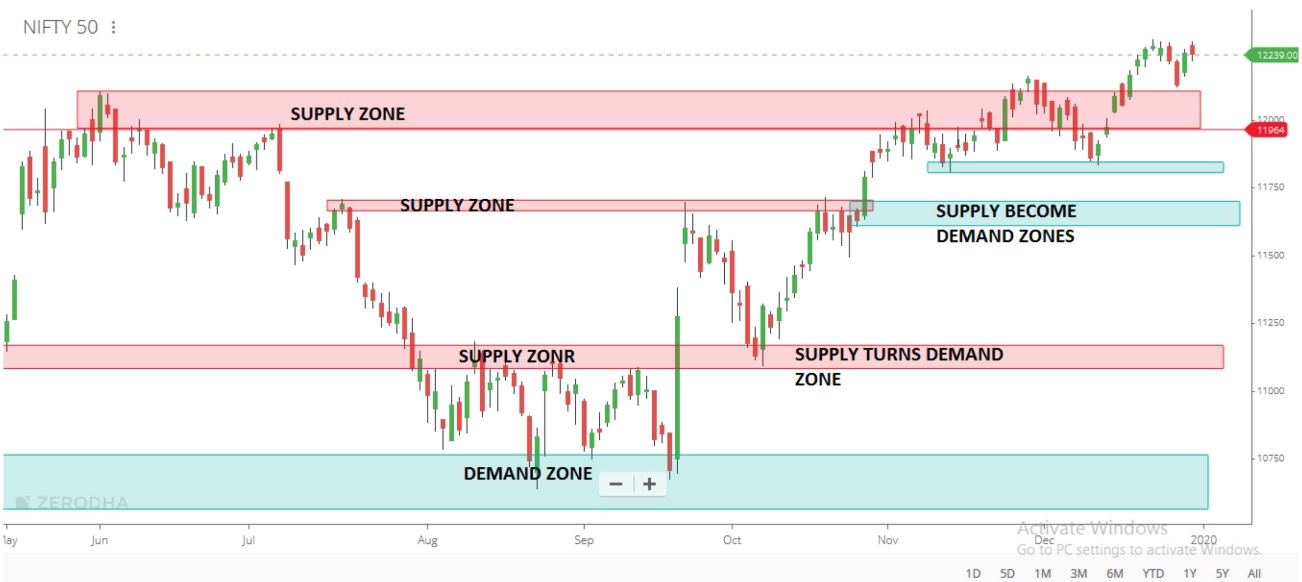
Law of Demand– The higher the price of an item, the less the demand (buyers don't want to buy at a higher price), and the lower the price, the higher the demand (buyers want to buy at a low price)

The Law of Supply- The higher the price, the higher the supply (sellers want to sell at a higher price), and the lower the price, the lower the supply(sellers don't want to supply at a lower price.

What are Supply and Demand Zones

Supply-demand is nothing but the border area of support or resistance

Let's analyze NIFTY 50 STOCK



In the chart above, you can see a demand zone (broad support level) and a supply zone (broad area of resistance).

What we want to find at the price zones where supply overwhelms demand and supply overwhelms supply.

- The former is known as SUPPLY ZONES. When the market bumps into SUPPLY ZONES, the price will drop. Then, you can make money by shorting the market.
- The latter is the market DEMAND ZONE. With the support of demand, the price will rise. Then, you can profit in a long position.
- If the supply zone is broken, it becomes a demand zone. pullback test from the demand zone, you can go long.

How to Find Supply and Demand Zones in Trading

Two steps to identify the supply and demand zones.

1. Look at the chart and try to spot large successive candles. It is important that the price moves a lot.
2. Establish the base (usually sideways price action area) from which the price started the quick move.

Different Types of Supply and Demand Formations

There are different supply and demand zone patterns. Some of the more popular ones are shown below:

TREND CONTINUOUS BASE

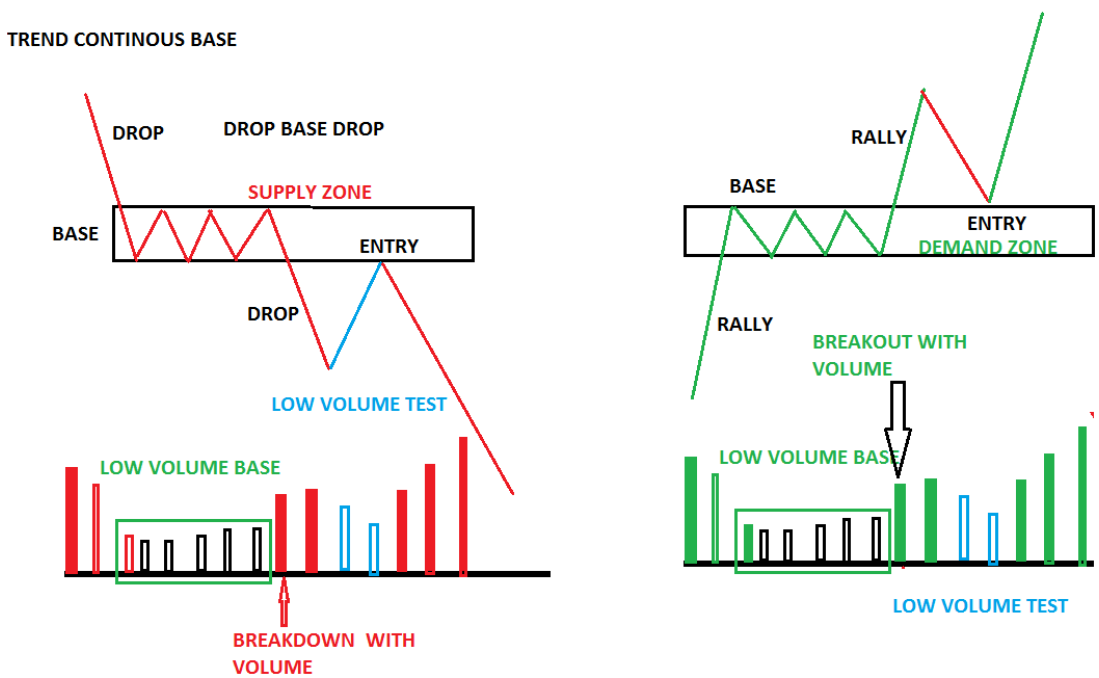
1. RALLY BASE RALLY(RBR)
2. DOWN BASE DOWN (DBD)

TREND REVERSAL BASE

1. RALLY BASE DROP (RBD)
2. DOWN BASE RALLY (DBR)

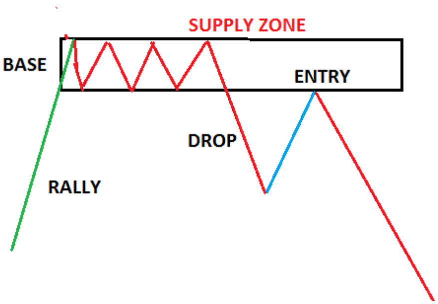
And

FLIP ZONE

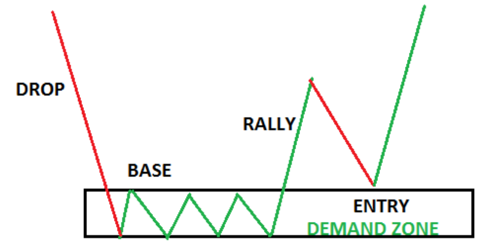


TREND REVERSAL BASE

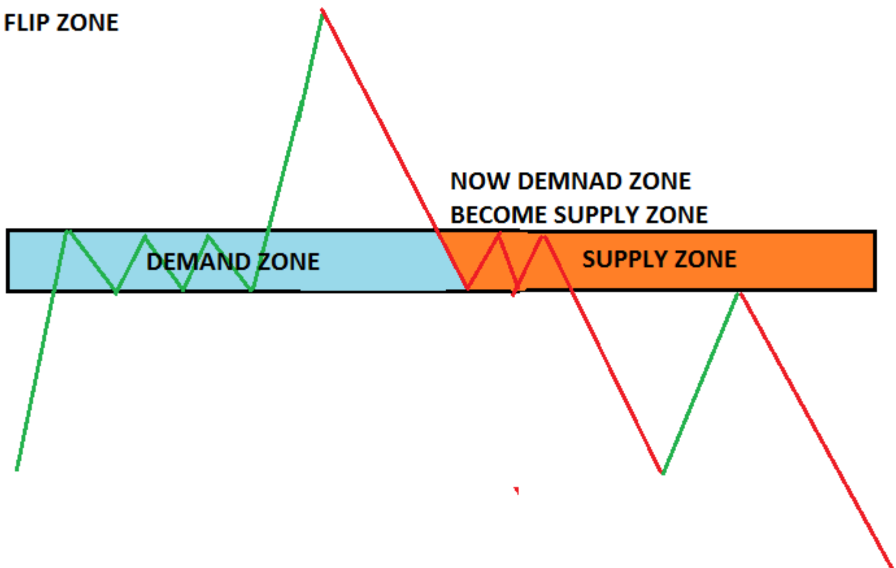
RALLY BASED ROP



DOWN BASE RALLY



FLIP ZONE

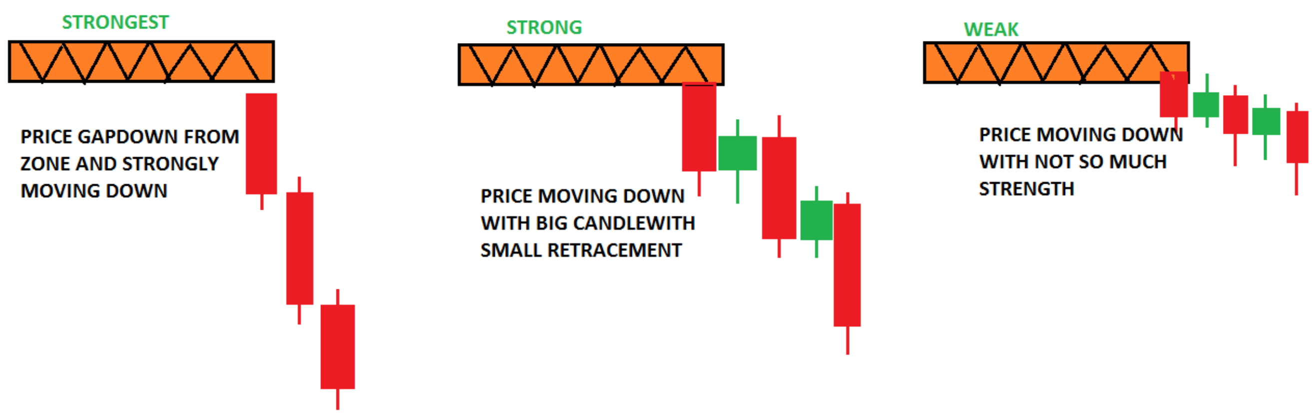


NOW, PUTTING ALL THIS INTO A NIFTY 50CHART

STRENGTH OF SUPPLY AND DEMAND ZONE

How did the price leave the level? STRENGTH OF THE MOVE

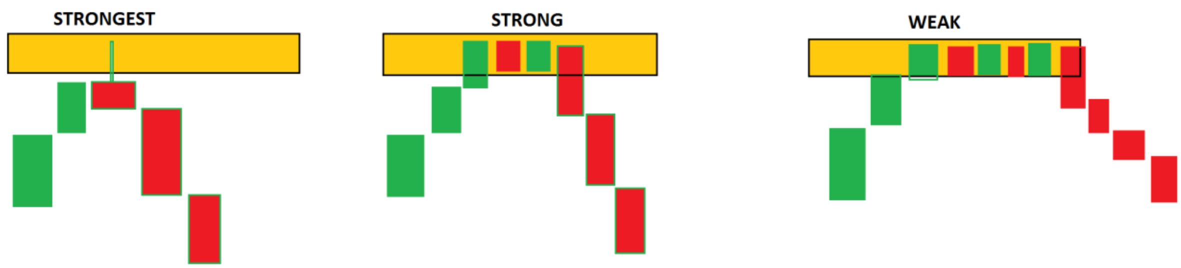
The Logic: The stronger the price moves away from a zone, the more out-of-balance supply and demand are at that zone. A heavy order is placed by smart money.



How much time did the price spend at the zone? TIME AT LEVEL

The Logic: The less time the price spends at a zone, the more out-of-balance supply and demand are at the price level. Smart money aggressively entering

At price levels with supply and demand zones more out of balance, the price will spend the least amount of time at the level

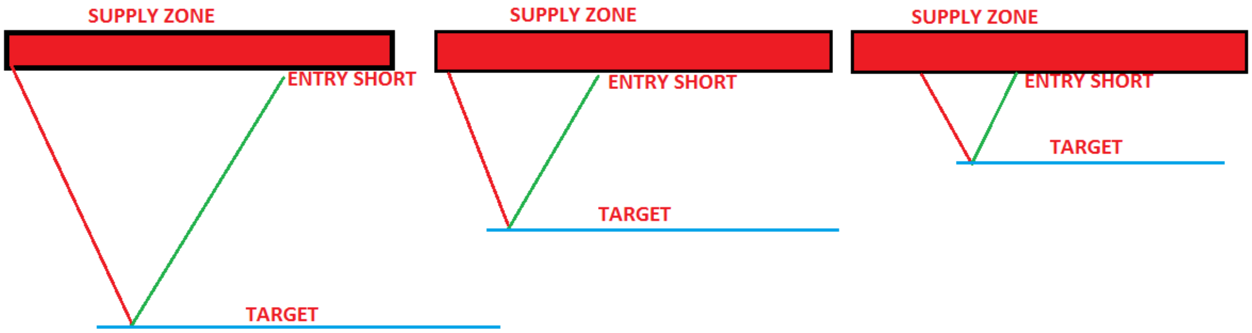


The less time price spends at a level, THE STRONGER THE LEVEL

How far did the price move away from the zone before returning to the zone?

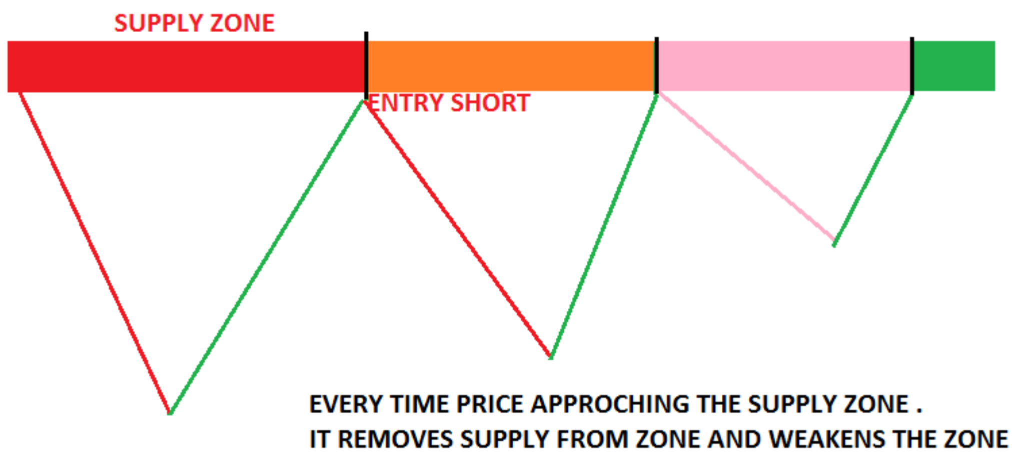
The Logic: The farther the price moves away from a zone before returning to that zone, the greater the reward to risk and probability.

When the price returns to that supply level for our short entry, we have a good idea of where the buyers are (the demand) and, just as importantly, where they are not.



How many times is the price approaching the zone? FRESHNESS OF BASE

First-time stock retrace to the base is the strongest to enter



When does Supply/Demand break?

Supply and Demand levels eventually break after a zone is tested many times or during a strong move. This is due to the remaining orders being triggered and gradually removed or an overwhelming number of orders in the opposite direction breaking the level.

Price action

- If the price stays near or at these zones & doesn't fall much, then there is a high probability that they will break the zone
- A strong move to the zone may break the zone
- low volume test confirms the zone

HOW TO ENTER DEMAND AND SUPPLY USING PRICE ACTION?

1. Find the SD zone on HTF(HIGHER TIME FRAME), then wait for the price to come to this level
2. See any acceptance or rejection from this zone on trading time frame(TTF)

3. Any reversal price action signal on TTF
4. Entry in the direction of the dominant trend

- Suppose context downtrend, price rally to the supply zone on TTF, then any bearish reversal PA signal for an entry short
- Also, notice the volume on these reversals. A low-volume test is a good sign & they are highly probable trades.

TIPS for day trading: The supply and demand zones are high on the previous day and low on the previous day. Look for price action around there for acceptance or rejection of these zones

Let's do an example

Find the supply and demand zone in a higher time frame

In an hourly time frame, we find the zone

Big picture shows

1. whether the trend is up or down – determines which side we want to be on

2. Where are the big-picture support and demand levels?

We don't want to be long below the supply zone

WHEN THE PRICE APPROACHES DEMAND ZONE

WE WANT TO SEE SIGN OF STRENGTH PRICE ACTION FOR CONFIRMATION OF THE ZONE

1. MOMENTUM LOSS(DECREASING CANDLE RANGE AND BODY
2. LOWER WICK
3. MIX OF BOTH RED AND GREEN CANDLE

Entry on the trading time frame

ENTRY SIGNAL CANDLE

Candlesticks in Supply and Demand

1. PIN BAR
2. ENGULFING
3. OUTSIDE CANDLE

Odds Enhancers example

1. Trade with the trend
2. If INDEX AND SECTOR SHOWS POSITIVE, THEN GO LONG FROM DEMAND ZONE

Supply and demand zone trading is just one of many strategies traders use, and, like any strategy, it is not foolproof. It requires a good understanding of market behavior, patience to wait for the right setups, and strict discipline to follow a pre-determined trading plan.

Fibonacci Trading Strategy

In this article, I will discuss the **Fibonacci Trading Strategy** with Real-Time Examples. The following Key pointers are going to be covered in this article.

- **What Fibonacci Retracement Levels Should I Use?**
- **Should the price touch the retracement levels?**
- **What confluence factor to check for more reliable entry?**
- **How to take entry (aggressive /conservative/safe entry)?**
- **Where to put the stop loss-based Fibonacci retracement ratio?**
- **Where to take profit based on Fibonacci?**
- **Trailing stop loss and profit booking method based on the Fibonacci extension tool**

You will find some answers to the following common questions related to Fibonacci trading.

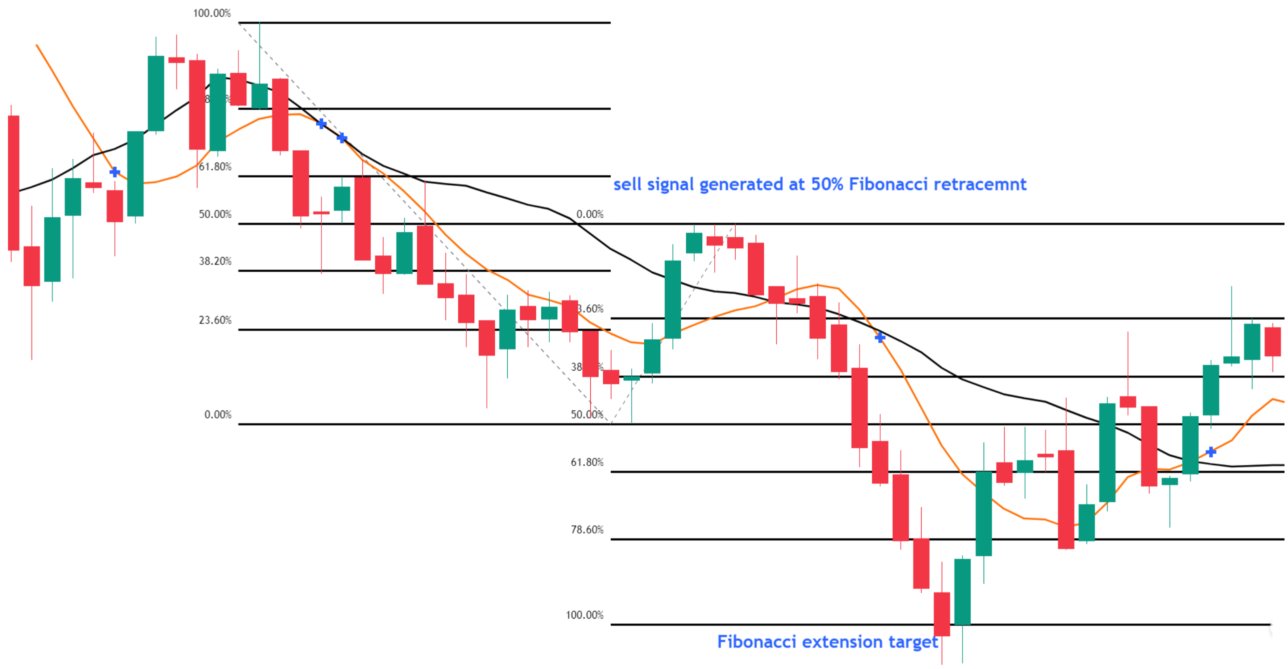
- **Does Fibonacci work in trading?**
- **How successful is Fibonacci trading?**
- **What is 61.8 Fibonacci?**
- **What is the best time frame for Fibonacci?**

Introduction to Fibonacci vs any other indicator

Moving average trend following system vs Fibonacci trading system. The initial trader bases his choices on a trend-following strategy. He is employing two 9- and 21-period simple moving averages. When the 9 MA crosses the 21 MA, a buy signal is generated. When 9 MA crosses back below 21 MA, it is time to leave the trade. Here is an example of a moving average trend following strategy.

Due to the rapid price movement and the late MA cross, the entry point was relatively late. The exit signal arrived far too late. And if the price gives deep retracement, then you will be out of trade irrespective of the price move in your direction. In this example, the deep retracement happens.

Other traders are using the Fibonacci method. He decides to trade swing, plots the Fibonacci retracement levels, and watches for an entrance signal at the level of retracement. Enter the deal as soon as the signal appears. To determine when to end the trade, he also draws the Fibonacci extension level.



When the moving average trend follows the system, the initial trader decides to enter the trade. To make a profit, it was far too late. Examine the second trader (Fibonacci). He made his entry and exit decisions well before the first trader did. He increased his profit on the same chart and closed it out while the initial trader was still holding out for the trend to continue.

What Are the Different Fibonacci Trading Tools and How to Apply Them?

The Fibonacci tools are used to identify entries, support & resistance, targets, and exits. These two are the most widely used:

- Fibonacci retracement
- Fibonacci extension

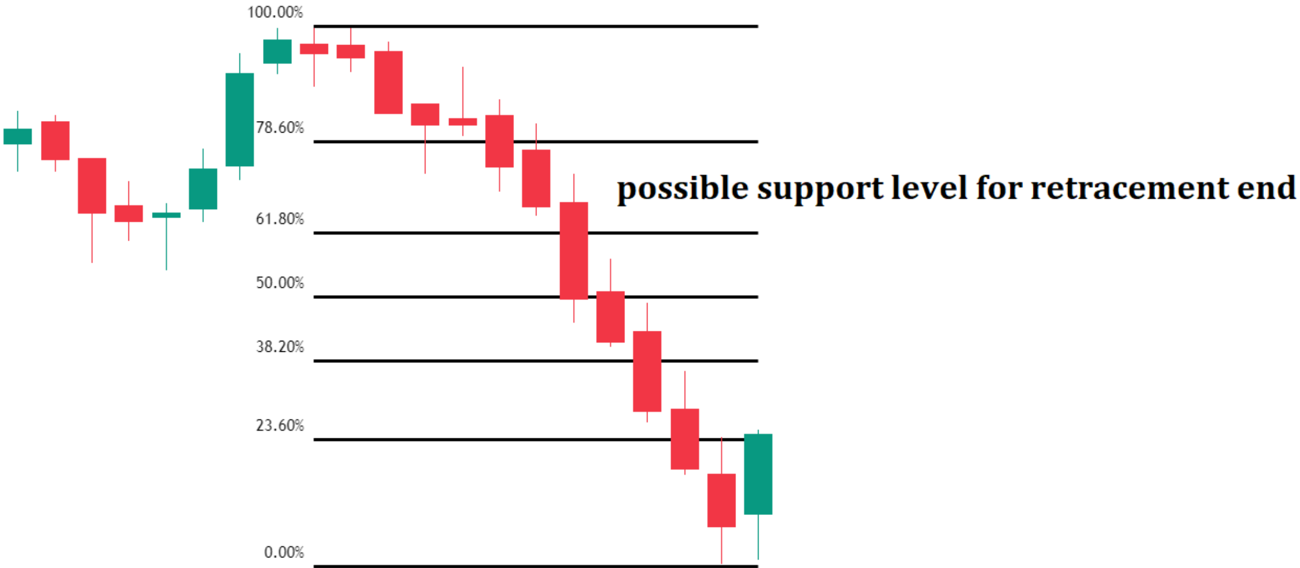
What is a Fibonacci Retracement, and how do you use it?

The underlying principle of the Fibonacci retracement trading method. According to the theory, the price will retrace after starting a new trend direction before continuing in the trend's direction. So, to determine the next potential support and resistance levels, we use the Fibonacci tool.

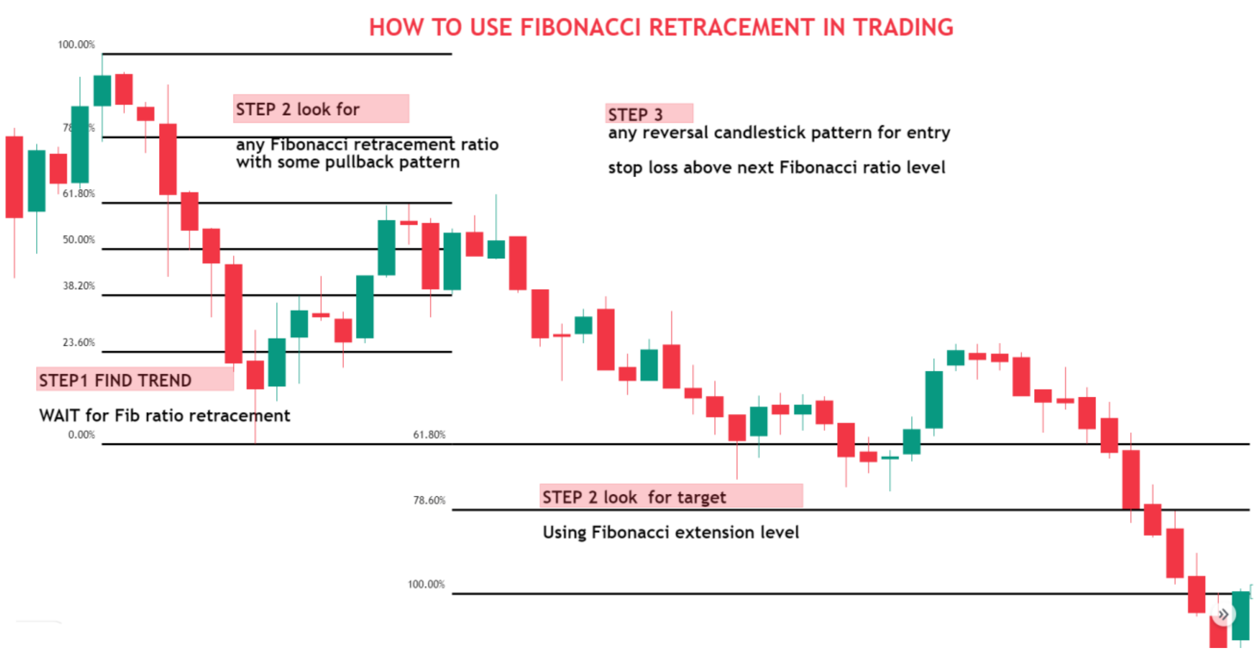
The retracement level predicts the highest level at which retracement is possible. These retracement levels offer traders a great chance to open new trades in the trend's direction.

- The Fibonacci retracement levels are 23.6%, 38.2%, 50%,61.8%, 78.6%, and 100%.

Next possible support levels are marked if the stock moves up



Basic Fibonacci Trading Strategy



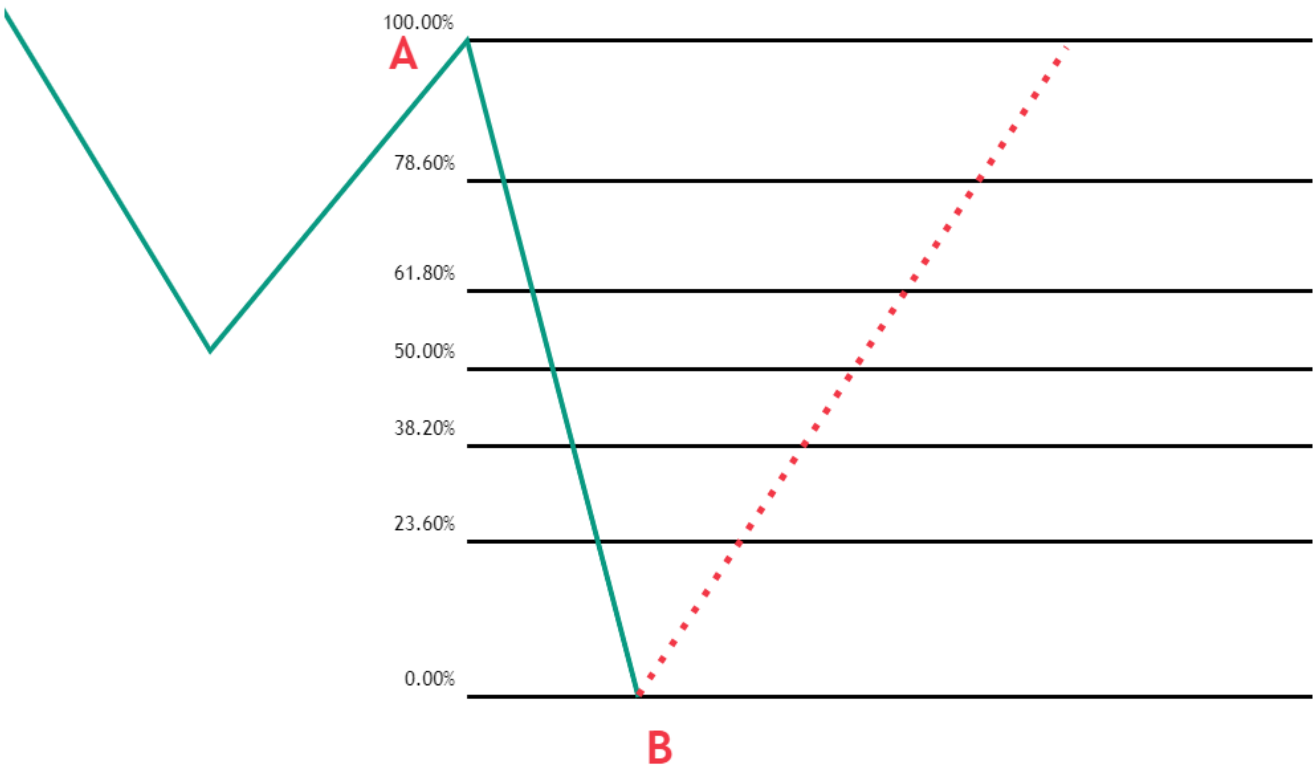
How to draw Fibonacci Retracement?

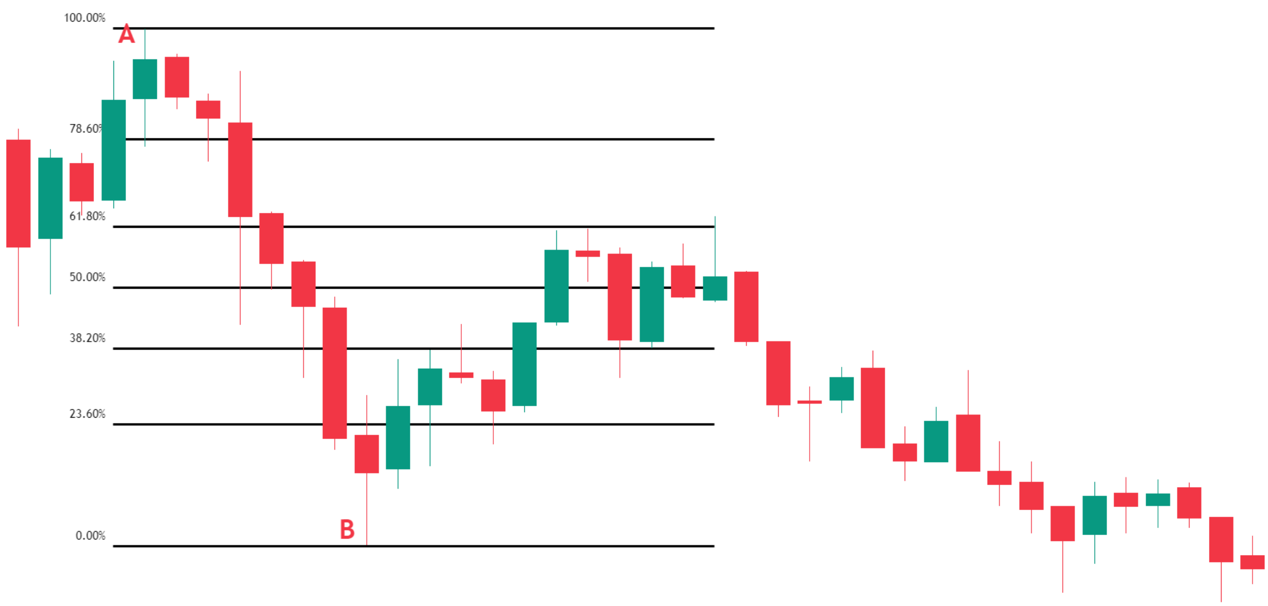
EXAMPLE FIBONACCI RETRACEMENT IN A DOWNTREND

You must locate the most recent important Swing Highs and Swing Lows to determine these Fibonacci retracement levels. Find the recent swing HIGH (starting point) and recent swing LOW (ending point), then join the 2 lines. Drag the pointer to the most recent Swing LOW to swing HIGH and find all retracement level

- 0.618 is the golden retracement level

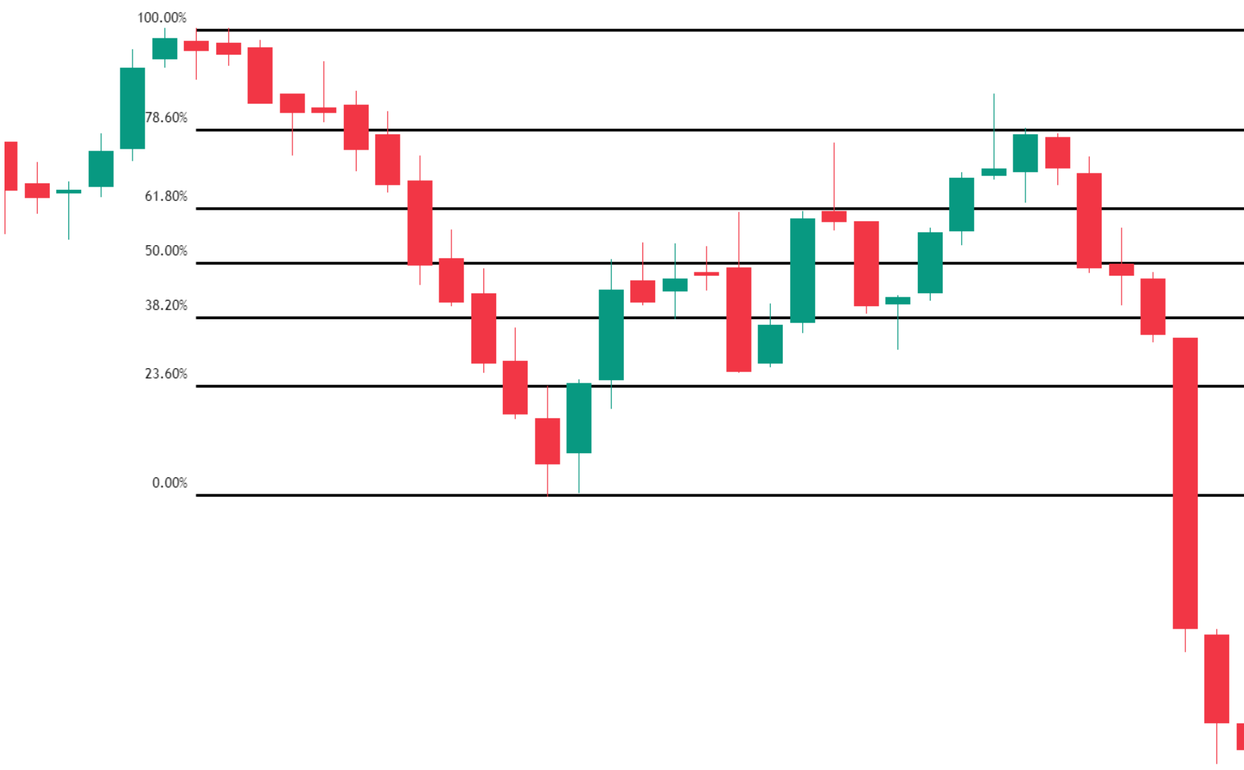
- .0.5 to .618 is the imp retracement level in the trend
- Use the Fibonacci tool along with the confluence factor for entry





The above chart price retraces the 61.8% level. THE BELOW CHART is the continuation of the above chart. but retrace 50%

Again, the below chart is the continuation of the above chart and retraces 78.6%



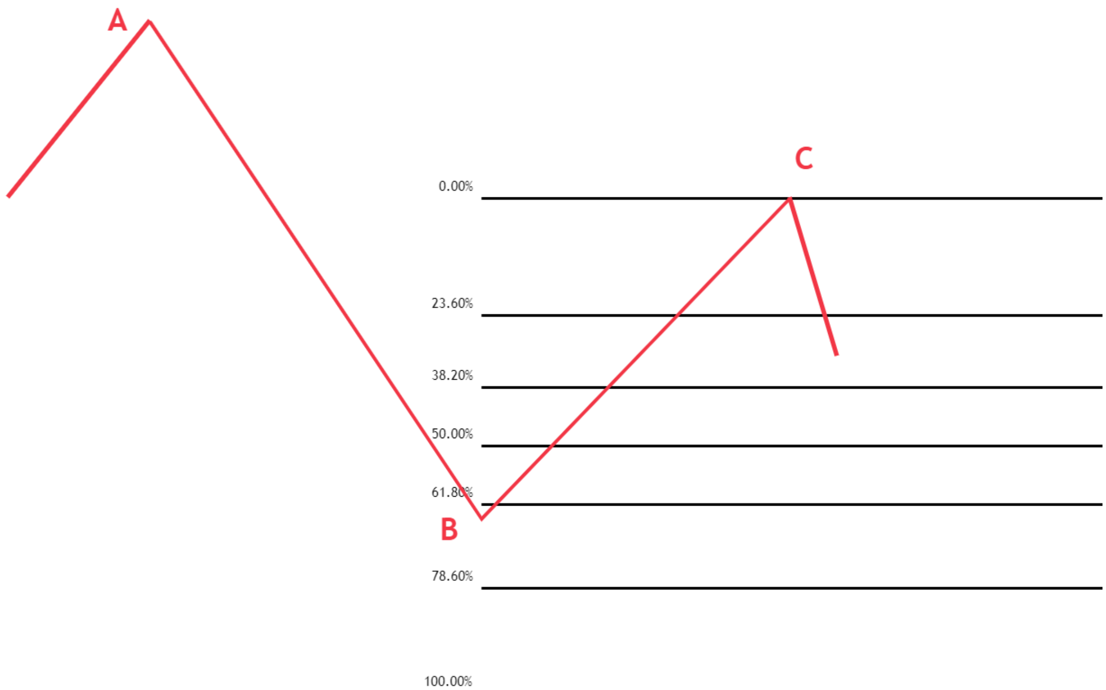
What is the Fibonacci extension, and how do you use it? How to draw Fibonacci Extensions?

Fibonacci Expansion is based on three points. Here are the steps for a downtrend

Step 1 – Identify the direction of the market: downtrend. To draw it, we must identify the impulse swing (A and B points) and retracement end (point C).

Step 2 – Attach the Fibonacci extension tool on the swing high and drag it to the right, all the way to the swing low.

Step 3 – Now, drag back to the retracement end (point C).



Why use Fibonacci Extensions in Trading?

Opening a trade is significantly less significant than closing it. Extension tool for exit price goal. Traders can use Fibonacci extensions to set profit targets or predict how far a market may rise when a retracement is complete. Extension levels are yet another potential location for a price reversal.

Fibonacci extension levels are quite helpful in deciphering market reversals and potential roadblocks. Simply put, Fibonacci extension levels are the critical points from which the price of an instrument may change.

The Fibonacci Retracement Tool makes it easy to lay out extensions by automatically identifying several extension levels where prices can turn around. Common Fibonacci extension levels are 61.8%, 100%, 161.8%, 200%, and 261.8%.

Traders must adhere to certain guidelines to fully exit a trade or book a partial profit. They are aware that the movement will likely come to an end or pause for a while.

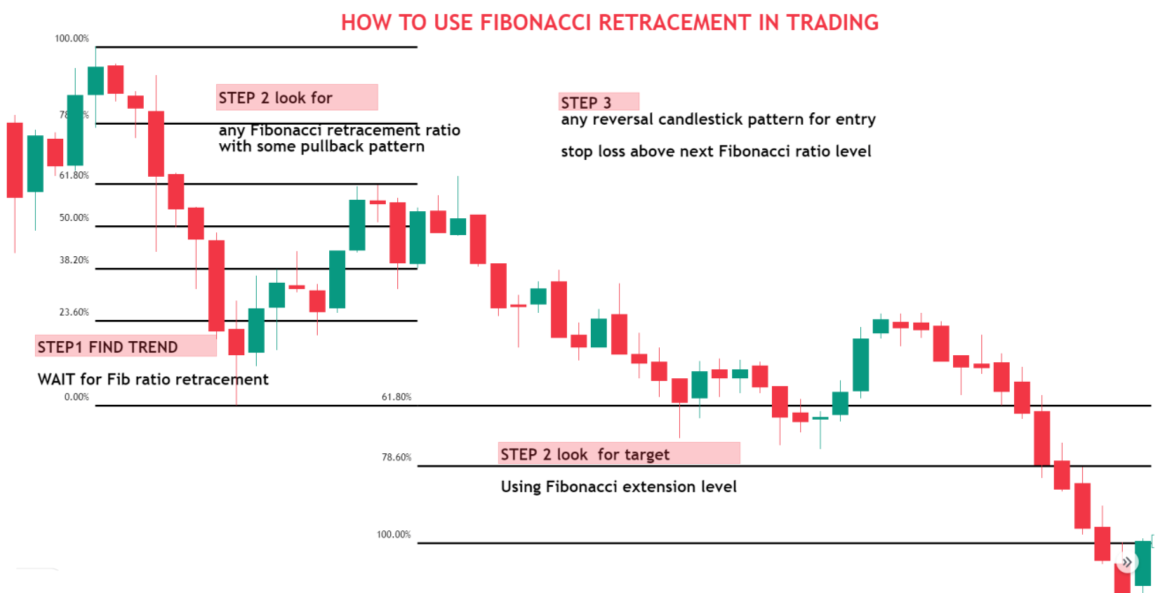
Divide your position into three parts, which is the basic profit booking strategy traders use. At 100% extension, the first part is immediately closed. You close the second part at the 161.8% extension if the price continues to move in the direction of the trend. You let the third component increase before manually closing it using either a technical trigger or a different extension level.

Difference Between Fibonacci Retracement and Fibonacci Extension

Fibonacci Retracement	Fibonacci Extension
Indicates the depth of retracement after impulse move.	Indicates where the price may go following a retracement in the trend

Measures Pullbacks Within a Trend. price correction or time correction	Measures the trend impulses waves in the direction of the trend
Provide effective stop-loss levels and entry orders for a trend trading strategy.	Gives good take-profit points in trend trading and reversal points for trend reversal techniques.
With other confluences, it can be effectively used as a profitable approach.	It can be applied to a strategy for taking profits and may also indicate promising points for trend reversals.
Fibonacci Numbers are within the initial trend. (38.2%, 61.8%, 50%, etc.)	Fibonacci Numbers are beyond the 100% Fibonacci level. (1.618%, 123.60%, etc.)

Fibonacci Trading Strategy



The Fibonacci technique works best when the market is trending, which is the first thing you should know about. When the market moves upward, the plan is to buy a retracement at a Fibonacci support level. Additionally, when the market is trending downward, it is advisable to sell a retracement at a Fibonacci resistance level. Since Fibonacci retracement levels try to foretell where the price might be, they are regarded as a technical indicator.

- What Fibonacci retracement levels should I use?
- Should the price touch the retracement levels?
- What confluence factor to check for more reliable entry?
- How to take entry (aggressive /conservative/safe entry)?
- Where to put stop loss based on entry?

- Where to take entry?

What Fibonacci Retracement Levels Should I Use?

Because there are so many Fibonacci retracement levels, it is initially highly confusing. Fibonacci Retracements are not entry signals; they are target areas where an entry signal may occur. Trading simply because the price has reached a Fibonacci retracement ratio level is not a wise strategy. Another confluence is required before trades can be taken.

- If u use Fibonacci Retracements level with other concepts confirming like trend line, pivot point, or any dynamic support or resistance

Should the price touch the retracement levels?

This is always a problem for beginners. They think the retracement to any fibo level is only valid when the price touches this level. They are wrong. Fibonacci retracements are a great tool, but there is no 100% accuracy. Sometimes, the price closes near the retracement level, and it can still be a valid move.

How do you take entry?

Basically, 3 types of entry can be taken after a Fibonacci retracement.

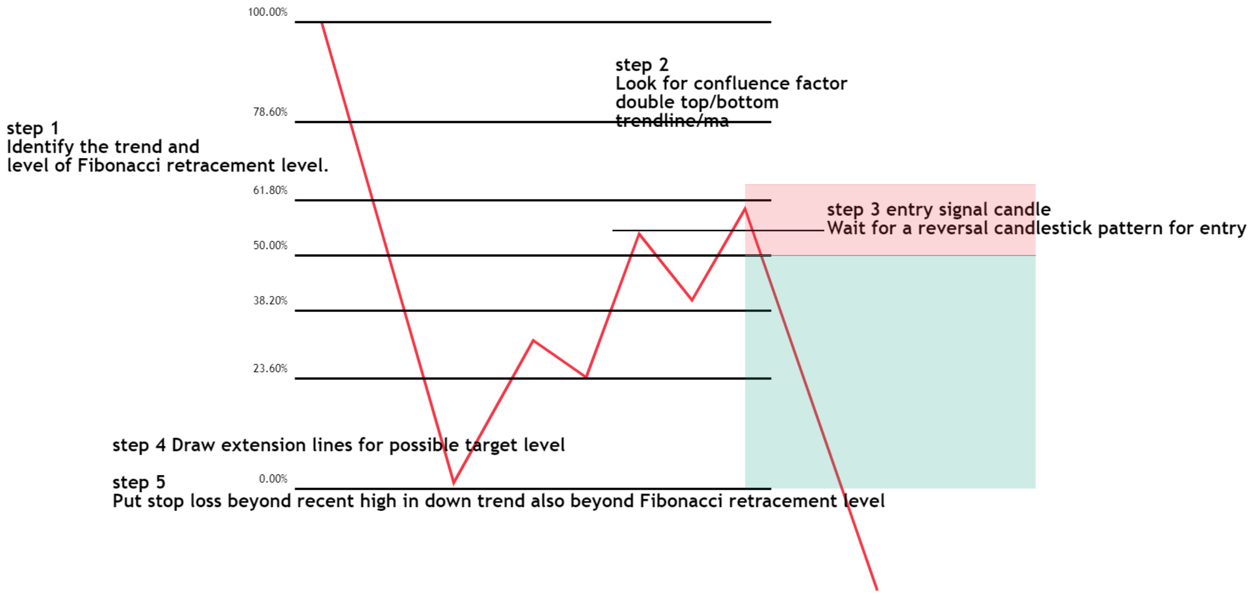
- Aggressive entry
- Conservative entry
- Safe entry

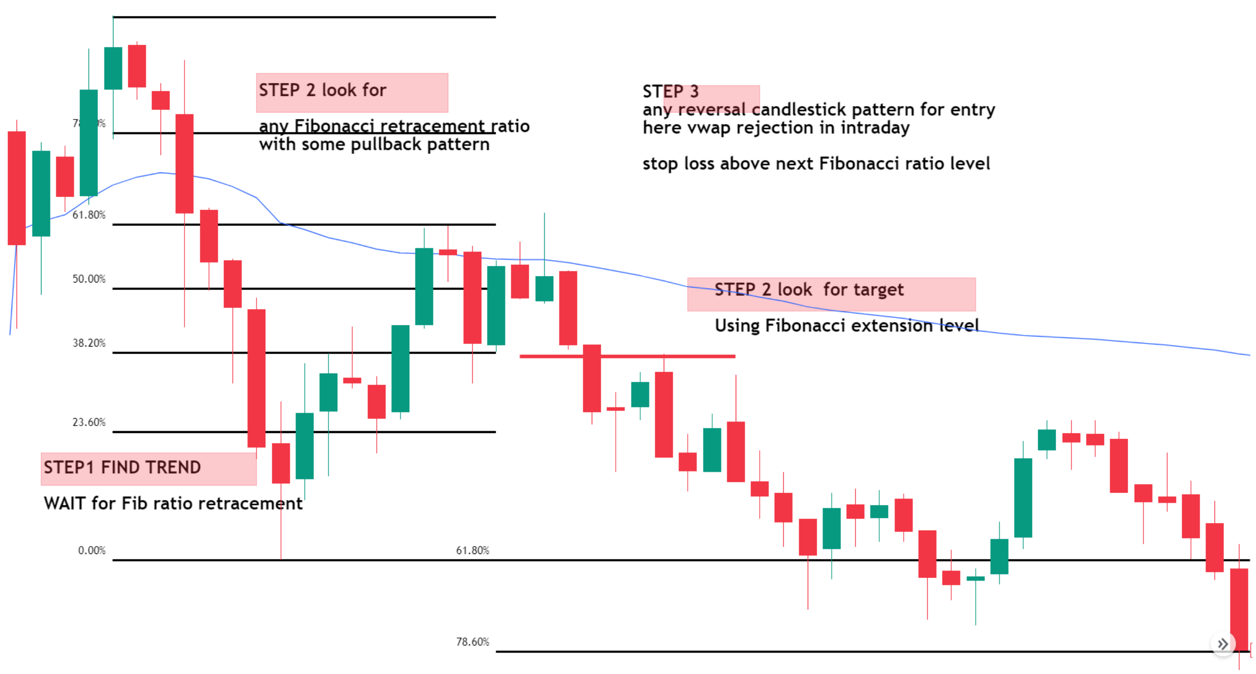
Which entry is the best for you? It is your decision. It depends on risk, reward, and probability.

Aggressive entry after deep retracement

This is the riskiest entry but a small loss and high reward setup. You are willing to take a small risk in exchange for a possible bigger return. When the price nears or reaches the 61.8% retracement, you go long at this level or a little above it.

1. Identify the trend and level of Fibonacci retracement level.
2. Look for the confluence factor
3. Wait for a reversal candlestick pattern for entry
4. Draw extension lines for the possible target level
5. Put stop loss beyond recent high in downtrend also beyond Fibonacci retracement level



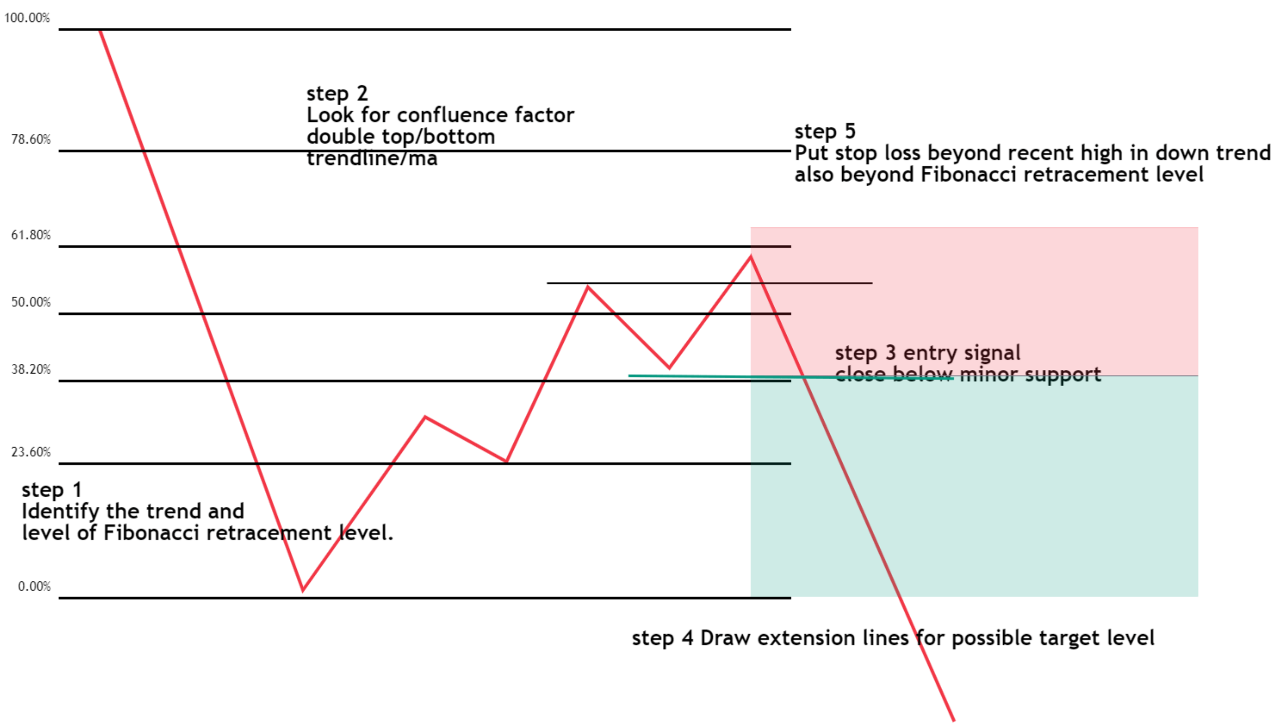


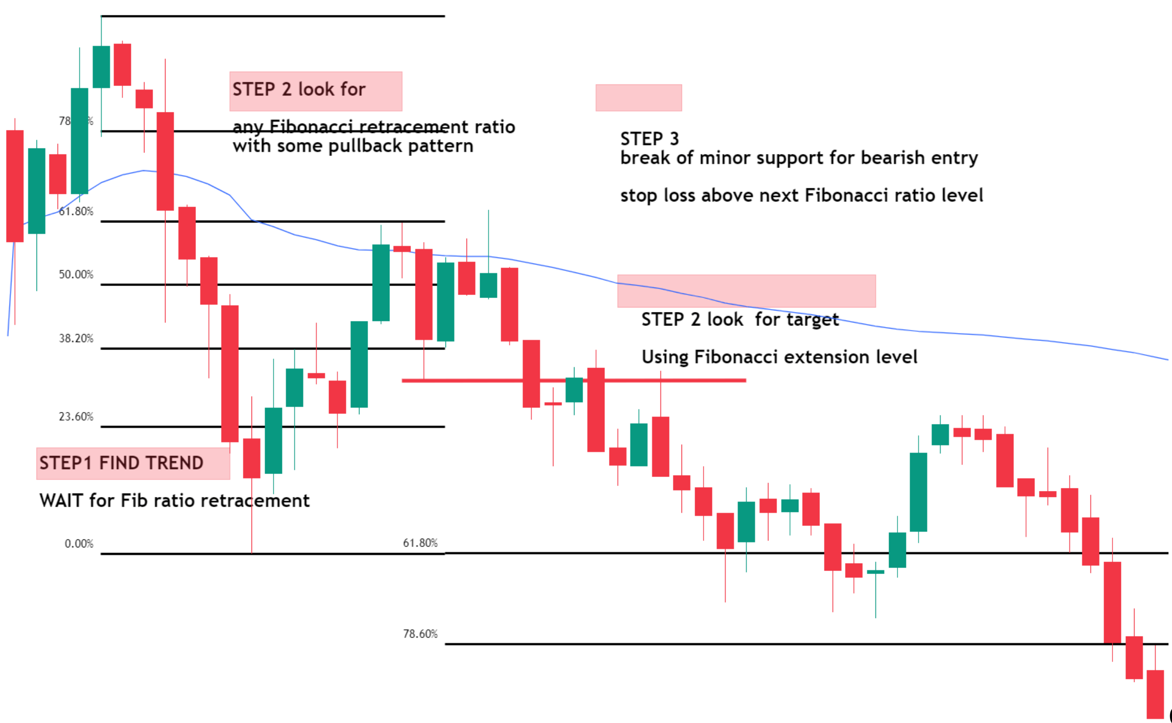
Conservative Entry

The conservative entry is when you wait and watch how the price reacts toward the retracement levels. If you see that 61.8% is probably the retracement which a bounce back may occur from, you are ready to take a long position. But unlike the aggressive entry case, you wait for another confirmation. Break of minor swing low in the bearish entry. confirmation signals are not always 100% correct, but in that case, you have a lower chance of failure. The ratio between risk and possible profit is good. In this example, the trader decided the signal would be close below support.

1. Identify the trend and level of Fibonacci retracement level.
2. Look for the confluence factor

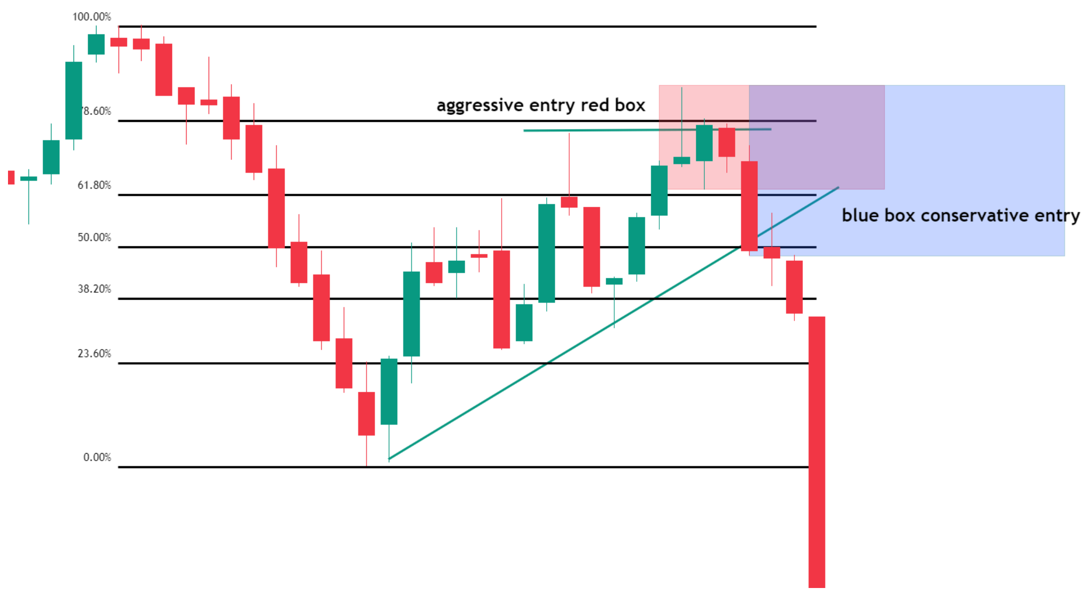
3. Wait for the break of minor support for entry for a bearish trade
4. Draw extension lines for the possible target level
5. Put stop loss beyond recent high in downtrend also beyond Fibonacci retracement level





One

more example of both entry

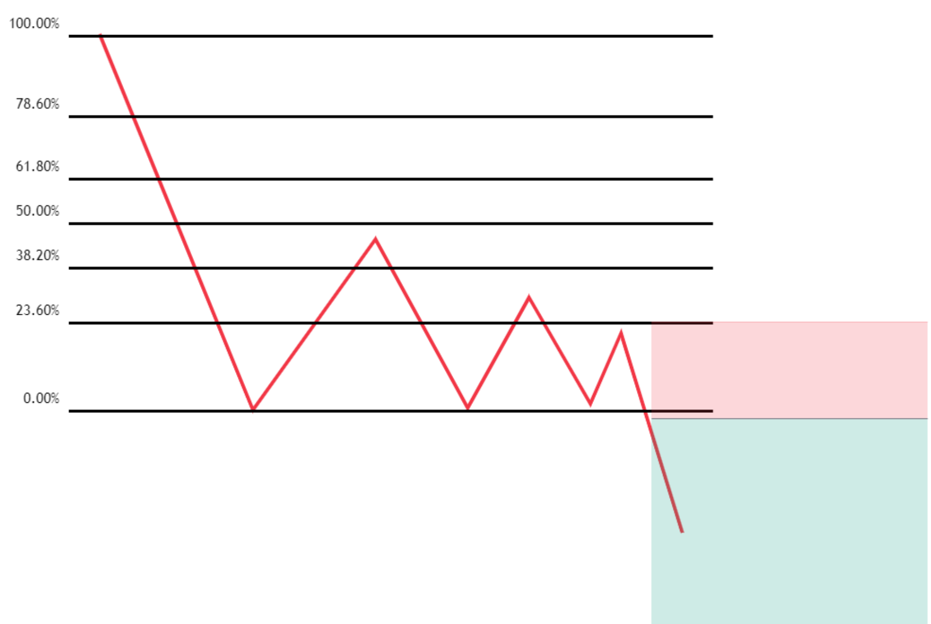


Safe Entry

This trading method is the safest of the three entry methods, but your possible profit is the smallest. The main idea is to buy a breakout after a price contraction.

In theory, it should look like in the picture below:

1. Identify the trend and level of Fibonacci retracement level.
2. Look for price contraction before the breakout
3. Wait for the break of support for entry for a bearish trade
4. Draw extension lines for the possible target level
5. Put stop loss beyond contraction high in a downtrend

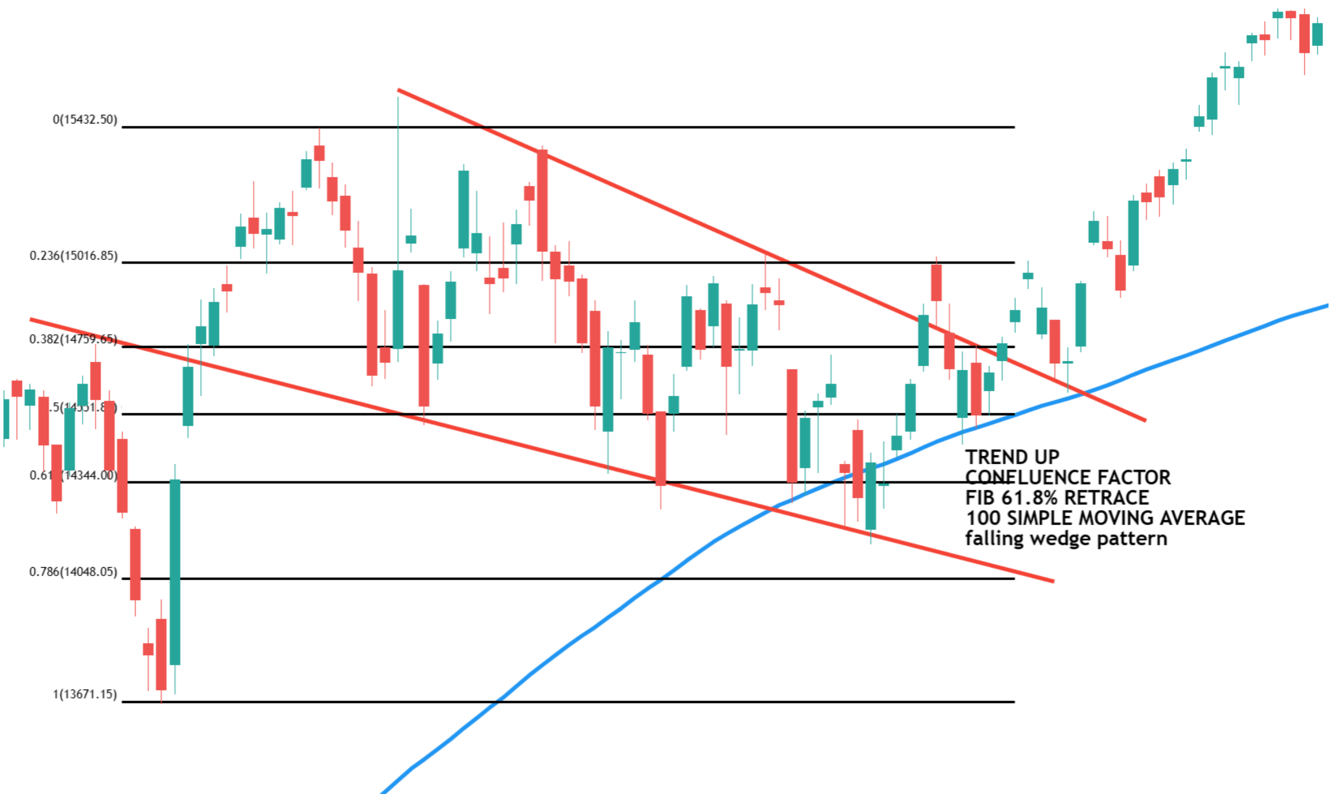


Fibonacci Trading Strategy using Confluence Factor

In this article, I will discuss the **Fibonacci Trading Strategy using the Confluence Factor** with Real-Time Examples. Please read our previous article discussing the **Fibonacci Trading Strategy** with Real-Time Examples. The following Key pointers are going to be covered in this article.

1. **Why does Fibonacci Work?**
2. **Fibonacci Trendline Confluence Trading Strategy**
3. **Confluence of Fibonacci with Price support or resistance or supply demand zone confluence trading strategy**
4. **Confluence of Fibonacci with moving average confluence trading strategy**
5. **Fibonacci with Multiple Confluence Trading Strategy**

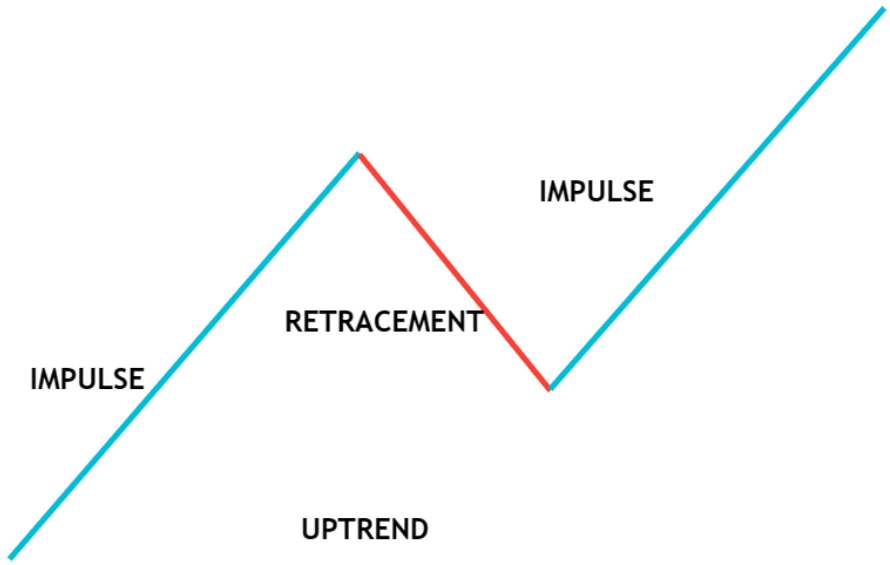
Fibonacci Trading Strategy using Confluence Factor



Principles of Market Trends

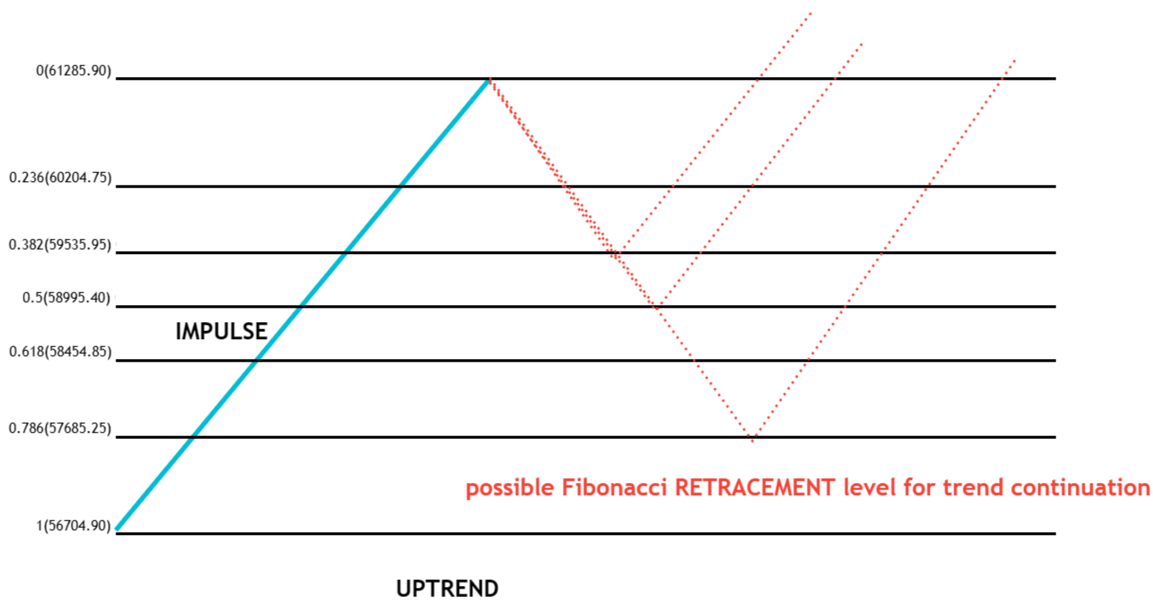
As you know, price action has a zig-zag form

1. Movements with the trend are called “impulses/extensions.”
2. Movements against the trend are called “correction/retracement.”



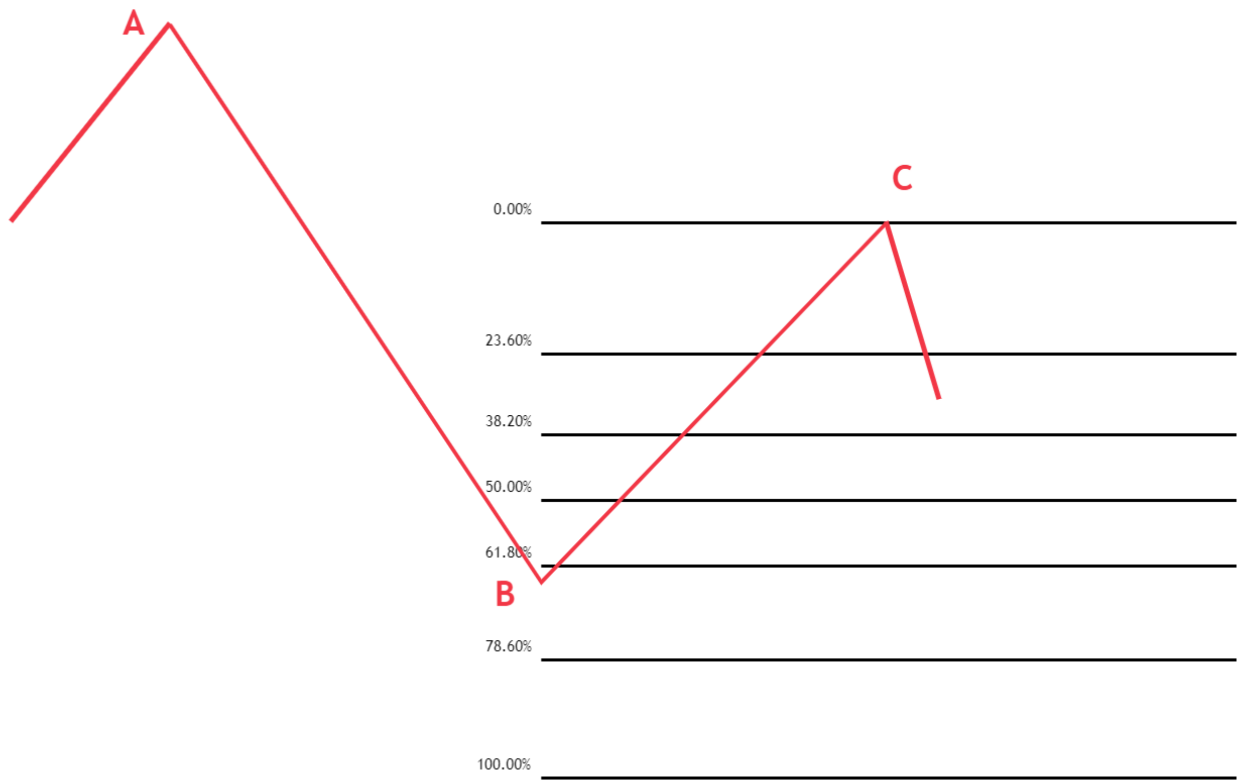
Fibonacci RETRACEMENT

After beginning a new trend direction, the price will retrace before continuing in the trend's direction. Therefore, we use the Fibonacci tool to identify the following probable support and resistance levels. The Fibonacci retracement level predicts the maximum level at which retracement is likely to occur. Traders have a good opportunity to start new trades in the trend's direction at these retracement levels.



Fibonacci EXTENSION

Traders can use Fibonacci extensions to set profit targets or predict how far a market may rise when a retracement is complete.



Why does Fibonacci Work?

Many traders put alerts at different Fibonacci retracement levels and look for trade opportunities at a better price.

1. The price action trader also looks for buy-on dips in established uptrends
2. And any other indicator trader also looks for entries like a trendline. moving average etc

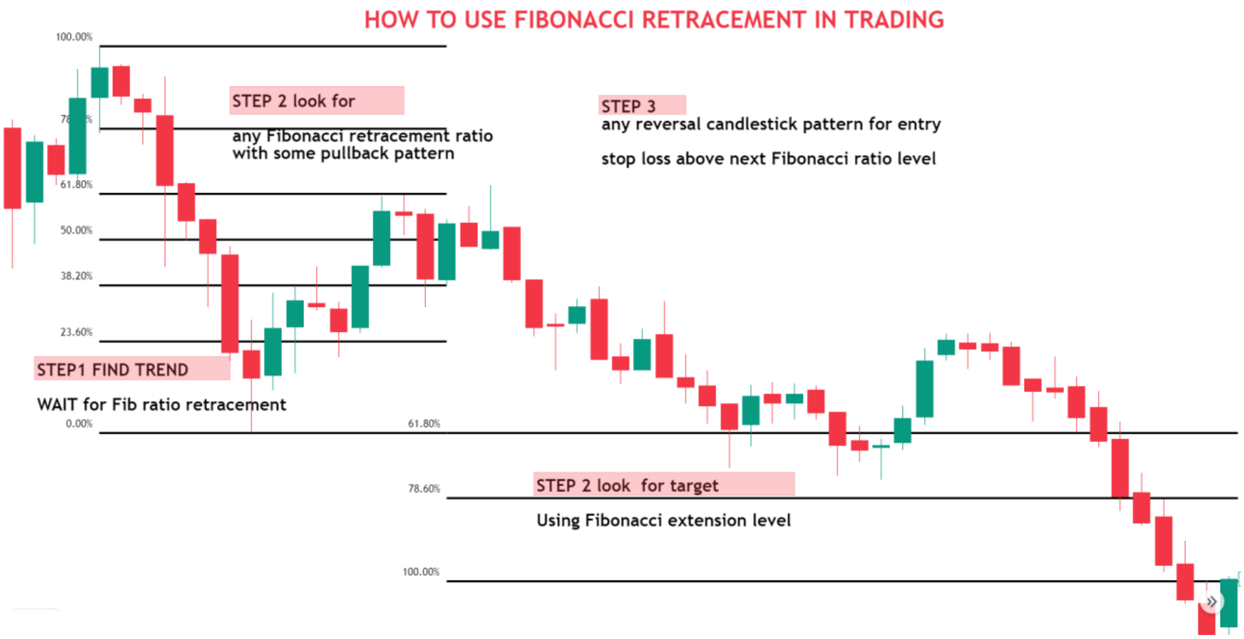
All these confluence factors increase the probability of success

What is the Fibonacci retracement trading strategy?

Area of support in the uptrend and area of resistance in the uptrend. The fundamental idea behind the Fibonacci retracement trading strategy. states that after beginning a new trend direction, the price will retrace before continuing in the trend's direction. Therefore, we use the Fibonacci tool to identify probable support and resistance levels. The retracement level predicts the maximum level at which retracement is likely to occur. Traders have an excellent opportunity to start new trades in the trend's direction at these retracement levels. The Fibonacci retracement levels are 23.6%, 38.2%, 50%,61.8%, 78.6%, and 100%.

Next possible support levels are marked if the stock moves up

Basic Fibonacci Trading Strategy



Fibonacci Trading Strategy with Confluence

What is the Area of Confluence?

Confluence means finding multiple reasons for taking a trade. “Area of Confluence” in trading refers to a certain price zone or level when several technical analysis tools and indicators converge and suggest the same possible price movement. Confluence zones are considered stronger levels of support or resistance since the interaction of several parameters adds more support to prospective price action. Many traders take entry at a zone with the same view, creating momentum in your favor.

The Fibonacci with confluence factor trading strategy involves combining the use of Fibonacci retracement levels with various other parameters to identify potential trade opportunities.

Finding Area of Confluence in Fibonacci Trading Strategy

Here are some confluence factors that can be used along with the Fibonacci retracement trading strategy

1. Fibonacci retracement
2. Horizontal support and resistance
3. Supply and demand zone
4. Trendline
5. Moving average
6. Chart pattern

More the confluence, the stronger the signal

Basic things that look in trading Fibonacci confluence trading strategy

1. Trend trading

2. Clear impulse move
3. The first pullback in a newly established trend

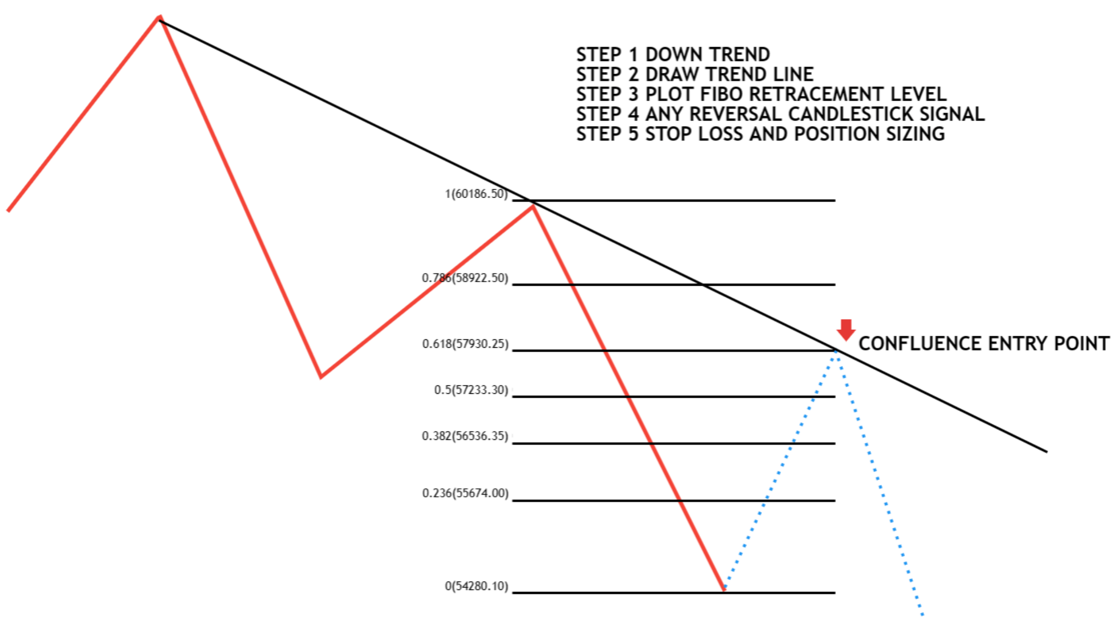
Fibonacci Trendline Confluence Trading Strategy

The Fibonacci with trendline trading strategy involves combining the use of Fibonacci retracement levels with trendlines to identify potential trade opportunities in the financial markets.

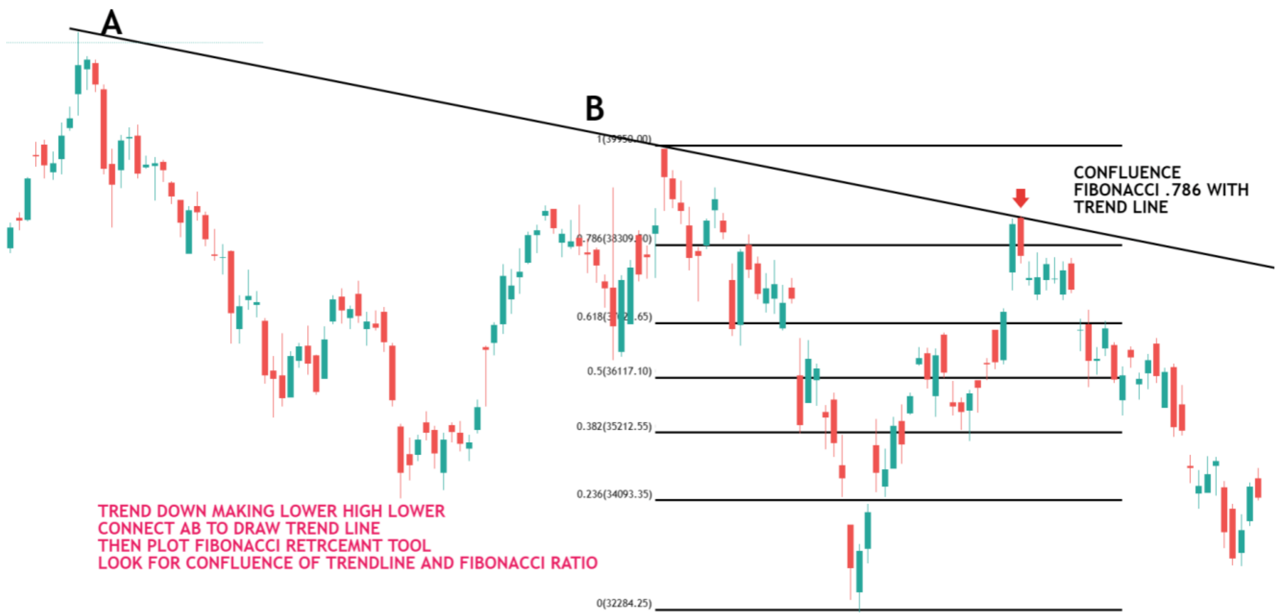
A trendline is a straight line that connects two or more price points and is used to identify the current trend's direction in a market. In the context of the Fibonacci with trendline trading strategy, trendlines are used to confirm the trend's direction and determine the validity of the Fibonacci retracement levels.

Here is how the strategy works:

1. **Identify the trend:** Search for an instrument that is either rising (higher highs and higher lows) or falling (lower highs and lower lows)
2. **Draw a trendline:** Draw a line on the chart that connects two or more lows (for an uptrend) or two or more highs (for a downtrend) to indicate the trend. You can use the trendline as a level of support or resistance to assist you in deciding whether to buy or sell.
3. **use the Fibonacci retracement tool** to find out key levels of retracement and look for the confluence of both trendlines with the Fibonacci retracement level
4. **Identify entry and exit points:** If the price is in an uptrend and above the trendline, consider buying near the support of the trendline. Consider selling at the trendline resistance if the price is below the trendline and the trend is downward.
5. **Stop loss and target: –** Put stop-loss orders below the trendline in an uptrend or above the trendline in a downturn to reduce risk. Additionally, consider using profit objectives to maximize profits at predefined levels.



BELOW IS AN EXAMPLE OF A BANK NIFTY DAILY TIME FRAME



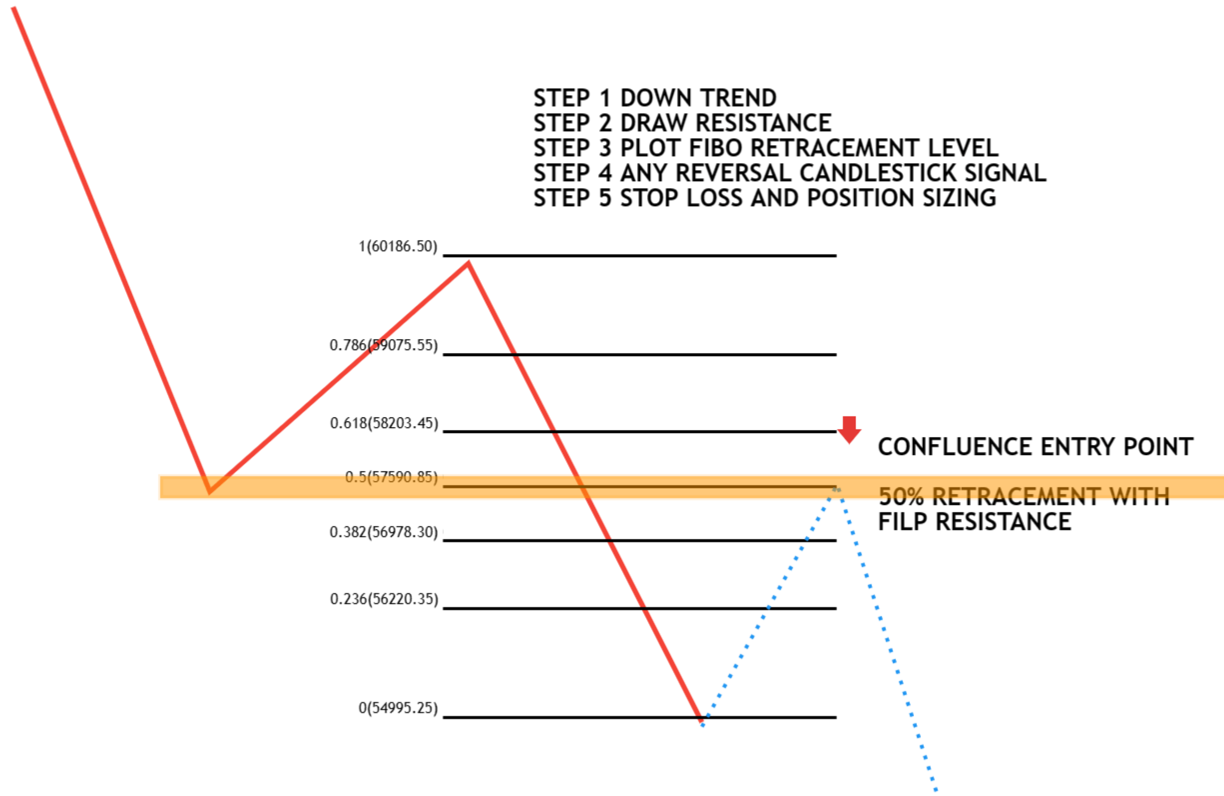
Fibonacci with Support and Resistance or Supply and Demand Zone Confluence Trading Strategy:

Many traders combine the confluence of Fibonacci retracement levels with support and resistance levels or supply and demand zones to find suitable entry and exit opportunities. This method combines Fibonacci retracement levels with significant support and resistance levels to pinpoint places where the price may reverse.

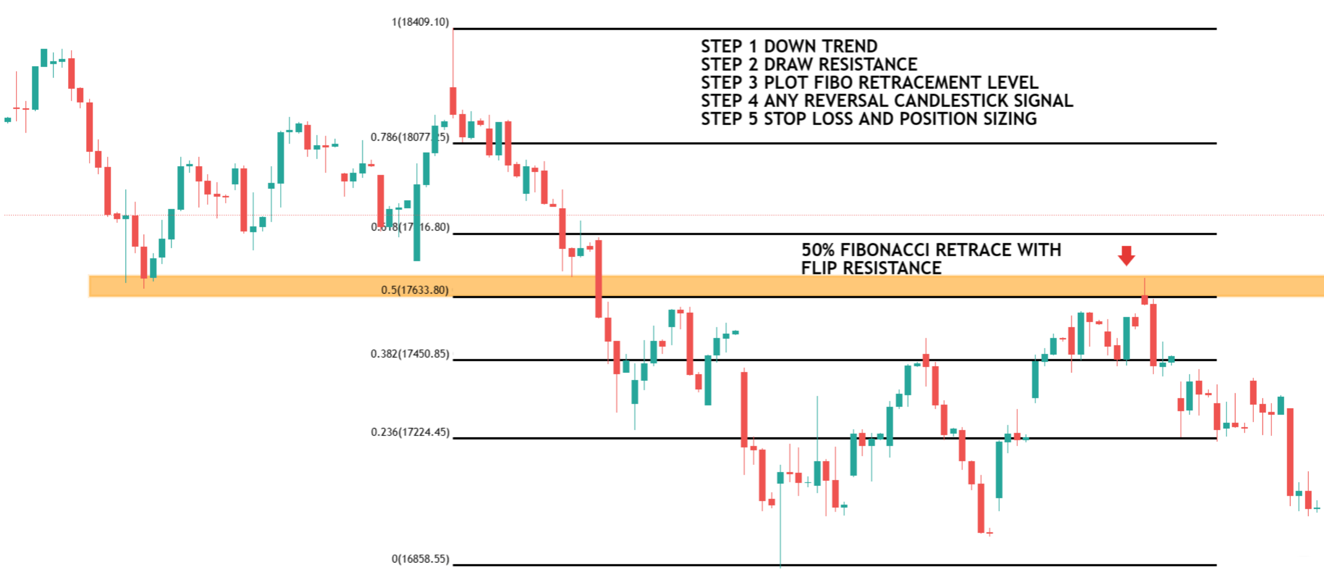
With this approach, traders look for confluence between important support and resistance levels, supply and demand zones, and Fibonacci retracement levels.

Here is a step-by-step guide on how to use the confluence of Fibonacci retracement levels with support and resistance levels

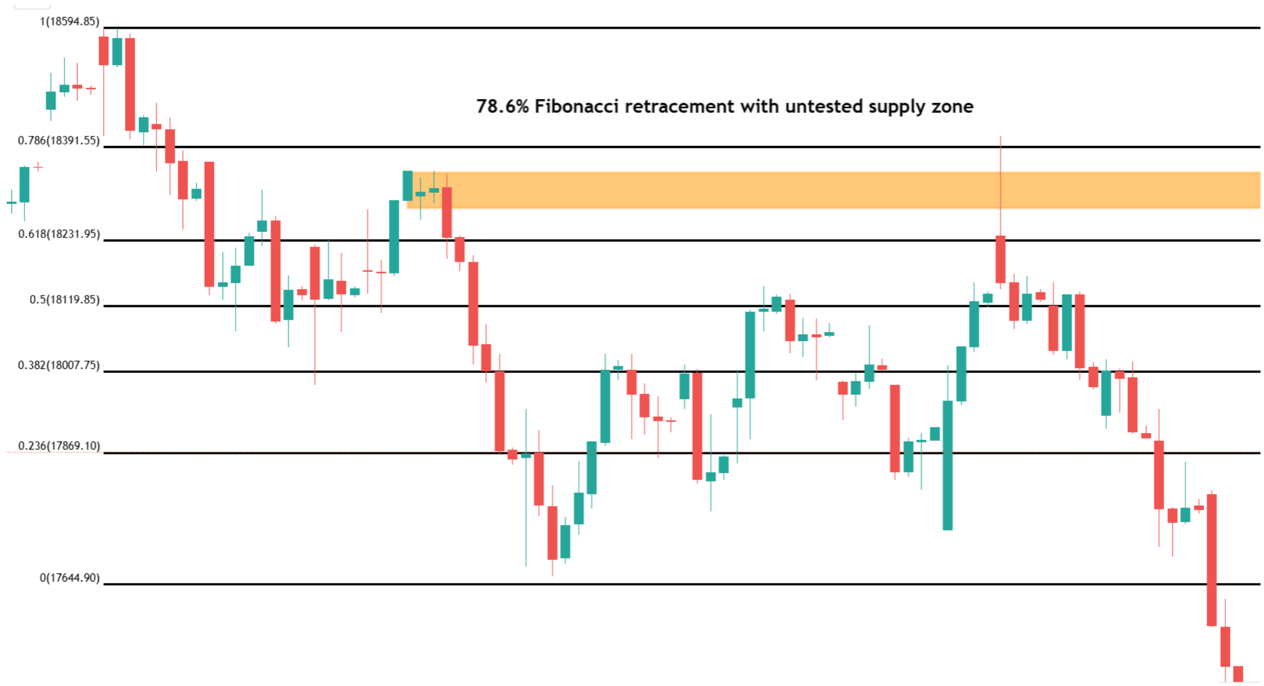
1. **The first step is to identify a clear trend in the market**. This can be done by looking at the price action. means there should be a clear impulse to move beyond support resistance.
2. **The second step is to identify key support and resistance levels or supply and demand zones in a clear trend**. This can be done by looking for previous price levels where the price has breakout or reversed.
3. **The third step is to use the Fibonacci retracement tool** to find out the key level of retracement and look for the confluence of both support and resistance with the Fibonacci retracement level.
4. **Identify entry and exit points:** If the price is in an uptrend, consider buying near the support of the trendline.
5. **Stop loss and target: –** ABOVE ENTRY SIGNAL HIGH IN DOWN TREND.



Here is an example of a nifty 2-hour time frame.505 Fibonacci retracement with flip resistance and then a downtrend continued



Below is the example of Fibonacci with a supply and demand zone and then a downtrend continued

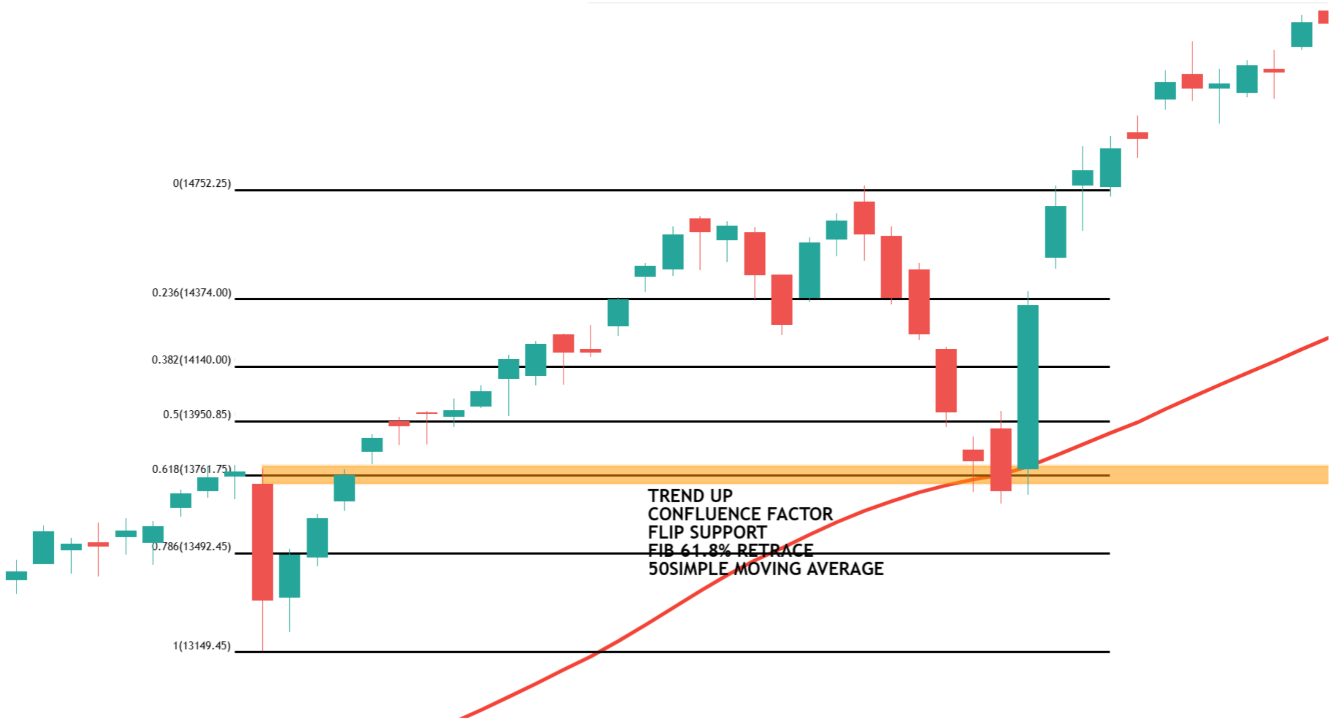


Fibonacci with Moving Average Confluence Trading Strategy:

Using two well-known indicators, the Fibonacci plus moving average confluence trading technique can spot probable market trends and reversals. Traders look for confluence between these two indicators to confirm their trading decisions, and the strategy is popular among technical analysts for its accuracy in identifying potential trading opportunities.

1. Plot moving averages on your chart. Moving averages can help identify the trend's direction and provide potential areas of support and resistance.
2. Use the Fibonacci retracement tool to plot the Fibonacci levels between a high and low point in the trend.
3. look for confluence between the Fibonacci levels and the moving averages. If a key moving average aligns with a key Fibonacci retracement level, such as the 61.8% or 50% retracement, this creates a stronger area of support or resistance.
4. if you find a confluence between the Fibonacci levels and the moving averages, the next step is to make a trade decision. For example, if you find a confluence of support at the 61.8% Fibonacci retracement level and a 50-moving average, you may decide to enter a long position at that level.

BELOW IS AN EXAMPLE OF A DAILY TIME FRAME IN NIFTY. HERE THE confluence of 61.8% Fibonacci retraces with flip support and 50 simple moving average; then, the price continues with the trend



Fibonacci Trading Strategy with Multiple Confluence Factors

The Fibonacci, with multiple confluence methods, uses a variety of indicators to determine possible places of support and resistance for entry and exit in the market.

finding important Fibonacci retracement levels and combining them with other confluence factors like moving averages, trend lines, support and resistance levels, supply and demand zones, and chart patterns. Traders can get a more complete picture of the market and potentially find more precise trading signals

Let us see another example of the nifty daily time frame and the extension of the previous chart. Here, the confluence factor falling wedge, 100 simple moving average with 61.8% Fibonacci retrace also one can see a double bottom reversal

RSI (Relative Strength Index) Trading Strategy

In this article, I will discuss the RSI indicator, the **Relative Strength Index (RSI) Trading Strategy**. As part of this article, you will learn the following.

1. **What is RSI?**
2. **How Does the RSI Indicator Work?**
3. **4 Uses of RSI**

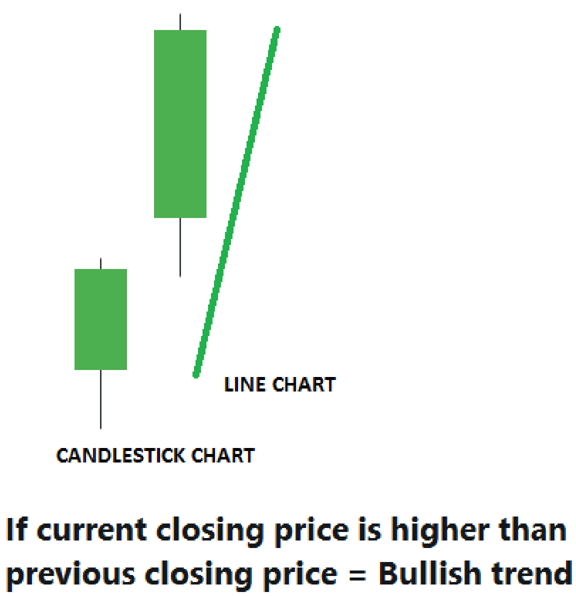
What is the Relative Strength Index?

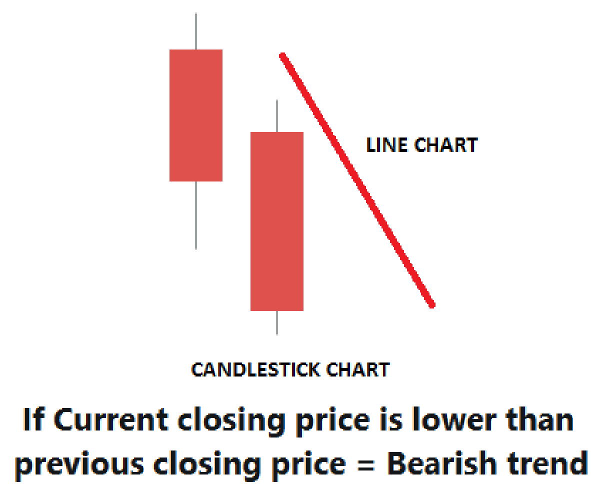
J. Welles Wilder developed the Relative Strength Index (RSI). Relative Strength Index (RSI) is a momentum oscillator that measures the speed and change of price movements. The RSI oscillates between zero and 100. The Relative Strength Index (RSI) is a popular momentum oscillator used in technical analysis to measure the speed and change of price movements.

How Does the RSI Indicator Work?

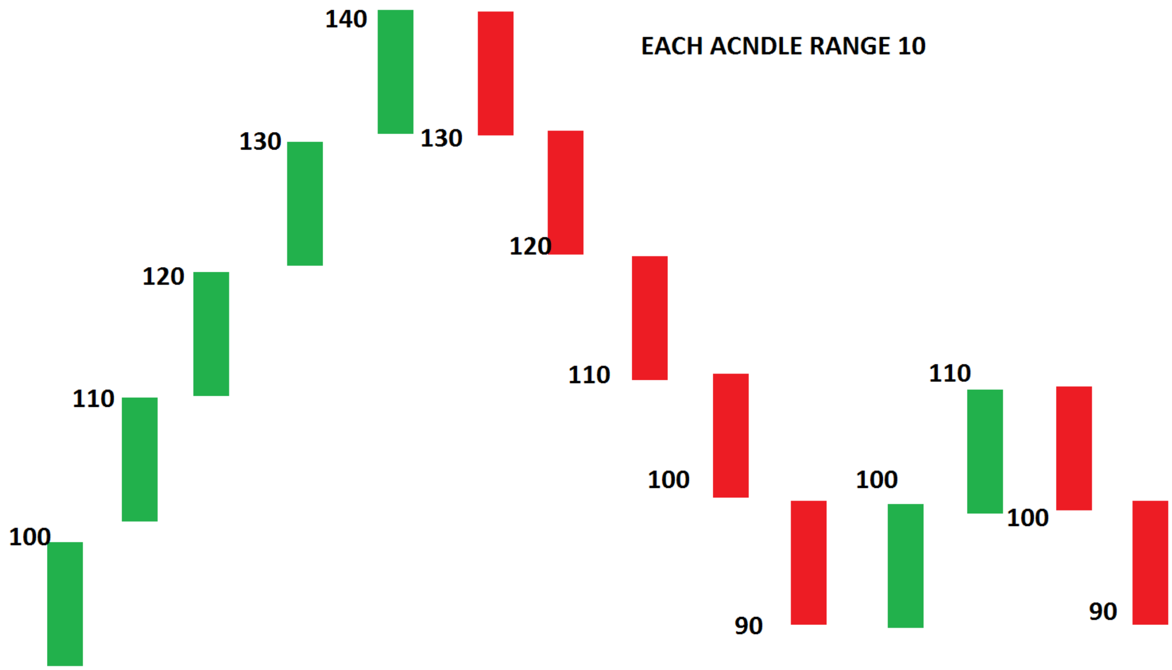
Let's understand the formula. How does it work? The logic behind the RSI. The RSI indicator is calculated on the closing price. We can define bullish and bearish prices on a closing chart as follows:

1. If the current closing price is higher than the previous closing price, = Bullish trend
2. If the Current closing price is lower than the previous closing price, = Bearish trend





The first calculations for average gain and loss are simple 14-period averages(default period). The first question is, what is the average gain? Let me give you a very simple example.



Above is a chart connecting 14 closing prices. We are calculating the average gain and loss over the last 14 periods. Let us calculate gains and losses using this chart.

- First Average Gain = Sum of Gains over the past 14 periods
- First Average Loss = Sum of Losses over the past 14 periods

In the above chart,

Bullish readings (Gain) are = 10,10,10,10,10,10 and 10

Bearish reading (Loss) are = 10,10,10,10,10,10 and 10

Let us calculate the simple average price of the gains & losses:

Bullish average = (10+10+10+10+10+10+10)/7=10
Bearish average = (10+10+10+10+10+10+10)/7=10
So average gains were 10 points and average losses 10 points.

How do we know how strong the bulls are?

The average of losing bars plus the average of winning bars was =10+10=20
The average gain was 10
So, RSI will be (10 / 20) x 100= 50

The key thing to note is that the higher your average gain, the higher your RSI will be. Make sense?
Suppose in the above example, the average gain is 15 and the average loss is 5
RSI will be (15/20) x 100= 75

So, when the RSI is at 50, the Average gain equals the Average loss.

RSI goes up: When your average gain is greater than your average loss in a particular lookback period, this pretty much means that the size of your bullish candles is larger than the bearish ones.

RSI goes down: When your average gains are smaller than your average loss in a particular look-back period. This means the size of bearish candles is larger than the bullish candles. In other words, the RSI indicator measures the momentum of price or trend.

(Disclaimer: I used a very simplified version of the Relative Strength Index (RSI) indicator calculation. I think their calculation is a little bit more complicated. But again, the concept is the same.)

Parameters

The default look-back period for RSI is 14, but this can be changed. The look-back period for RSI is lowered to increase sensitivity or raised to decrease sensitivity. 7- Period RSI is more likely to reach overbought or oversold levels than 14- period RSI.

Uses of Relative Strength Index Trading Strategy

RSI shows overbought or oversold

- RSI is when above 70 and oversold when below 30. These levels can also be changed if necessary to fit the security better. For example, if security repeatedly reaches the oversold level of 30, you may want to adjust this level to 20.
- Relative Strength Index (RSI) overbought and oversold readings work best when prices move sideways within a range.
- During strong up trends, the RSI may remain overbought for extended periods.

So consider only oversold when the trend is strong. Reverse for a strong downtrend.

RSI pattern

- RSI also often forms chart patterns(like price chart patterns) that may not show on the underlying price chart, such as double tops and bottoms, support resistance, and trend lines.

Identifying Trends Using RSI

Uptrend

Suppose the RSI is above 50. This tells you that the average gain is larger than the average loss. You can conclude that it's in an **uptrend.** In an uptrend, the RSI tends to remain in the 40 to 80 range, with the 40-50 zone acting as a support zone.

Downtrend

If the RSI is below 50. This tells you that the average loss is greater than the average gain, and you can conclude that it's in a downtrend

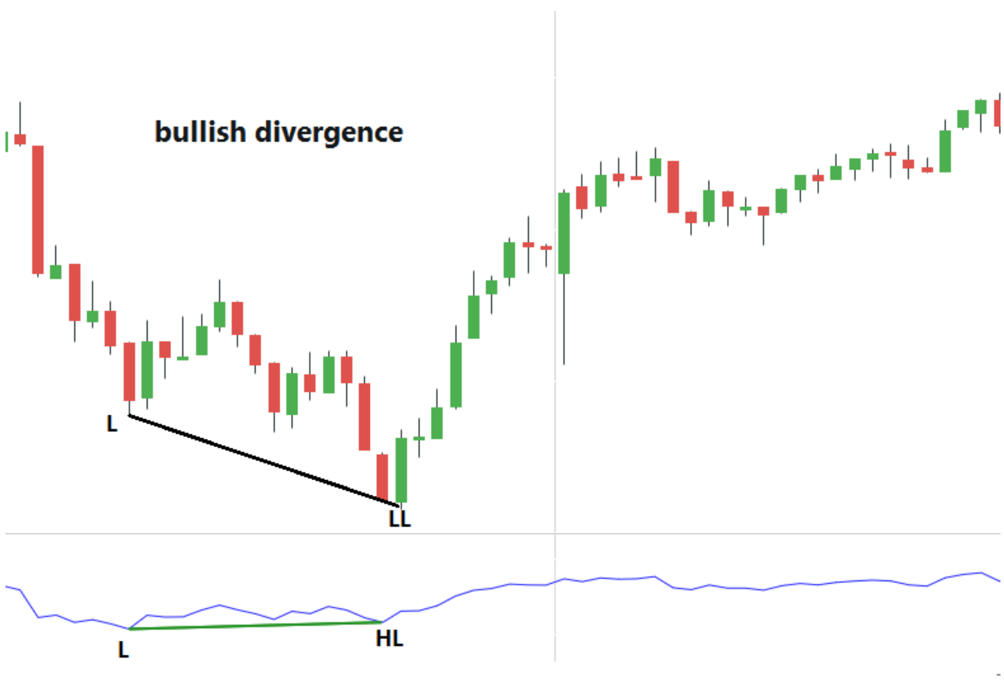
During a downtrend, the RSI tends to stay between the 20 to 60 range, with the 50-60 zone acting as a resistance zone. These ranges will vary depending on the RSI settings and the strength of the security's trend.

DIVERGENCE

This divergence can signal a price reversal if prices make a new high or low that the RSI doesn't confirm.

Price makes a lower low while RSI makes a higher low. Why?

A bullish divergence occurs when the price makes a lower low, and RSI forms a higher low. If the RSI does not confirm the lower low, this shows strengthening momentum. It means there were gains in between while the price made new lows, but the gains prevented the RSI from making a corresponding lower low. The logic is reversed for the Bearish divergence.




H
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BEARISH DIVERGENCE
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3 Techniques for Risk Management in Trading

In this article, I will discuss **3 techniques for Risk Management in Trading**. Here, I will discuss my trading secret to success.

1. **Risk Protection**
2. **Risk Profile**
3. **Active Trade Management**

Introduction to Risk Management in Trading

Trading knowledge, including technical analysis, good strategies, and chart reading, are all necessary but alone are not enough to make you a successful trader

Today's post will be one of the most important you'll ever read. Here, I will discuss risk management. Because if you apply the risk management strategies, I can guarantee you'll never blow up another trading account, and you might even become a profitable trader

Risk management is the foundation of a successful trading system. We can basically break risk management into 3 categories:

1. **Risk protection**
2. **Risk profile**
3. **Active Trade management**

Let's discuss all these in detail

Risk Protection

To protect against something, it is necessary to begin with an understanding of what it is that you are protecting against. It is fine to say that protection is being taken against potential loss. Losses are an inevitable part of the trading game. We need to accept losses as the cost of doing this business. The world's best traders lose a lot.

- The underlying root cause of a loss in any trading situation is the trader's fear and greed.

Let's start with fear

Fear

Fear warns you that something doesn't feel right about a trade you took; you must figure out what is going wrong.

Any fear that does exist works in two ways.

- There is the fear of missing an opportunity (FOMO)
- There is also the fear of incurring a major loss

The protection against each is somewhat different.

Let's discuss each in-depth

Protection against Fear of missing an opportunity (FOMO)

How does it affect our trading?

- The fear of a missed opportunity may result in a premature trade. Most of us are so afraid of missing a profit that we tend to trade too early constantly.
- The common mistake is to conclude that a little bit of a wait is no problem because the eventual result will justify it. How do you know it's going to be just a short wait? That's an assumption.
- A much bigger problem, however, is that the judgment (upon) which the trade is based may be invalid. Because that opportunity has not had a chance to develop fully, something could go wrong. If it does, the position will probably be stopped.

HOW TO PREVENT Fear of missing an opportunity (FOMO)

Unfortunately, there is no mechanical tool that will invariably keep you from trading too early.

- Protection against the fear of missing an opportunity is discipline and confidence in your method

4 Steps for Disciplined Trading:

1. Take direction from the market, not from your hopes, greed, or fear. Most traders do not see the market clearly. Control your beliefs about the market
2. Predefine your risk before taking a trade
3. Cut your losses without hesitation
4. Use a systematic money management plan

Confidence

Confidence in your method makes all the difference in trading. You cannot make money unless you have total confidence in your methods. However, the problem is that you will not have confidence in your methods if you do not make money. To become a consistently profitable trader, you must develop a method that suits your personality. When developing a trading plan, you should understand the logic behind each step. This will boost your confidence and discipline you to follow the plan. Confidence believes in your ability to do something.

To be successful in trading, we must have a method with an edge. We need to trade the method long enough.

Ignoring the results of individual trades to win. This is not possible without total trust in your methods. Losses shouldn't worry you if you have confidence in your trading method. Just take it and move on. Successful trading is not totally avoiding losses but winning more than what you lose. For every trade we enter, there could be four outcomes. a) Big Loss, b) Small Loss, c) Small Win, and d) Big Win. Let us remove the Big Loss from this. Small Wins will take care of Small losses, and Big wins will remain with us. Ensure that your trading plan eliminates the possibility of losing big. "You can't make money if you are not willing to lose. It's like breathing in, but not willing to breathe out" Ed Seykota

Fear is of incurring a major loss.

The other type of fear is of incurring a major loss. **It is done with a stop order.** The stop order lets the investor take comfort in the fact that if his appraisal is badly flawed, his loss will be cut short before it becomes a disaster.

If a trade has been made too early (FOMO), the stop may be too close to survive the remaining and unknown action of the trading range. In these cases, the position may be lost to a stop, resulting in a loss even though the eventual outcome has been properly diagnosed in the market**.**

- Using a stop correctly means maintaining a profit-risk ratio in your favor. Be careful, however, that you don't end up using this idea in a way that unduly restricts the stock's ability to move.
- Over the years, we have found that the most generally acceptable profit-risk ratio is 3 to 1. First, it prevents a major loss; second, it gives the stock some breathing room. It is unreasonable to assume that every stock will be caught exactly at its turn.
- A long position may move somewhat lower before it turns up, and a short one may move somewhat higher before turning down. **You have got to allow some margin for error.**

Stop-loss order

How to place a proper stop-loss order?

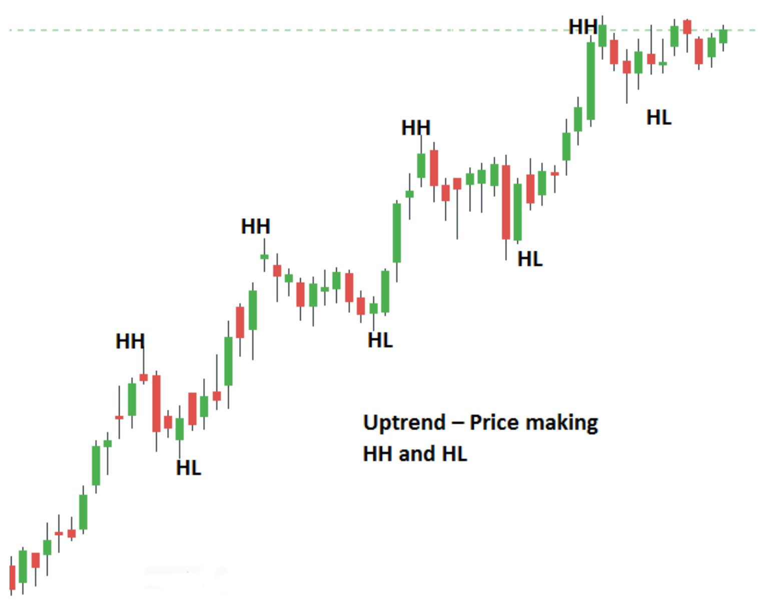
Step 1 =Identify the structure of the markets

Step 2 = Place your stop loss beyond the structure

Let me explain…

Identify the structure of the markets.

The market structure refers to Support and resistance, swing high, swing low, higher highs and lows, lower highs and lows, etc.



Step 2 = Place your stop loss beyond the structure

These are important points in the market because that's where most traders will place their stop loss.

Why?

If the price trades beyond it, it will invalidate their trading setup, as they know they are wrong on their trade. However, the problem with placing your stop loss near these levels is that smart money can easily trigger it.

Why do they do this?

Smart Money is paid to collect **VOLUME (where Liquidity is found).** He only targets places with higher Volumes, and he collects them.

How do they do?

The spikes in one direction or the other hit the stop losses of either sellers or buyers.

Protection against greed

Greed is perhaps more basic. When it causes a loss, it is a loss of already-realized profits.

From an objective standpoint, you would think that when a reasonable profit has been developed in a position, there would be great satisfaction in taking that profit. Unfortunately, it doesn't always work that way. Let's analyze the situation.

- After the market is given a certain profit level, there is a tendency to want more (greed) instead of being satisfied.
- The desire to make more profit causes the situation to be analyzed from that standpoint (greed) rather than from the standpoint of things as they really are. At that point, greed has taken control, and the profit already gained is jeopardized.

- Consider these examples. A stock has been in an uptrend for quite some time, with good upside progress. There are two good reasons to sell this stock. The stock becomes overbought and reaches its upside objective or key resistance.

Here's an example of Risk Management in Trading:

You go long on a breakout, and the trade goes in your favor immediately. Shortly, you have open profits of 3R, and your trading strategy tells you to exit your trade (because the market has reached a key Resistance). But, you tell yourself: "This chart looks so bullish, I should hold this trade longer for bigger profits." So, you hold onto the trade. The market slowly starts to reverse and wipe out some of your open profits. Now you're anxious, but tell yourself: "Never mind, I'll exit the trade if the market increases slightly." Unfortunately, the market didn't go higher and retrace all the way and hit your stop loss.

How to overcome greed

- Pre-establish a sell or cover order in the area of the anticipated objective.

- Or once the price is reached in the anticipated objective, tighten your stop loss(trailing stop order)

Pre-establish a sell or cover order in the area of the anticipated objective.

- The only way to totally protect oneself from greed is to take steps against it at the time a position is; one of the best ways to do this is to predetermine and preestablish a sell or cover order in the area of the anticipated objective. When the stock reaches that level, it is established. The position will be automatically eliminated and the profit protected." Greed won't even have a chance.

TRAILING STOP ORDER

We identify zones we're happy to trade and then work the best entry we can within that area. Stops should be placed in a location that invalidates the trade.

Not every position is going to make it to its indicated objective. I mean, not every position hit the target. In those cases where the ultimate objective is not met, how can the position be protected? The stop order can be used very effectively for this type of protection if used correctly throughout the life of the position.

That means repositioning it as the move progresses**.** The first objective in re-positioning a stop is to get up to or down to the trade price as quickly as possible. Once this is accomplished, the investor's funds are protected against loss, and he can breathe a little easier. This repositioning, or any to follow, cannot be done carelessly. Initial capital may be protected if it is, but profits will likely be scarce.

The rest of the period between the periods of progress is extremely important. They will indicate when a stop can be moved and, more importantly, to what level it can be moved. A resting period will either be a normal correction or a horizontal consolidation. The stop should be re-positioned just above or below the extremes of these periods just as soon as there is an indication that the prior progress is being renewed. Don't be in too much of a hurry on this. Suppose you cannot point to some action that clearly indicates the prior move is about to be renewed. In that case, you may be setting yourself up to be stopped by a correction that goes a little farther than you had expected or by the consolidation that ends with an unexpected shakeout or upthrust action.

Risk profile

X is an aggressive trader who risks 20% of his account on each trade. Y is a conservative trader who risks 2% of her account on each trade. Both adopt a trading strategy that wins 50% of the time with an average of

1:2 risk to reward. Over the next 10 trades, the outcomes are Lose Lose Lose Lose Lose Lose Win Win Win Win-Win.

Here's the outcome for X :

-20% -20% – 20% – 20% -20%= BLOW UP

Here's the outcome for Y:

-2% -2% -2% -2% +4% +4% +4% +4% = +8%

Risk Management in Trading could decide whether you're a consistently profitable trader or a losing trader.

Remember, you can have the best trading strategy in the world. But without proper risk management, you won't be successful in trading.

What do we include in the Risk Profile?

- What is the risk-reward ratio level we will be working on in each trade?
- What is the maximum **percentage of our account** we are willing to risk on each trade day or week?
- What is the maximum **position size** we can use per trade?

Risk Reward Ratio

Risk is defined as The amount a trader is willing to lose on a trade if it hits his or her stop. Calculate **risk on trade** (size of a stop) by measuring the distance between entry and stop-loss.

The reward is the price distance between our entry and profit points. The **trading risk-reward ratio** determines the potential loss (risk) versus the potential profit (reward) on any given trade.

How do we measure the risk-reward ratio?

Risk Reward Ratio(R: R) = Total Risk on each trade / Total Reward on that trade

What's the maximum percentage of our account we are willing to risk on any one or more trade/s?

- Only risk a small amount of your total account per trade. You want to keep your risk low, perhaps 0.5 to 1 percent
- Only risk a small amount of total account per day. This is called a daily stop. Perhaps set a rule that if you lose 3 or 4 percent of our total account in a given day, you will stop trading for that day
- Only risk a small amount per week. This is called a weekly stop. Perhaps set a rule if you lose 5 percent of your account in a given week. you will stop trading for that week

Position sizing

4 Steps to Determine Maximum Position Size

Step1 = Establish the maximum Risk amount per day based on a percentage of account size
Step2 = Divide the maximum Risk amount per day by the average number of trades per day to calculate the risk amount per trade.
Step3 = Calculate risk on trade (size of a stop) by measuring the distance between entry and stop-loss.

Step4 = Divide the maximum risk amount per trade by risk-on trade to determine the maximum position size.

Let's do it in an example

Account size=100000

Maximum Risk percentage per day=2%

Maximum Risk amount per day = Account size* Maximum Risk percentage per day

=10000*2%=2000

Number of trades per day =2

Risk amount per trade = Maximum Risk amount per day/ Number of trades per day

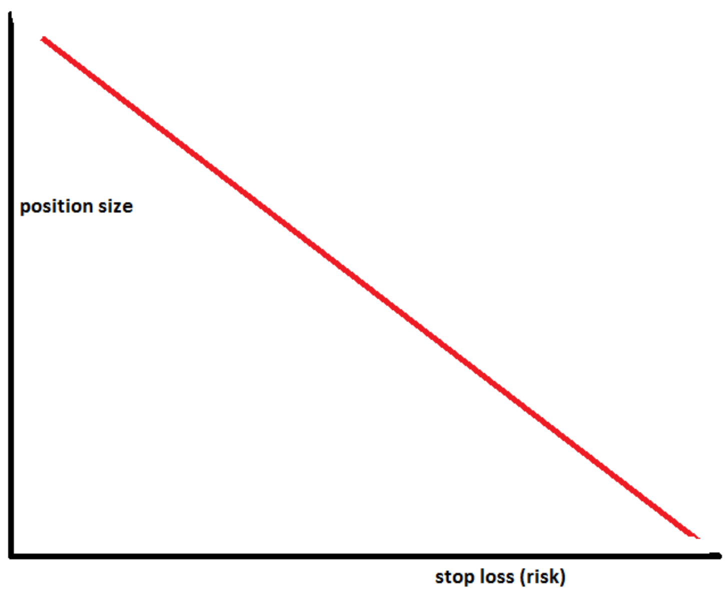
=2000/2=1000

Calculate **risk on trade** (size of the stop) =5

Maximum position size= 1000/5=200 shares

The larger the size of your **stop-loss (risk),** the smaller your **position size** (and vice versa).

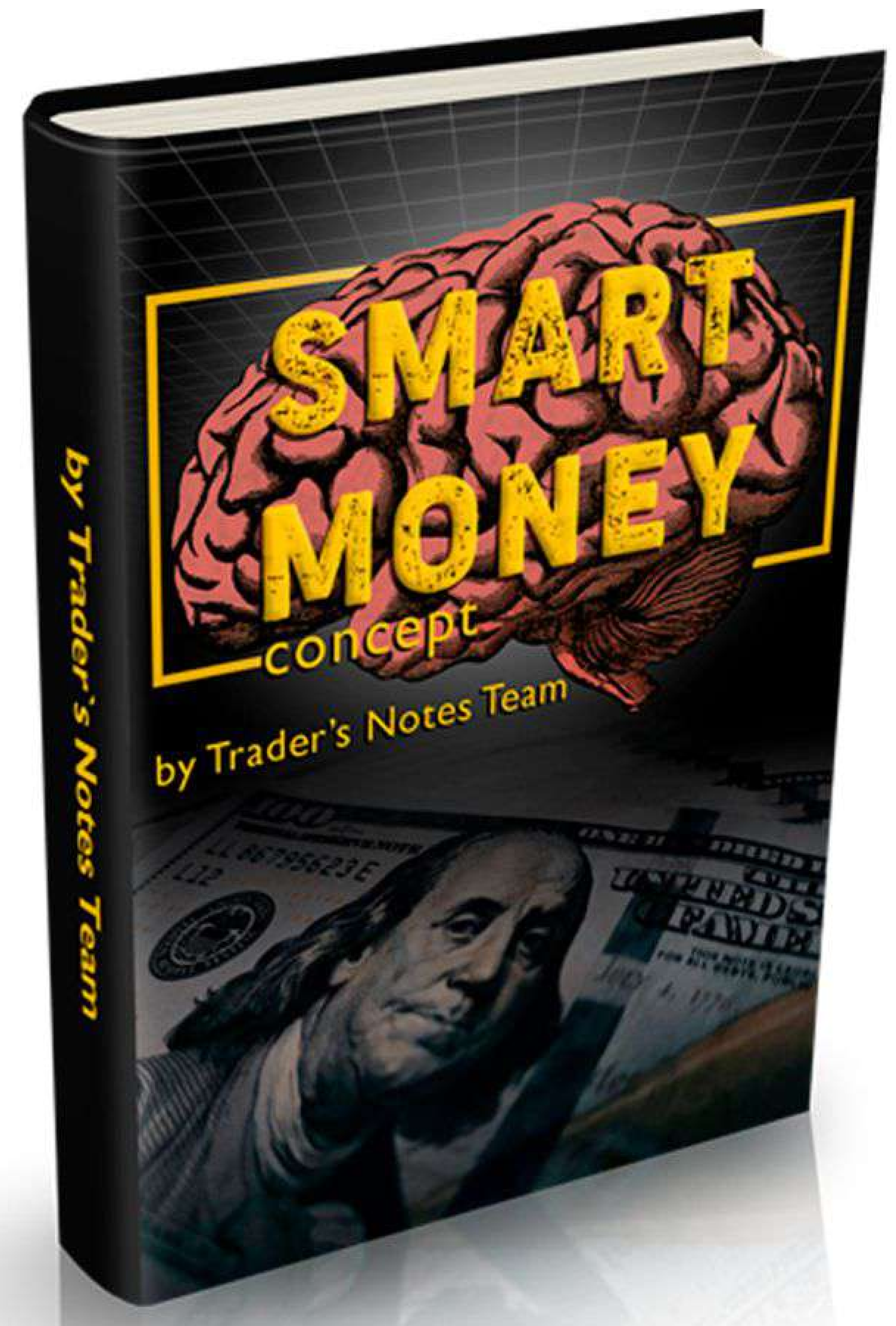
Visually, it looks like this:

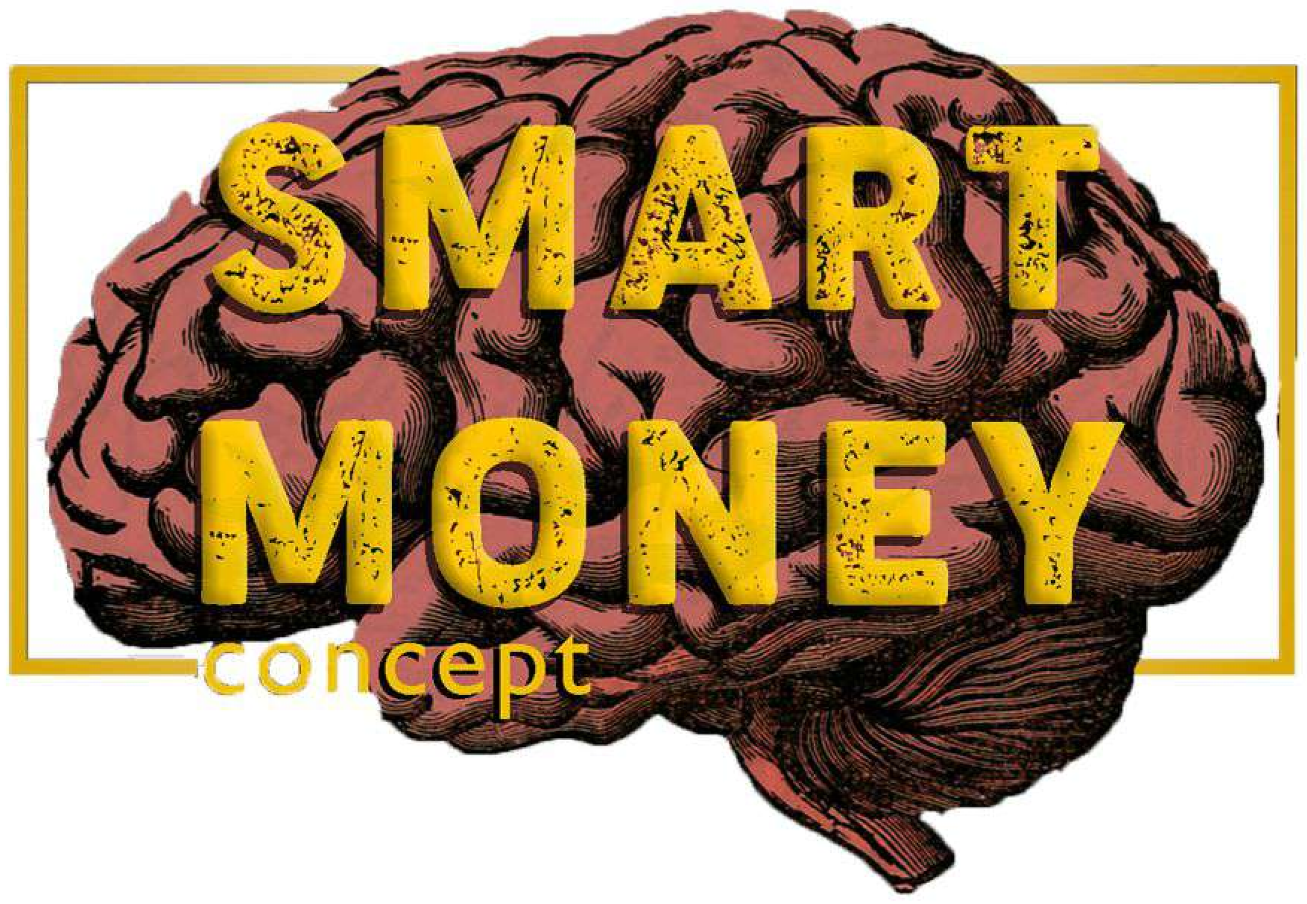


As long as we adhere to the above risk profile, we can enter 10 trades, have 5 losers and only 5 winners, and still profit overall.

Active Trade management

Most traders focus too much on their entries as that's the most hopeful trade stage. But the fact is, your exit determines your profit and loss (P&L), not your entry. You can have a good trading entry, but if you manage your trade poorly and exit at the worst possible time, you can still lose





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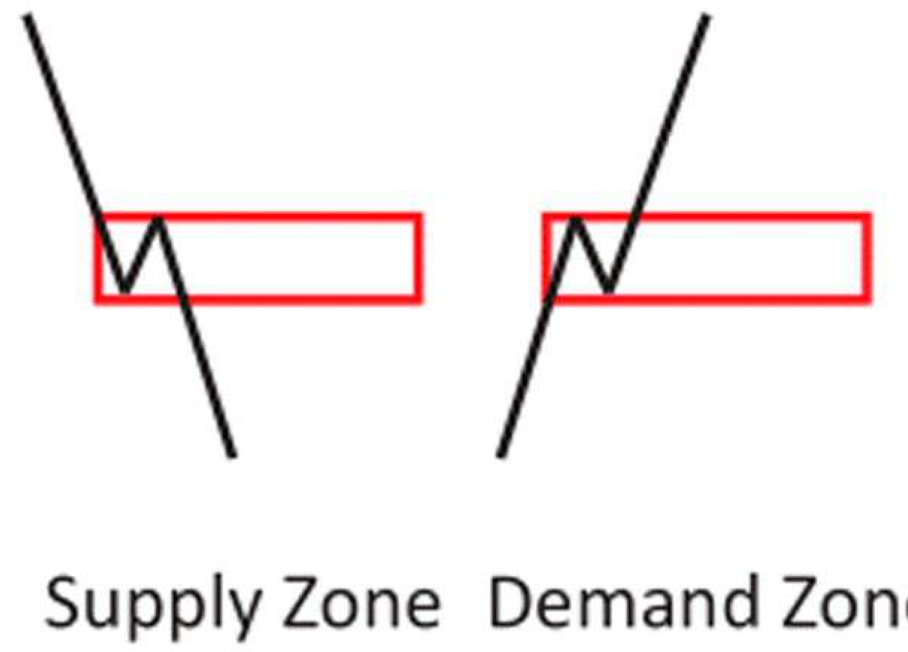
Legend



S = Support
R = Resistance
L = Line
H = High
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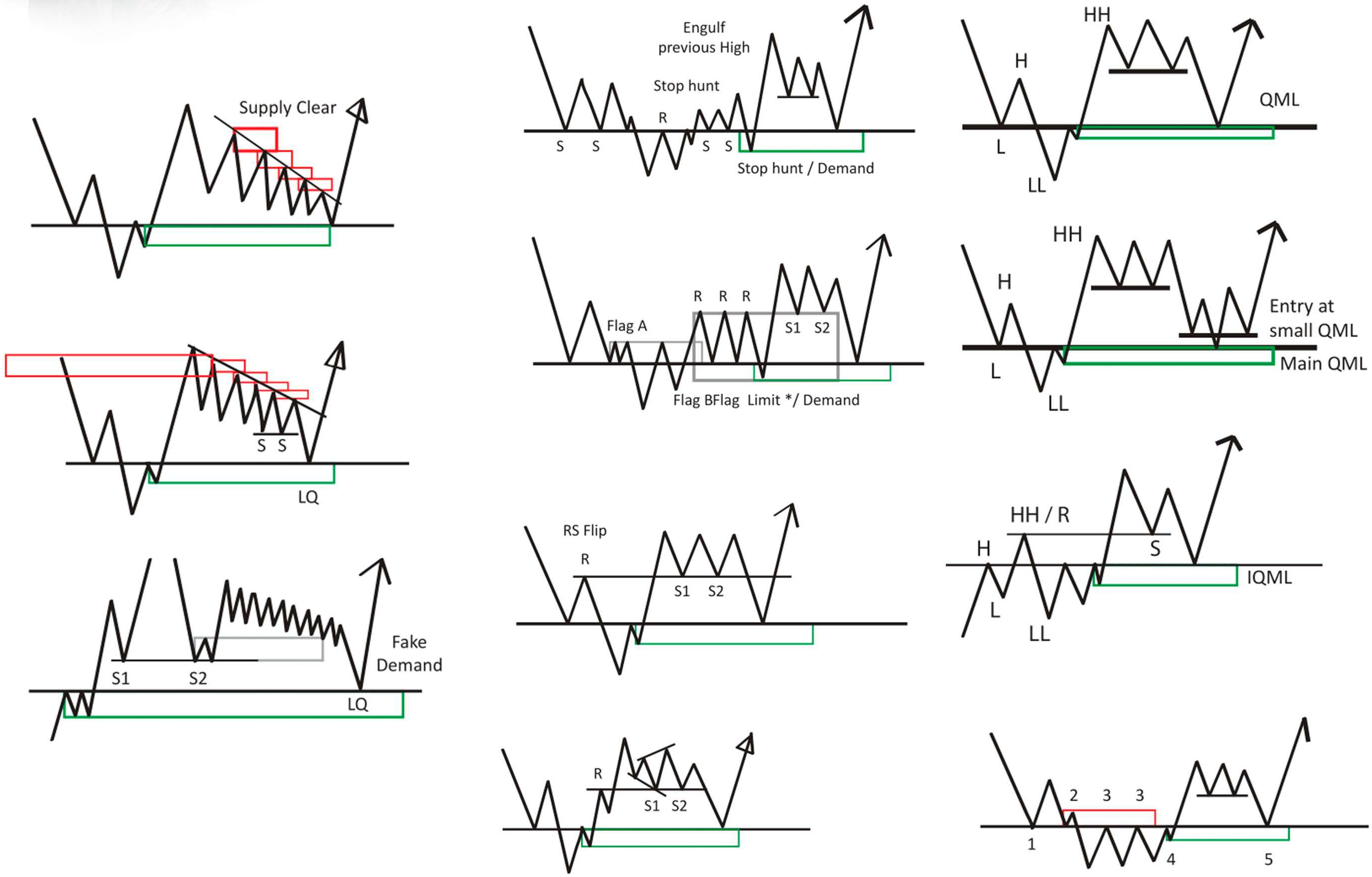
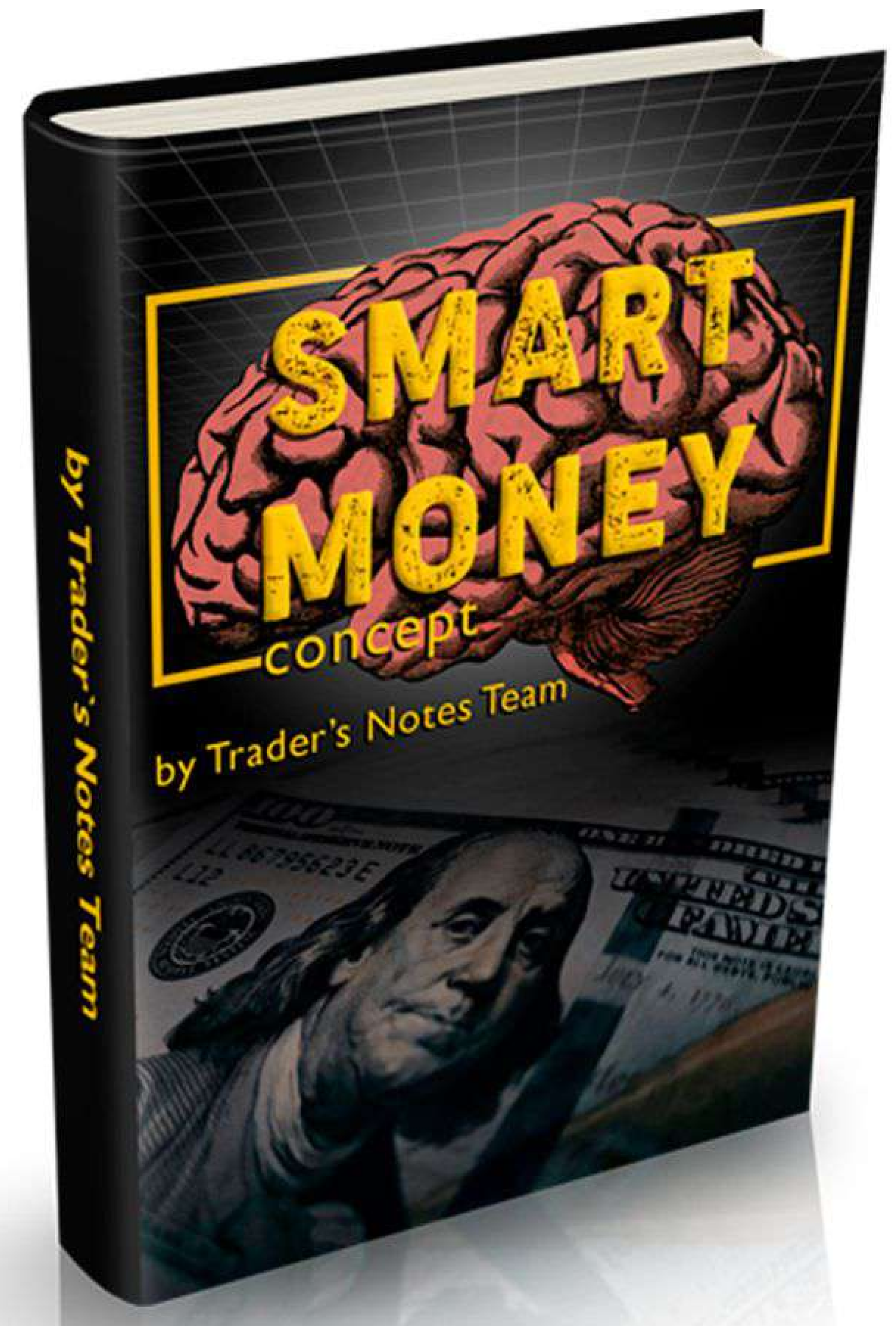
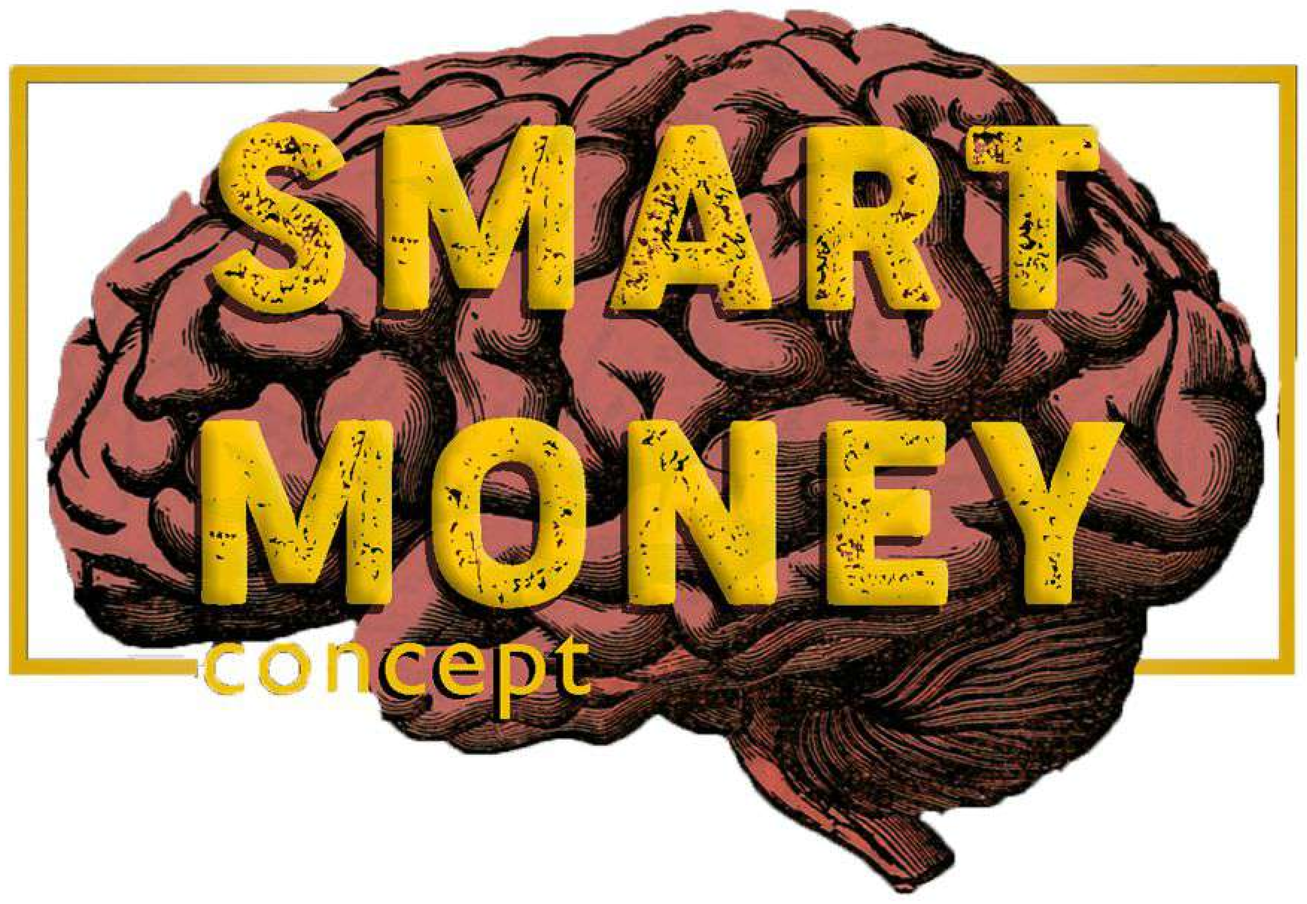
LQ = Liquidity
QM = Quasimodo







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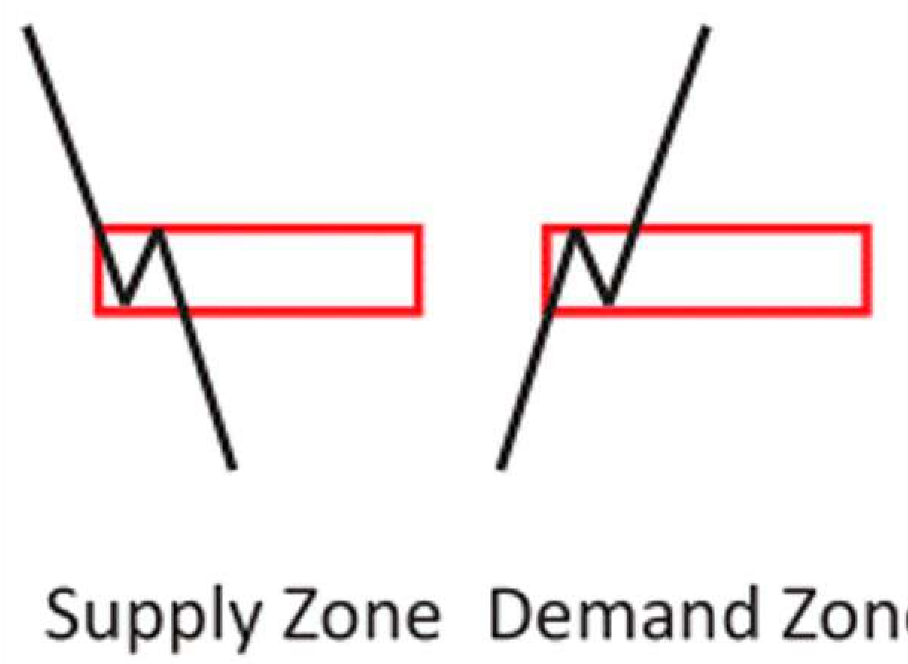

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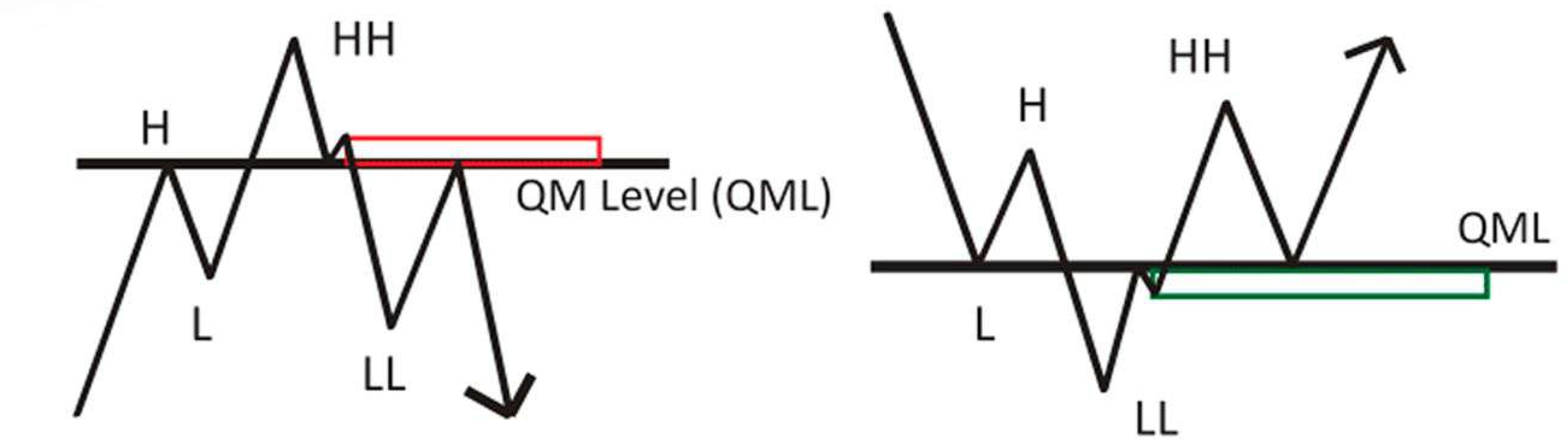
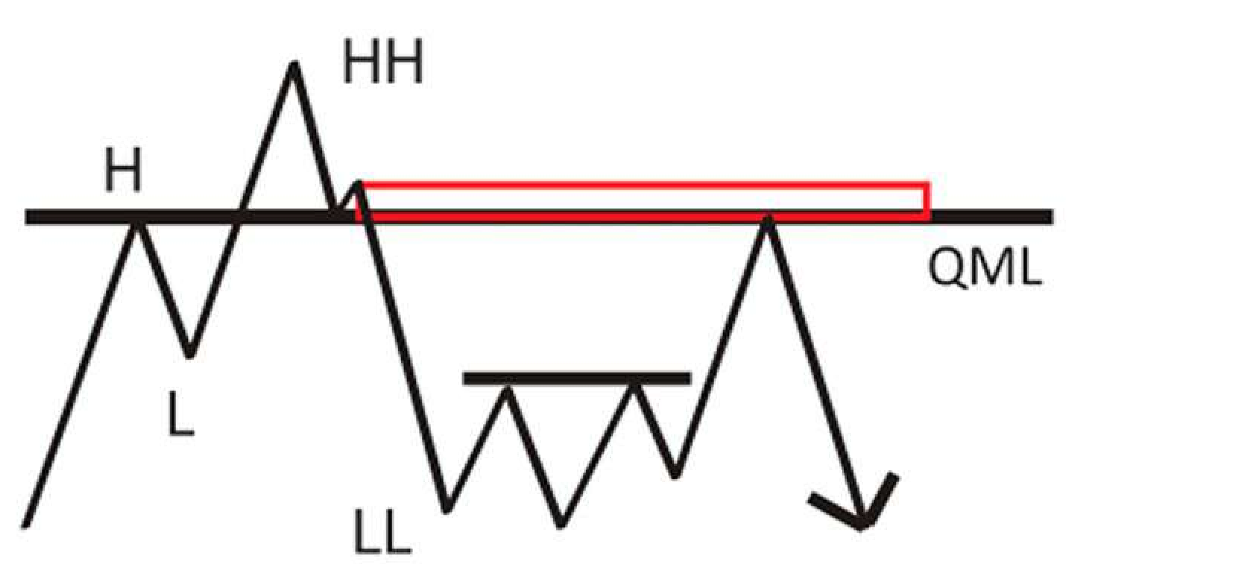
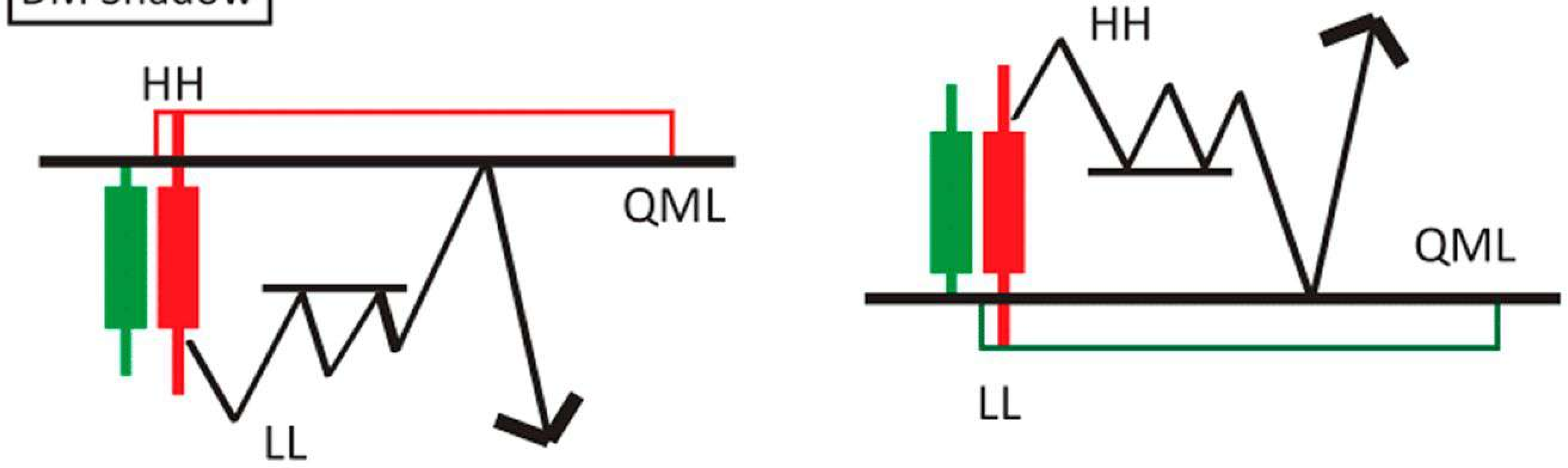
QM Quick Retest



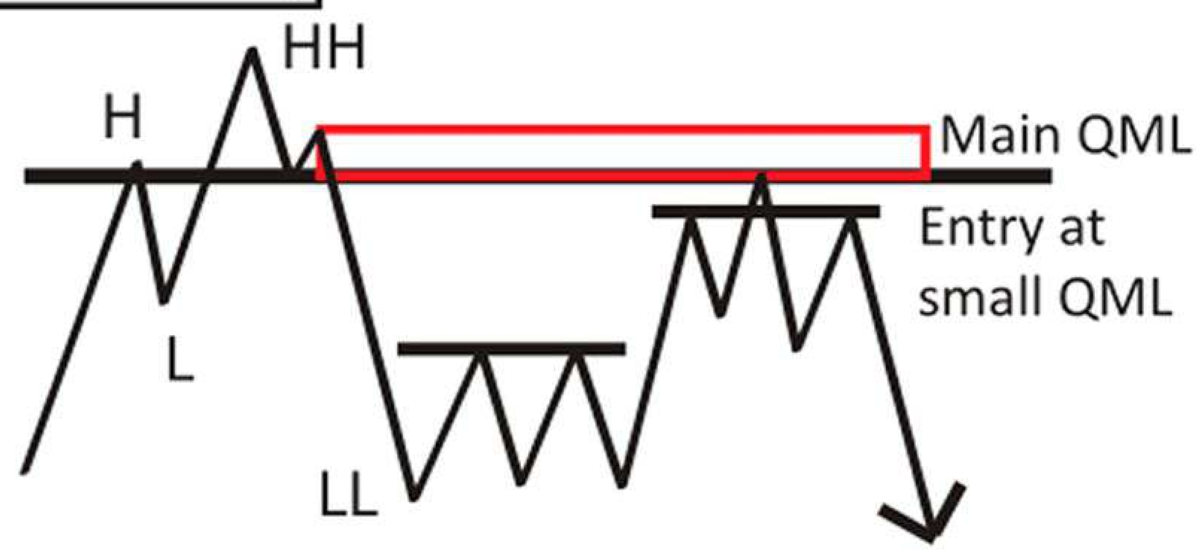
QM Late Retest



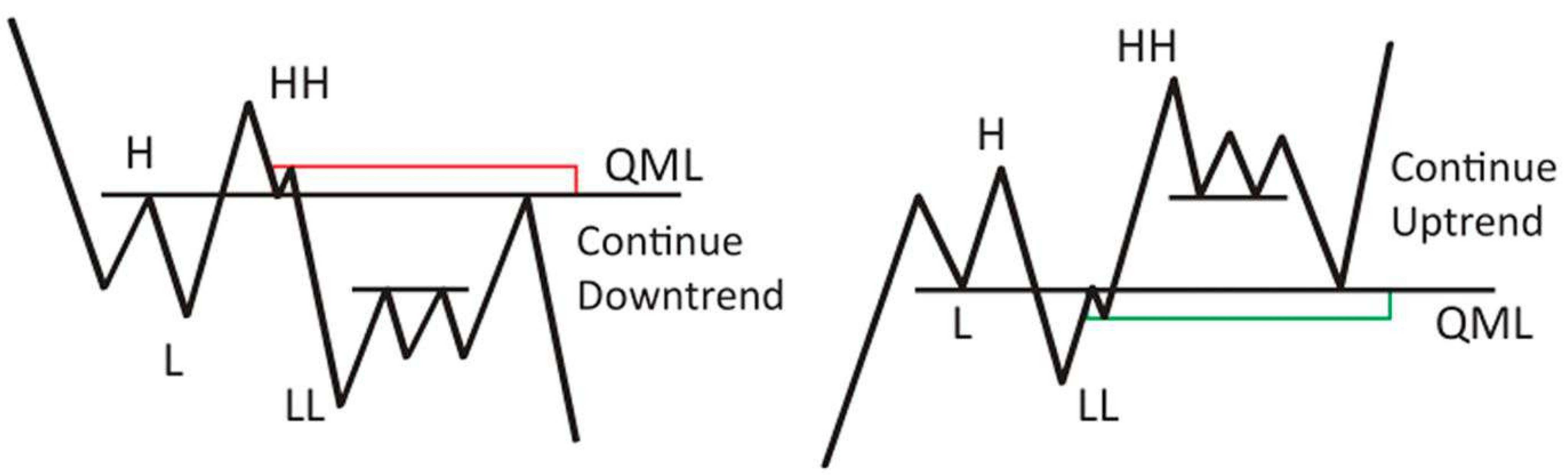
DM Shadow



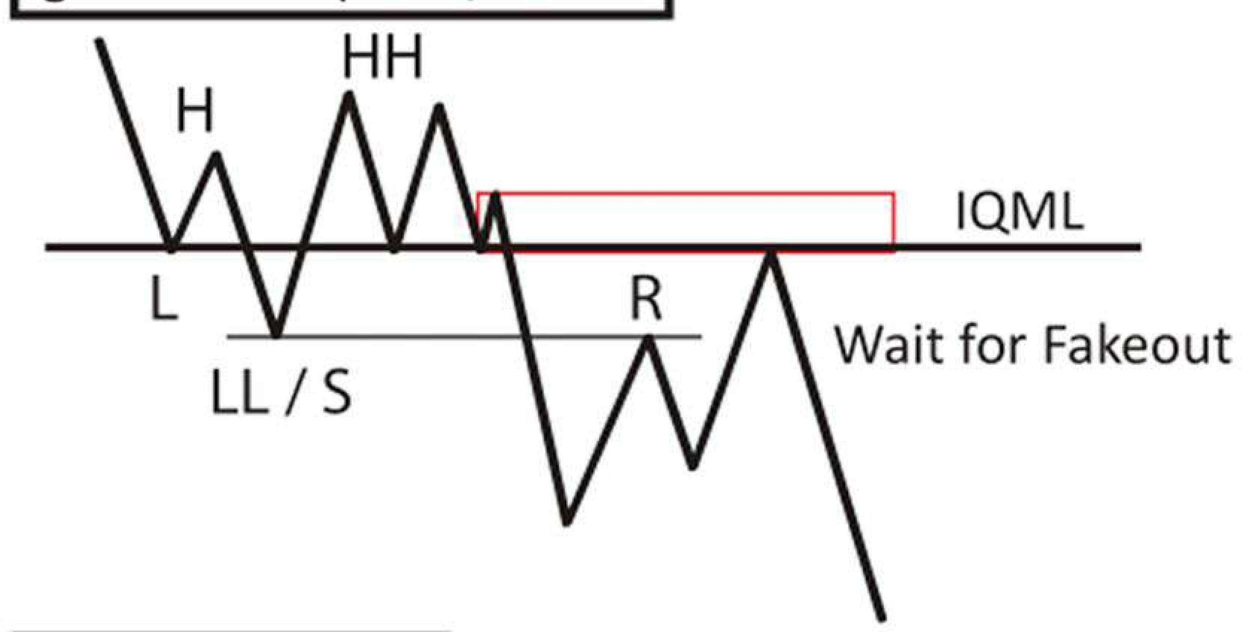
QM Re - Entry



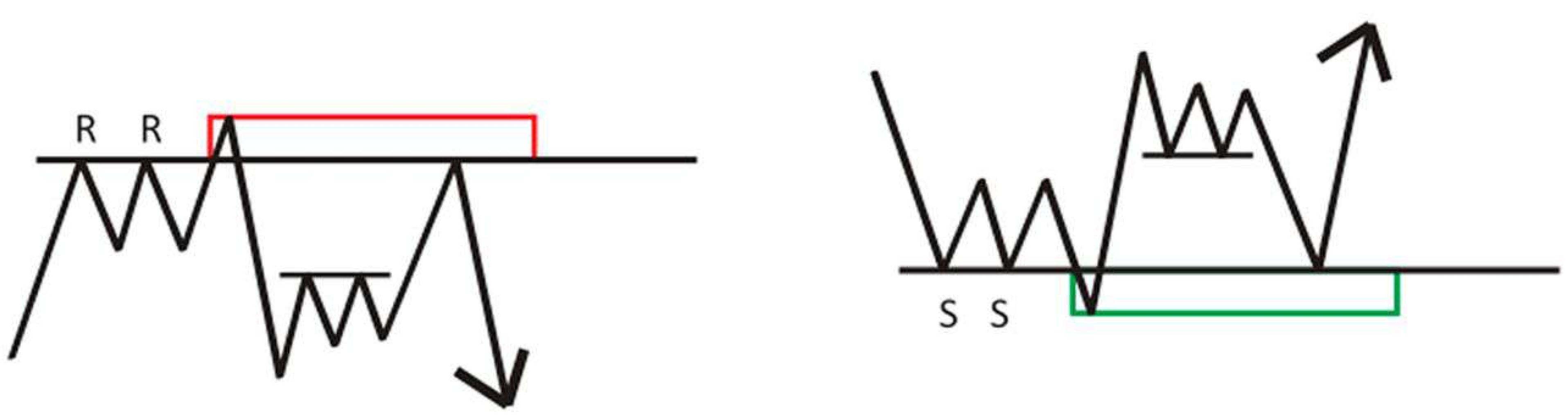
Continuation QM



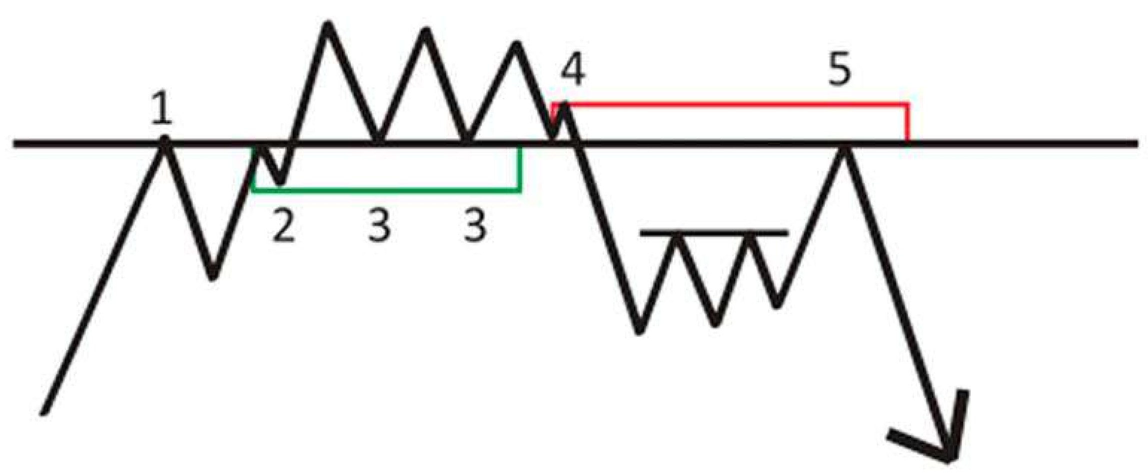
Ignored QM (IQM / QMTR

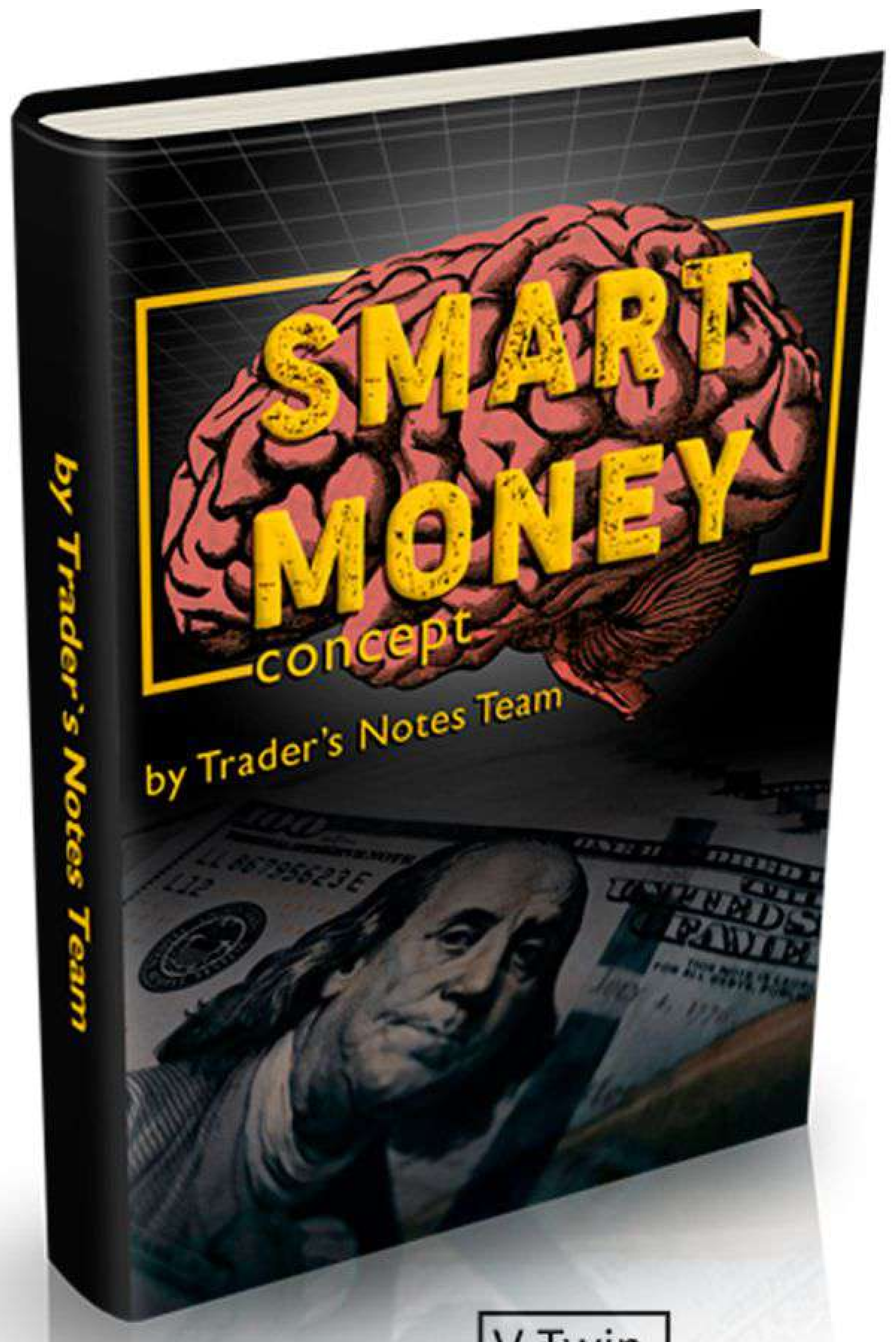


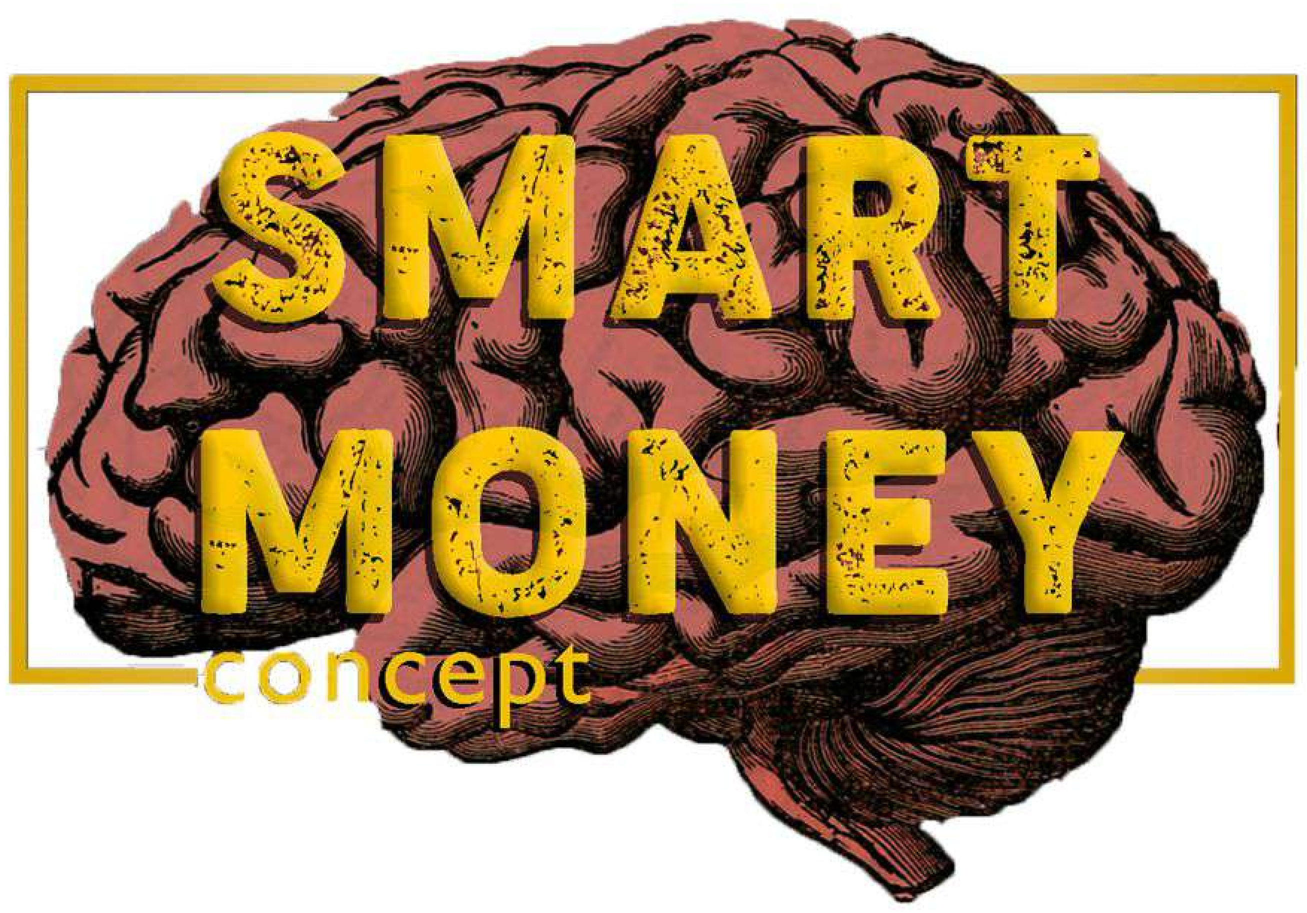
2R/2S fakeout



Ruler (Pembaris)







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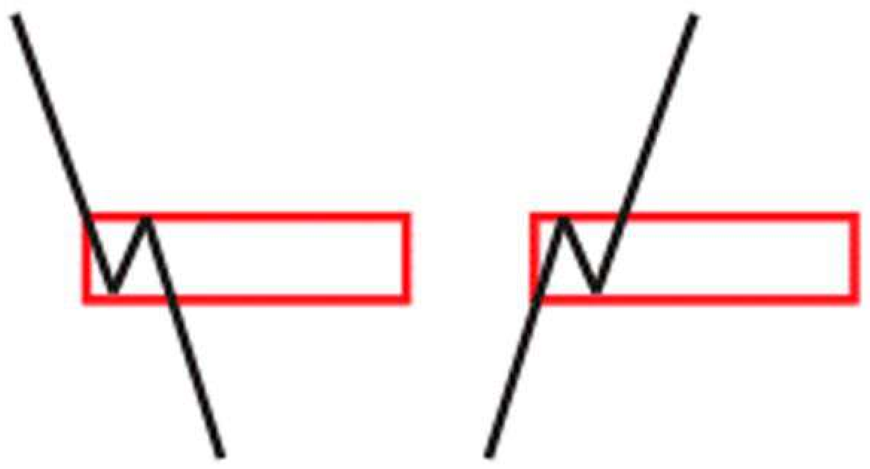

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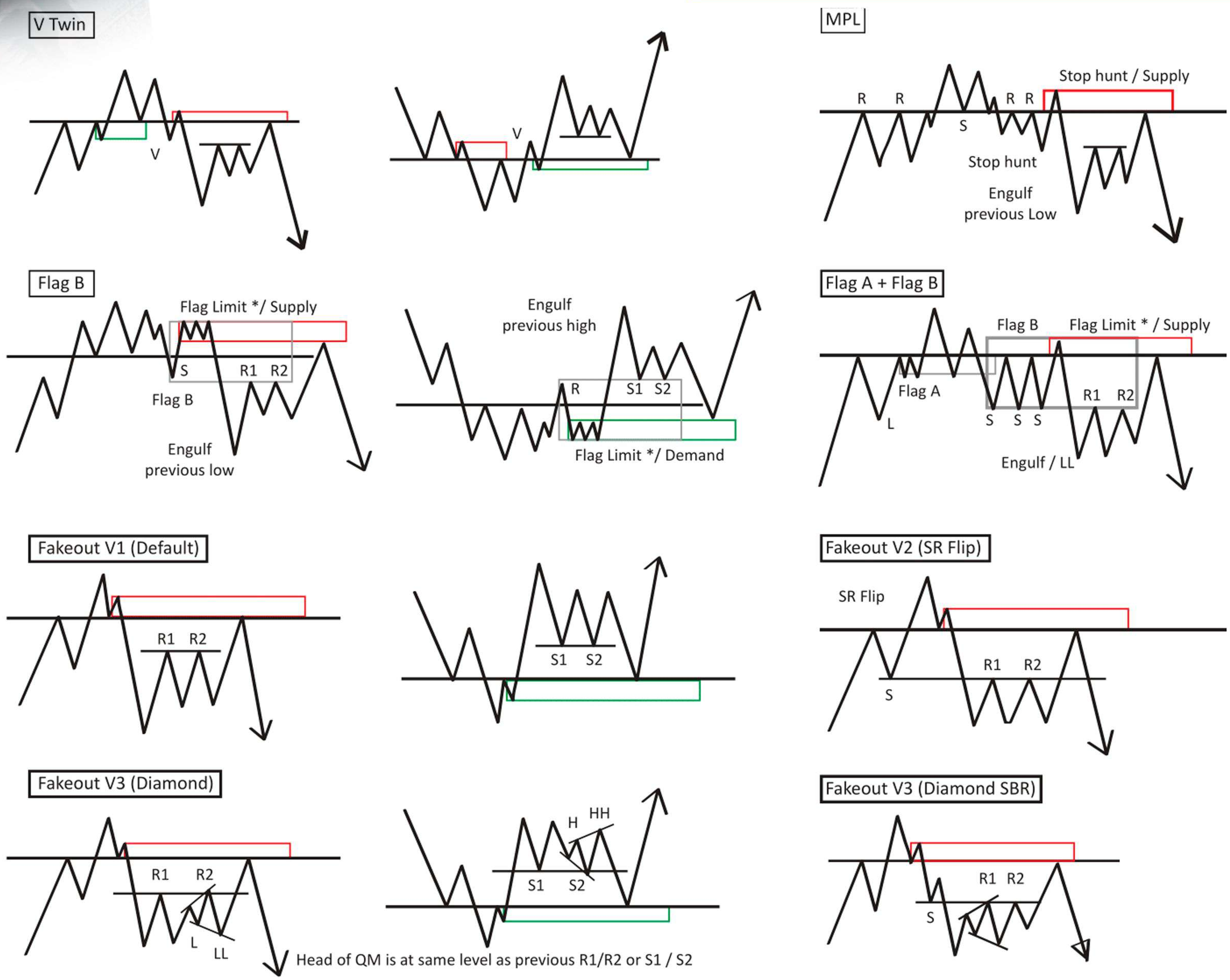

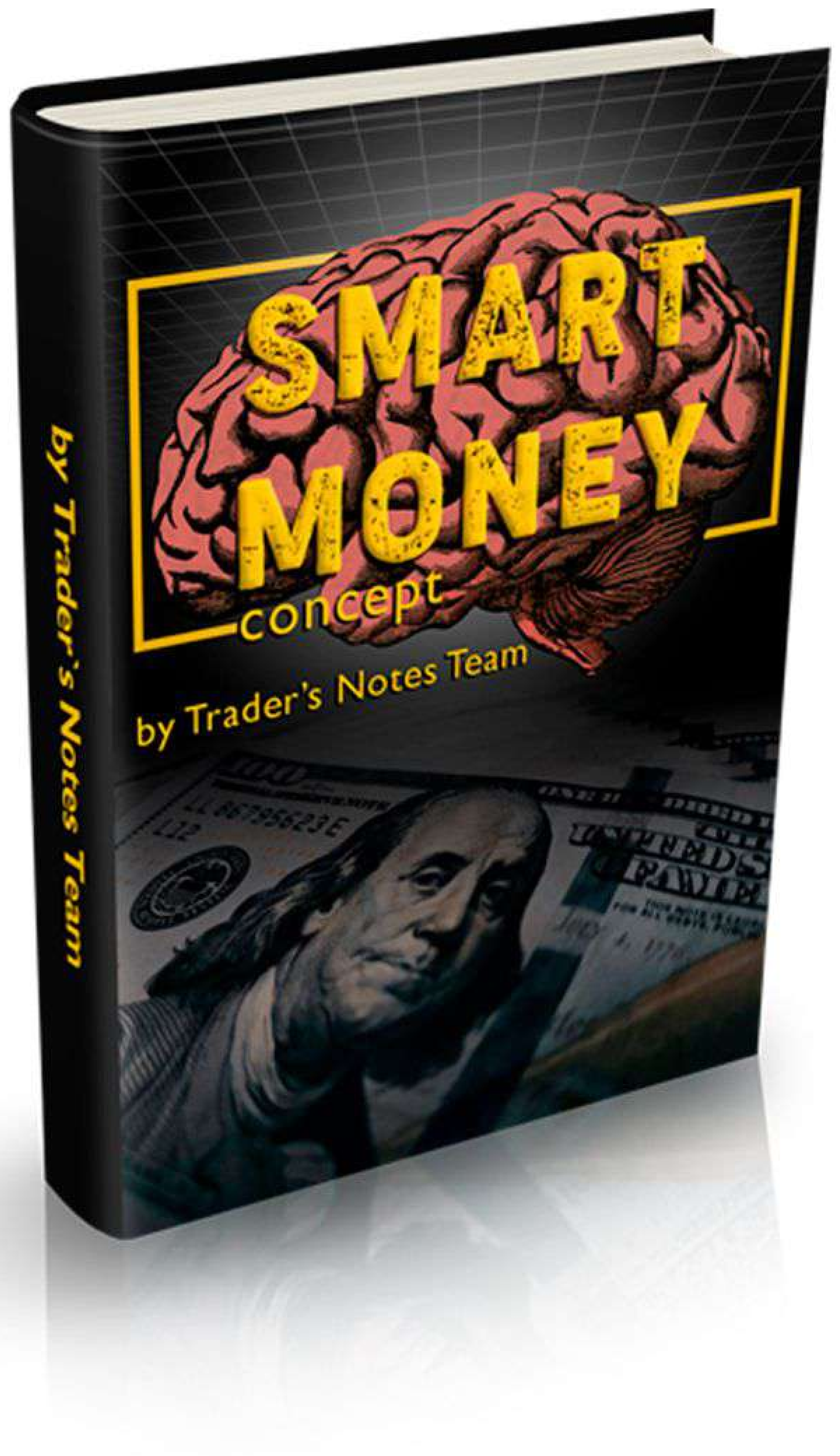

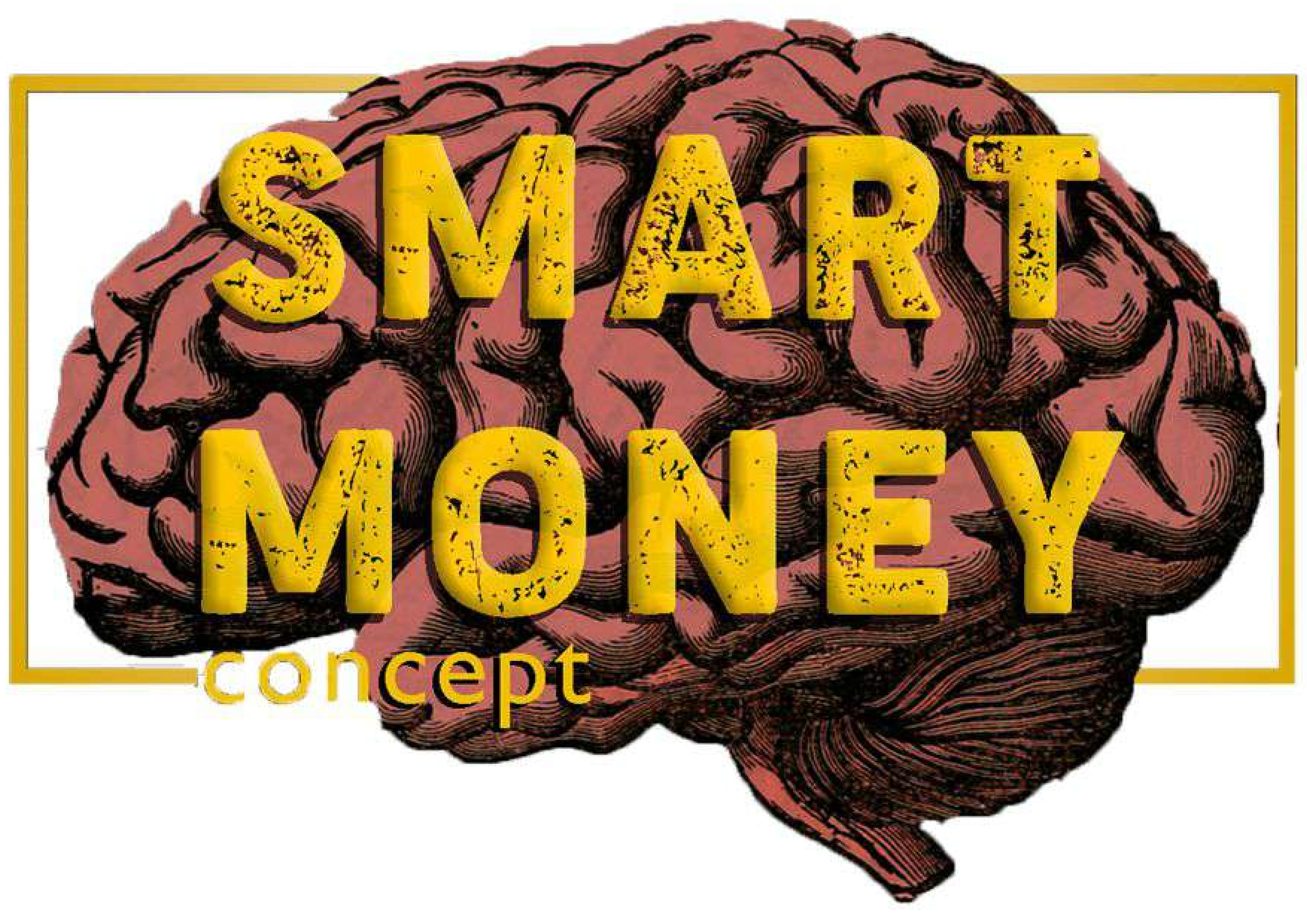

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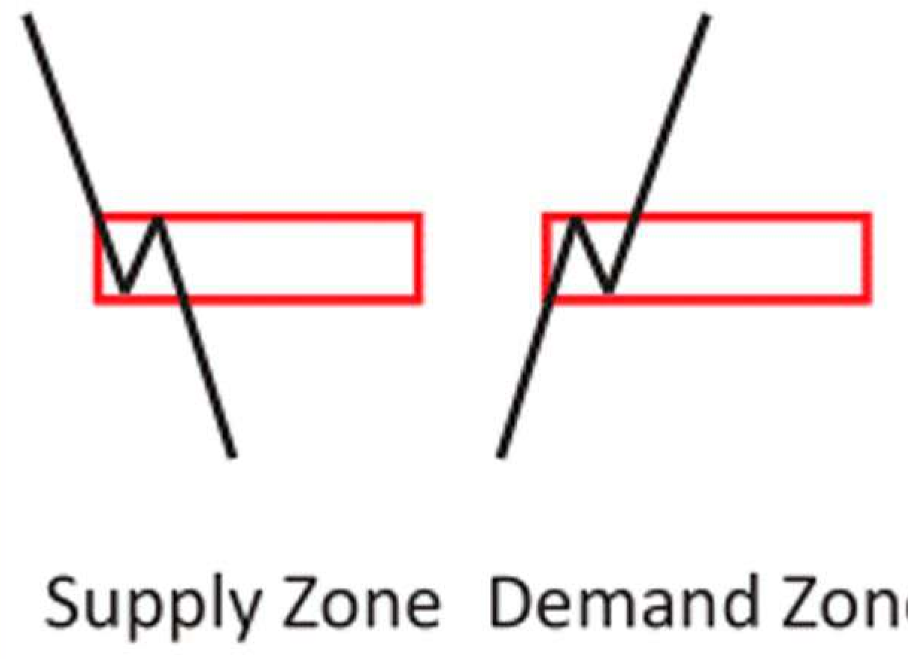

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